

A man and a woman are sitting on a rocky mountain peak. The woman, on the left, is wearing a bright pink puffy jacket and a matching knit beanie with a pom-pom. She is looking down at a laptop with a light-colored wooden back. The man, on the right, has a long dark beard and is wearing a grey long-sleeved shirt, dark pants, and a brown knit beanie. He is holding a black solar panel that is part of a larger set of three panels. They are both smiling. In the background, there are rugged mountains with green vegetation under a clear blue sky. In the foreground, to the left, there is a rolled-up purple sleeping bag and a yellow backpack.

Sustainability

Statement

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General information

This report represents our first Sustainability Statement in accordance with the European Sustainability Reporting Standards (ESRS), which we voluntary apply as the Corporate Sustainability Reporting Directive (CSRD) has not yet been transposed into Dutch law. While the market is adapting to the new requirements, we acknowledge the challenges around data availability and reliability in preparing our reporting. Furthermore, in the absence of industry-specific guidance, we encounter uncertainties towards the requirements in terms of relevance and comparability.

Basis for preparation

Our Sustainability Statement for the year ended 31 December 2024 comprises ING Groep N.V. (the parent company) and its subsidiaries, together referred to as ING Group, in line with the consolidation of our Financial Statements as included in [Note 1 'Basis of preparation and material accounting policy information'](#). We have prepared the Sustainability Statement in accordance with the European Sustainability Reporting Standard (ESRS) and based on the outcome of our double materiality assessment (DMA).

Our DMA has been performed in accordance with ESRS, supported by the EFRAG implementation guidance, covering our own operations and our upstream and downstream value chain, which is explained further in our ['Business model and strategy'](#) section. The DMA concludes on our material topics and the related impacts, risks and opportunities (IROs), which we have disclosed in the respective ['Environment'](#), ['Social'](#) and ['Governance'](#) sections. As required by ESRS, and in line with our previous year reporting, we have included a summary on the EU Taxonomy within our ['Environment'](#) section and included the mandatory tables in the ['Appendix to the Executive Board report'](#).

Uncertainties and estimations

The implementation of the CSRD comes with several uncertainties as we navigate this new regulatory landscape. As this is the first reporting, there is a lack of prior experience in applying the new requirements. Additionally, guidance is still evolving, and an industry-specific standard is lacking, making interpretation and implementation more complex. The absence of comparative figures under the new requirements further complicates benchmarking and trend analysis. Moreover, sustainability reporting needs to be fully embedded into ING's existing processes and procedures, requiring adjustments and further enhancement of our internal control environment. Data limitations remain a key challenge, as we work towards improving the accuracy, completeness, and consistency of sustainability information. As a result, ING is expected to refine the reporting approach over time as best practices, regulatory expectations, and market standards develop.

The evolving stage of the market for sustainability reporting necessitates the reliance on estimates, due to the ongoing development of standardised metrics and comprehensive data collection practices. We mainly utilise external data vendors for the sourcing of emissions data and estimates, as well as other ESG-related information, risk information and emission-intensity metrics.

Our data vendors perform data reliability procedures and controls before submitting the data to ING. These processes and the underlying models and methodologies are generally not audited, which means that despite their internal control procedures, data limitations may still exist. At ING, we perform our own data quality reviews and controls on the received data, including the assessment of historical trends and engaging with the vendors on potential outliers and observations. There is always a risk of applying inaccurate and/or incomplete data. We continue our efforts to limit this as much as possible and as long as the market evolves, and data quality matures, we may refine and update our measurements based on new, more accurate and/or more granular data becoming available in the future. See the ['Appendix to the Executive Board report'](#) for more details per metric.

Connectivity with financial statements

The monetary amounts presented in the disclosures on financed emissions, emissions-intensity metrics, and on transition and physical risks are derived from the credit risk portfolio.

ING measures, monitors and manages the associated risks based on the credit risk portfolio. For certain disclosures, this is extended with uncommitted limits. Moreover, this data is subject to ING's internal data standards supporting standardised and transparent reporting. For transition risk, we updated our provisions methodology by applying a management adjustment, capturing the expected credit losses of our current business lending portfolio.

> General information

Currently, it is not yet possible to fully incorporate climate risk separately into IFRS 9 ECL models given the lack of sufficient empirical historical data and data limitations in the risk assessments on client level. However, ING has taken next steps in 2024 to more explicitly cover for climate-risk drivers in loan loss provisioning. A management adjustment to ECL models for business clients was introduced to specifically cover for the medium- to long-term transition risk on high greenhouse gas-emitting sectors. For households, particularly the mortgage book, the next step in the development will be to apply differentiation in collateral valuation based on Energy Performance Certificate (EPC) labels. For more information, see the [‘Risk management’](#) section.

The EU Taxonomy reporting is prepared according to the prudential consolidation of ING Groep N.V., excluding loan loss provisions. The allocation of the gross book values to the respective product groups is based on the requirements of the regulatory financial reporting (FinRep), according to International Financial Reporting Standards (IFRS) and the customer group allocation used therein.

Changes in the preparation or presentation of sustainability information

This is the first year of reporting a Sustainability Statement in accordance with ESRS. We have reported on sustainability information in the past and, in relation to this information, have not identified any reporting errors. In 2024, we made the following changes to information reported in the 2023 annual report:

- Updated the preparation of the gender pay gap in line with regulations. See our [‘Own workforce’](#) section for more information;
- Expanded the calculations of financed emissions related to our clients' scope 3 to align with the calculation of scope 1 & 2. Comparatives have been restated; and
- Refined the allocation of the activities in the Total energy outstandings table. Comparatives have been restated.

Incorporation by reference

Some ESRS requirements are already included in our Annual Report, due to other reporting requirements we are subject to. To avoid duplication, we will refer to those sections outside the Sustainability Statement. See our [‘Reference index’](#) for the mapping of all ESRS requirements to the Annual Report.

Subsequent events

There are no subsequent events to report.

Business model and strategy

Our strategy is about growing the difference by providing superior value for our customers and putting sustainability at the heart of what we do. With our business we provide services to our Retail and Wholesale clients, worldwide. For more information on our operating environment and strategy, see sections ‘[ING at a glance](#)’ and ‘[Strategy, business model and value creation](#)’. This section provides an overview of our identified material impacts, risks and opportunities, how these interact with our strategy and business model, and insights into the methodology of our DMA.

Our value chain

With a view to comprehensively capture impacts, risks and opportunities, the DMA has to focus on the most significant activities, services and products. Therefore, the starting point of the DMA is understanding the structure of the bank’s business relationships and activities by identifying ING’s value-chain components. Since this assessment expands beyond the financial statement consolidation scope, we have assessed our

core business against our own operations and our (in)direct relationships in our upstream and/or downstream value chain. For our value chain identification, we have used internal data, which resulted in the identification of six segments as depicted below.

As a financial institution, our main business segment impacting sustainability matters is our loan book, through which we finance our clients and the economy. The assessment is mostly done at tier 1 direct contractual relationship-level (e.g. large corporates ING is financing; Retail customers ING is serving). The only exception is S2 ‘workers in the value chain’ and S4 ‘consumers and end-users’, where the assessment captures the bank’s direct counterparties’ (e.g. clients) social practices over tier 2 counterparties (i.e. with regards to affected workers in the value chain and end-users/consumers). Associates and joint ventures that are not consolidated in the financial statements are treated as the other business relationships, i.e. actors in the value chain (e.g. suppliers, investee companies), and as such are part of our DMA. Intercompany transactions are descoped from our value chain for the DMA purpose.

Our value chain - key activities and their relation towards the business actors

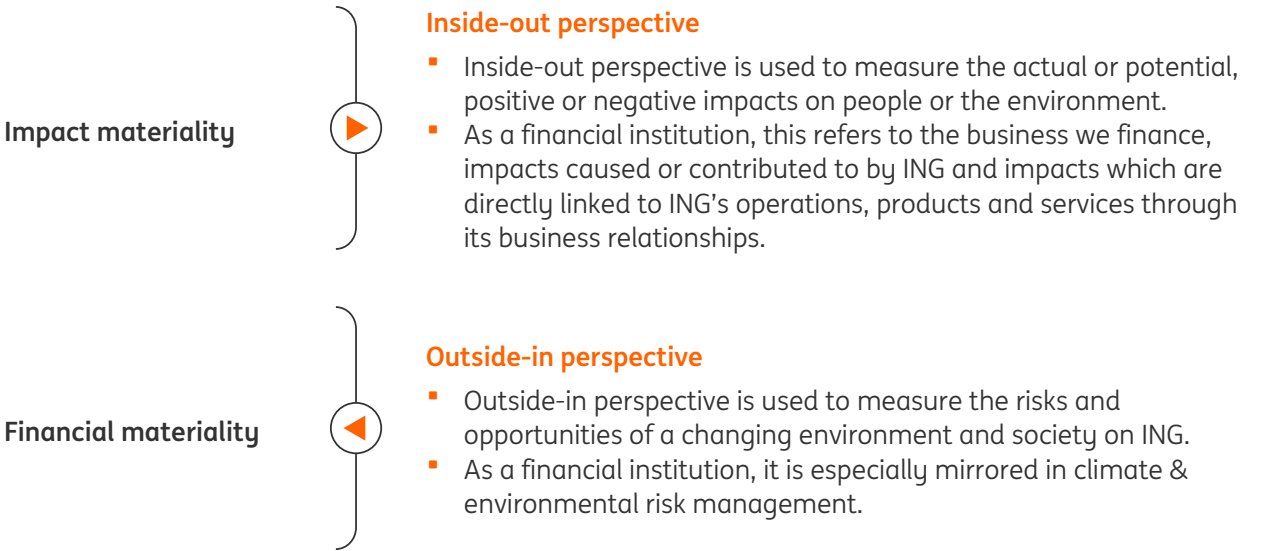
	Upstream		Own operations	Downstream			
				Retail Banking			
	Supply chain	Own operations		Wholesale Banking	Business Banking	Private Individuals	Treasury & Other investments ¹
Activities, products & services	Management of providers of goods and services	- Employees management - Properties management		- Wholesale lending - Daily Banking (payment & cash management) - Trade Finance - Deposits (incl. saving accounts) - Trading book - Capital Markets Advisory	- Product development - Marketing - Distribution of business lending, trade finance, insurances and financial market products - Daily banking services, savings, deposits products	- Product development - Marketing - Distribution of mortgages, consumer lending, insurances, investment products - Daily banking services, savings (incl. wealth-management services)	- Group Treasury - High Quality Liquid Assets - Hedging instruments - Debt instruments - Shareholder’s equity - ING Group Investments - Equity holdings
Underlying actors	Suppliers of goods and services	Employees		- Large corporates (incl. financial institutions) - Sovereign, sub-sovereign and agencies	- Self-employed and Micro (small companies) - Small to medium enterprises - Mid-corporates clients	- Private Individual clients - Private Banking clients	- Sovereign, sub-sovereign and agencies - Corporate clients - Investee companies

¹ Includes all non client-facing business

Our double materiality assessment

This is the first year that we have performed our double materiality assessment in accordance with ESRS, based on the six identified value chain segments. In the previous reporting periods, we based our materiality assessment on the Global Reporting Initiative (GRI) reporting framework. The main change to the materiality assessment is the introduction of the ‘double’ materiality concept. Where GRI requires a look at impact materiality only, ESRS also requires a look at financial materiality.

A sustainability matter is deemed material when it meets the criteria for impact materiality, financial materiality, or both. The perspectives of materiality are defined as follows:



A sustainability matter might be material in the very short, short, medium or long term, and as such is an essential component of the DMA. In defining our time horizons, we considered industry-specific guidance provided by the European Banking Authority (EBA) for the banking sector and combined these with the ESRS requirements:

- very short-term: less than 1 year;
- short-term: between 1 and 3 years;
- medium-term: 3 to 5 years; and
- long-term: over 5 years and at least 10 years.

Although the Annual Report generally only contains information related to the current reporting year, ESRS sometimes requires us to disclose additional forward-looking information.

The table below depicts an overview of the sustainability matters and the outcome of our DMA.

Sector-agnostic sustainability matters				
Sustainability matters	Impact materiality	Financial materiality		Double materiality
		Risk	Opportunity	
E1: Climate change				
E2: Pollution				
E3: Water and marine resources				
E4: Biodiversity and ecosystems				
E5: Resource use and circular economy				
S1: Own workforce				
S2: Workers in the value chain				
S3: Affected communities				
S4: Consumers and end-users				
G1: Business conduct				

Thresholds: Material Important Informative – Minimal

Even though the methodology towards the materiality assessment has significantly changed, in general we do not see large differences in the outcome on the topical level compared to previous year. Our DMA outcome did not indicate materiality for topics under S2 and S3 for ING’s value chains, however ING does consider these important topics. We identified salient human rights issues for our role as a lender to corporates. In Wholesale Banking, those are forced labour, child labour, and land and resource-related community issues. ING has also identified its salient human rights issues for our role as a procurer of services and goods, with those being occupational health and safety, modern slavery and forced labour. The identification process of the salient issues and management and mitigation of those are described in the latest human rights report on [ing.com](https://www.ing.com).

Process to identify impacts, risks and opportunities

Via the double materiality assessment process, ING identifies impacts, risks and opportunities across environmental, social and governance (ESG) sustainability matters, arising from its own operations or within the upstream or downstream value chain. The DMA is performed following a five-step approach:

- Step 1

Identification of activities and business relationships
- Step 2

Identification of relevant sustainability matters
- Step 3

Execution of the double materiality assessment
- Step 4

Validation of the outcome through stakeholders' engagement
- Step 5

Approval by the management boards and Supervisory Board

Identification of activities and business relationships

In determining the value chain segments and identifying which components are more likely to be associated with material IROs, ING uses the following three-step approach:

- Start from the balance sheet and profit and loss statements of the bank to identify activities and assets subject to impacts, risks and opportunities.
- Map the financial statement items to the core business areas and portfolios, mirroring ING's internal organisation to ensure alignment with sustainability steering.
- Scope out the portfolios where a low likelihood of relevant IROs is expected.

The identification of assets, exposures and liabilities, subject to impacts and risks requires a classification of activities according to their characteristics to form a view on how and where sustainability matters can materialise. In particular, the categorisation of exposures is performed on the basis of characteristics that include but are not limited to maturity of loan or position, counterparty type, type of activity/service/product, geography, industry type or collateral type as part of the DMA process. ING's value chain and its underlying portfolios are shown in the previous section under ['Business model and strategy'](#).

Identification of relevant sustainability matters

The sector-agnostic inventory list of sustainability matters in ESRS is used as a starting point, to seek alignment with the ESRS disclosure requirements and comparability. In addition, we have assessed whether there are sustainability-related material IROs relevant to ING which are not yet covered by ESRS. This assessment consisted of market consultation to gather an understanding of the material matters of our peers and reflection on our own materiality assessment performed in previous reporting periods. The

assessment resulted in no additional entity-specific disclosures. The topics within the sustainability matters are assessed for our full value chain. However, not all topics are relevant for all value chains. See ['Appendix to the Executive Board report'](#) for an overview of the relevant sustainability matters per value chain.

ING determined the level of granularity at which the DMA should be conducted based on internal and external data availability. All ESRS topics, except for Social, which is assessed at the sub-sub-topic level, are evaluated at the sub-topic level. ING developed an understanding of all relevant impact drivers as well as financial drivers with respect to sustainability matters.

Impacts are recognised in a form of drivers causing changes in nature and anthropogenic¹ assets, including quality of life. To ensure a holistic approach, a diverse range of factors across environmental, social and governance dimensions were addressed and, where possible, their forward-looking nature:

- Environmental impact drivers relate to the quantity of a natural resource that is (used as) an input or non-product output of a business activity e.g. emissions related to manufacturing facilities. These drivers stem from changes in quantity or quality of the natural capital that occur as a consequence of an impact driver.
- Social impact drivers refer to factors that affect the wellbeing, rights, and social conditions of individuals and communities. Examples include labour practices, human rights, and social equity. The social impact drivers highlight changes such as improved or deteriorated living conditions, social inclusion or exclusion, and shifts in community health and safety.
- Governance impact drivers relate to factors that influence the governance structures, practices and ethical standards of an organisation. These drivers include corporate governance practices, transparency, accountability, anti-corruption measures, and compliance with laws and regulations. They affect an organisation's ethical standing, regulatory compliance, and overall governance quality.

Risks are identified by drivers that materialise in existing risk categories and distinguish between the various types of ESG risks, such as transition and physical risks in the case of environmental matters. ING accounts for the full spectrum of ESG risk drivers, considering their distinctive characteristics, such as their forward-looking nature or where risks stem from the impact or dependencies on nature and human capital. For more information on how ESG risks are integrated in the overall risk management process, see the ['ESG Risk'](#) section.

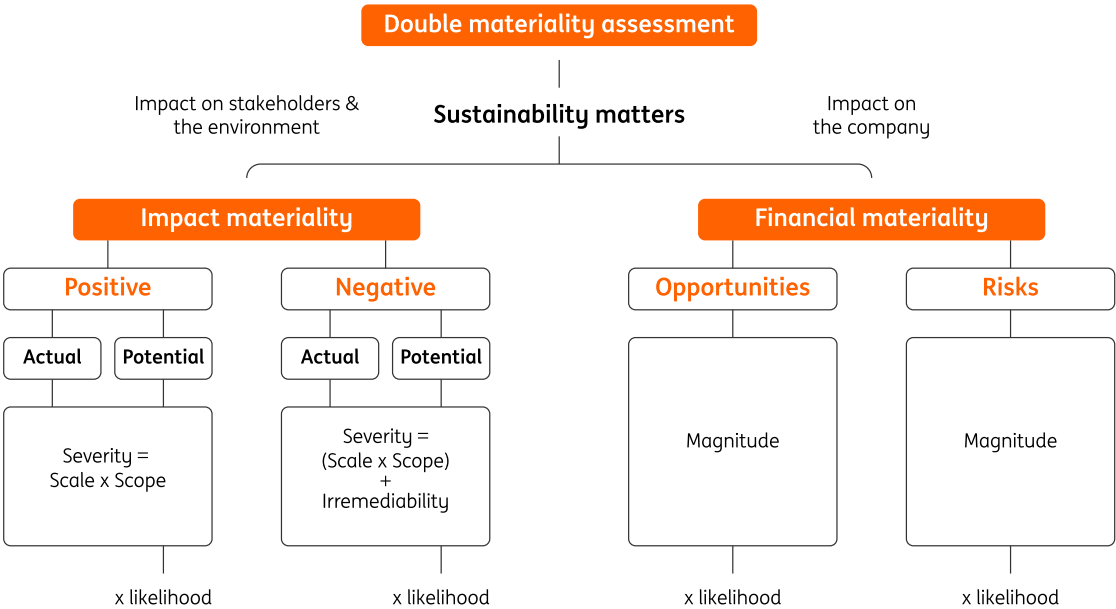
Opportunities are understood as potential environmental, social or governance events or conditions that could materially enhance ING's business model or ability to achieve strategic goals and create value, and may therefore influence decisions – both internally and externally. The identification of opportunities is driven by ING's publicly disclosed sustainability commitments where the opportunity is currently explicitly pursued.

¹ Pollution or change in climate caused by human activity

Execution of the double materiality assessment

The DMA leverages on renowned external data sources, internal data, voluntary reports and other regulatory disclosures to assess the impact from ING's own operations and upstream and downstream value chain.

To determine materiality, ING leverages on a number of quantitative and qualitative approaches to assess the level of the impacts and potential risks and opportunities against predetermined materiality thresholds. Assessment of materiality follows a 'gross' approach, meaning without taking mitigating actions, initiated by ING, into account. The materiality of sustainability topics is determined for our full value chain¹, following the approach illustrated and summarised below.

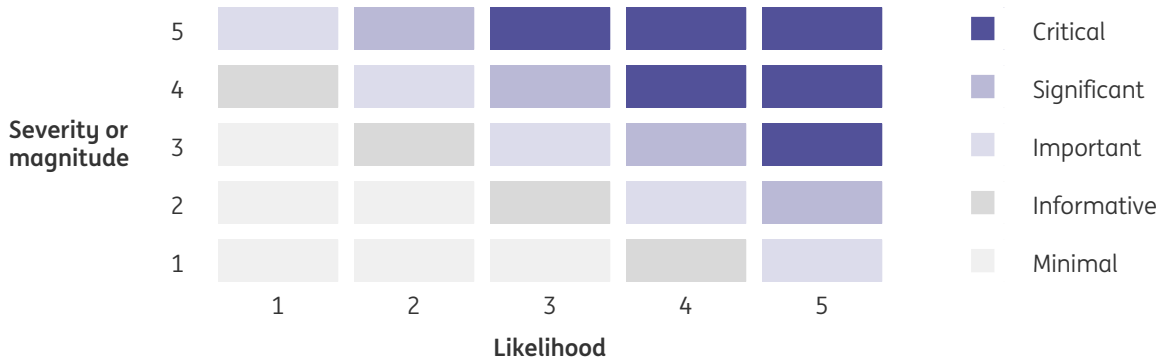


Impact materiality, for both actual and potential (positive and negative) impacts, is informed by the severity of the impact and combined with the likelihood that it results in the potential impact. Severity is determined by scale (how grave or beneficial the impact is), scope (how widespread the impact is), and irremediable character (to what extent the negative impacts could be remediated). Likelihood captures the likelihood of materialisation of the underlying impact for all time horizons.

Financial materiality is assessed based on a combination of magnitude and likelihood, stemming from impacts, dependencies, or context analyses. An impact may be financially material from inception or become financially material over time as identified through impact materiality. Dependencies on natural, human, and social resources are considered based on their influence on ING's ability to access and utilise these resources affecting their quality and pricing. Context analyses include ING's dependencies on business relationships and reputational risks or gains, viewed collectively for financial materiality. Indicators from internal or external data are supplemented by expert judgement from sector or risk specialists.

For risks, the approach to dependencies is similar to the approach for negative impacts. Once the assessment of the dependencies and negative impacts is performed, a view of individual exposures and context analysis is considered. ING assesses the risk materiality in a view of the value chains' portfolio, as the maximum across the three dimensions (max of negative impact and context analyses). Where possible, the assessment is enhanced by the use of internal data sources and scenario analyses. See ['Technical notes to the double materiality assessment'](#) for more details on the approach.

For opportunities, magnitude reflects financial and non-financial implications potentially leading to gains or decreased costs, such as energy costs. This assessment has been performed across the 'use of own resources' (extent to which ING uses its resources to pursue a specific opportunity as a result of a certain sustainability matter evolution) and 'reliance on relationship' (potential reputational and financial gains from meeting commitments and adapting ESG standards, while attracting investors and clients looking for credible sustainable investment options) dimensions. The likelihood reflects the time horizon as described above. These assessments result in combined scores ranging from minimal (1 = very low) to critical (5 = very high). Each combined score is assessed using the conversion matrix below, where a sustainability matter is deemed material if it scores as 'critical' or 'significant'.



¹ See ['Technical notes to the double materiality assessment'](#) for more information on the relevant sustainability matters per value chain.

Validation of the outcome through stakeholders' engagement

To validate the outcome of our double materiality assessment, we engaged with our key stakeholders. We asked them or their representatives to validate our identified material IROs, where validation refers to whether our stakeholders recognise the outcome or are missing a topic. We identified two main stakeholder groups: affected stakeholders and users, hereafter collectively referred to as 'stakeholders'.

Per stakeholder group, sessions were organised to discuss ING's DMA methodology and preliminary results, to answer questions and collect feedback. The stakeholders shared their views through surveys or in-depth interviews. The sessions were conducted by our stakeholder engagement team and subject-matter experts, according to a standardised approach, presenting predefined questions on the soundness of preliminary results, completeness and different time-horizon perspectives. In the case of interviews, the minutes were confirmed with the stakeholders following the meetings to ensure a common understanding and accurate interpretation of the discussion.

Proxies were used to cover the views of stakeholders when direct engagement was not feasible. For instance, NGOs were invited to represent affected communities and silent stakeholders like nature and biodiversity. For our private customers, the evaluation of internal and publicly available data has been used to cover their views. The right side of this page summarises our key stakeholders and how the engagement took place.

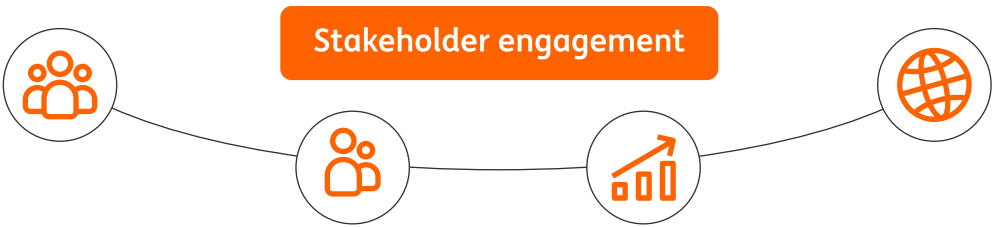
Stakeholders reviewed our approach, evaluating the suitability of the data used and assessing the significance and scale of the results. We carefully analysed the feedback provided, considering factors such as recurrence, consistency, strength, supporting evidence, and relevance of the arguments. In interpreting the feedback, we looked for patterns, such as similar feedback from different stakeholder groups or repeated comments. Additionally, we prioritised fact-driven substantiation. References were cross-checked with credible sources and discussed with subject-matter experts.

An example of stakeholder engagement was the expectation, of certain stakeholders, that Workers in the value chain (S2) and Affected communities (S3) would be concluded as material, given the importance of these topics in our due diligence process and policies guided by international standards and guidelines. However, after carefully considering this feedback, we decided not to change the DMA outcome, as ING has limited exposure to sectors vulnerable to human rights issues¹. We recognise the importance of these topics as salient human rights issues and will continue to report on them in our human rights report.

Approval by the management boards and Supervisory Board

The outcome of the DMA was communicated to all relevant stakeholders and value-chain segment owners. Following endorsement, the DMA received approval in accordance with 'Our sustainability governance', specifically through approval of the methodology by the ESG Risk Committee and approval of the outcome by the management boards and the Supervisory Board.

¹ Materiality is based on ING's portfolio composition and sectoral distribution, compared to the overall portfolio



Our people

- Full-time and part-time employees

Engagement

- Direct engagement via workshops with a random selection of employees
- Via proxies – sessions with European and local works councils

Feedback approach

- Surveys
- Interviews

Focus areas

- S1 and G1

Our customers

- Private Individual clients
- Business Banking clients
- Wholesale Banking clients

Engagement

- Retail customers via proxies – evaluation of customer complaints and publications from customer protection offices
- Business Banking and Wholesale Banking clients – via proxies – session with ING's WB and BB sector experts

Focus areas

- All ESRS topics

Investors

- Investors

Engagement

- Direct via sessions with investors and investor associations

Focus areas

- All ESRS topics

Society

- Nature, biodiversity and climate
- Workers in the value chain
- Local communities
- Governments and regulators

Engagement

- Directly via sessions with NGOs, which serve as proxies for nature, biodiversity, climate, and workers in the value chain

- Via proxy sessions with ING experts on supervisory, public and regulatory affairs

Focus areas

- Nature, Biodiversity and Climate – E1, E2, E3, E4 and E5
- Workers in the value chain and local communities – S2, S3 and S4
- Governments and regulators – all ESRS topics

Reporting on the material impacts, risks and opportunities

For each material sustainability matter, ING reviewed the associated disclosure and application requirements included in the ESRs. In preparation of the 2024 Sustainability Statement, ING disclosed the applicable mandatory information that is relevant and material to meet the objective of the disclosure requirements. In addition, certain disclosure requirements have been omitted as they are not applicable in the first year(s) of reporting. See the [‘Reference index’](#) for more details.

Internal controls over sustainability reporting

At ING we have integrated our sustainability-related risk management and internal controls into our existing Enterprise Risk Management (ERM) framework and three-lines-of-defence model. See our [‘Risk management framework’](#) for more information. With this approach we aim to strengthen the governance and controls over sustainability disclosures, aligning them with financial and non-financial risk oversight.

The process for preparing the Corporate Sustainability Reporting Directive (CSRD) sustainability statement is aligned with the annual integrated reporting process and governance. The information in ING’s Sustainability Statement is inherently subject to the risk of material misstatement, for example due to human error, inadequate controls including in respect of third parties and/or fraud. ING has therefore implemented several mitigating measures to manage identified risks.

The table below presents an overview of the impacts, risks and opportunities including insights on the location of these IROs in our value chain, the respective time horizons, and the affected business models.

IRO type	Material impacts, risks and opportunities	Upstream	Own operations	Downstream	Very short-term	Short-term	Mid-term	Long-term	Affected business model
	Environmental	Location in Value Chain		Time horizon					
Climate change (E1)									
 Negative impact	as a result of lending to clients operating in high-emitting sectors and the financing of non-energy efficient properties (Climate change mitigation).								Private Individuals, Private Banking, Wholesale Banking, Business Banking
 Risk	- of potential (non) financial losses from client defaults and reduced collateral values as a result of the transition to a low-carbon business model or economy (Climate change mitigation); or - of potential financial losses due to the increased likelihood of client defaults and non-performing loans as a result of physical climate effects. These may occur in the form of acute event-driven occurrences, such as storms and floods as well as chronic long-term shifts and trends, like rising sea levels and temperatures (Climate change adaptation).								
 Opportunity	is defined as ING's publicly disclosed voluntary commitments to support the climate transition of our clients (Climate change mitigation).								
Biodiversity (E4)									
 Negative impact	as a result of lending to clients whose operations cause irreversible damage to the state of species.								Wholesale Banking
 Risk	can materialise following the severity of a negative impact and can result in reputational- and financial losses.								
	Social								
Own workforce (S1)									
 Negative impact	as a result of employees being exposed to unrealistic workloads and expectations and ING perpetuating gender inequality, sustaining pay gaps and failing to adequately prevent violence and harassment, which may diminish the wellbeing of our workforce, especially among vulnerable groups such as women and minorities.								Own operations
 Positive impact	as a result of upskilling employees with new competencies and knowledge and exposing them to a work environment with diverse teams.								
 Risk	Risks recognised primarily arise from the materialisation of negative impacts which might lead to reputational and turnover risk. Risks may also pertain to the employment and inclusion of persons with disabilities. For instance, failing to provide adequate workplace accessibility could result in reputational damage.								
Consumers and end-users (S4)									
 Negative impact	as a result of not providing access to quality information, ensuring social inclusion, and ensuring privacy towards our clients, which might harm customer wellbeing, damage our reputation, and expose us to financial losses and regulatory risks.								Private Individuals, Private Banking
 Risk	arising from the materialisation of the identified negative impacts.								
	Governance								
Business conduct (G1)									
 Risk	of financial loss, regulatory fines, and reputational damage resulting from infringements of our corporate culture, instances of bribery and corruption, and failure to protect whistleblowers.								Own operations

Our sustainability governance

At ING, we have integrated sustainability into our existing governance. For details about the full function of governance bodies and the composition of our Supervisory Board (SB), Executive Board (EB), and Management Board Banking (MBB), including their roles, expertise, and remuneration, see the [‘Our leadership and corporate governance’](#) section. The remainder of this section will elaborate on the governance around sustainability.

The Supervisory Board

In 2022, we established an ad hoc ESG committee assisting the SB with regards to matters relating to ESG, including, but not limited to, the development and integration of ESG across the company and its strategy, and the ratification/ discussion/ adoption of new and updated key policies, among others, related to business conduct.

During 2024, given the dynamic and continuously evolving nature of ESG, the ESG committee was established as a permanent committee. The ESG Committee meets on a quarterly basis and consists of at least one member of each of the other committees. When disclosure or controls topics are on the agenda, the ESG Committee is always combined with the Audit Committee (AC).

The management boards

ESG is a regular subject on the agenda of ING’s management boards (the EB and the MBB), in their capacity of day-to-day management of the business and as part of their responsibility for ING’s long-term (ESG) strategy. ESG-related matters, the related impacts, risks and opportunities and their effect on our strategy are intertwined in many other discussions and topics discussed by the EB and the MBB. These meetings generally take place on a weekly basis.

As we take steps to further integrate and embed climate and other ESG actions into the business, many of the other topics on the management boards’ regular meeting agendas have a sustainability angle. This means that the management boards are discussing and taking decisions on ESG-related topics on a frequent basis. This includes the review and approval of new and updated key policies, among others, related to business conduct. More information on the role of the EB and MBB is described in the relevant charter on [ing.com](#).

Senior management governance

ESG Risk Committee

The ESG Risk Committee (ERC) is responsible for ensuring the execution and delivery of any ESG risk-related matter discussed by the Supervisory Board or its committees and serves, within its competences, as a technical (content-related) adviser. Members have practical insight into strategic and operational issues and are able to align between functional and business issues. The ERC serves as a planning body for ESG risk priorities and advises on the approval of all material ESG risk-related items.

Disclosure Committee

The Disclosure Committee, which comprises various members of senior management, business and risk representatives, advises the Boards in fulfilling their responsibilities with respect to ING’s disclosure obligations and activities. It aims to ensure that external presentations including sustainability information of ING are reviewed prior to public release.

Business governance

Wholesale Banking

ING established the Wholesale Banking Sustainability Steering Committee in 2022. The committee’s main purpose is to assign clear ownership, accountability and resources within Wholesale Banking (WB) and relevant support functions to help set and implement WB’s sustainability commitments. The committee steers and owns the ESG key performance indicators within WB and sets the WB sustainability strategy, among others, the sector targets and the associated sector-based transition plans.

Retail Banking

For Retail Banking, which from a governance and organisational perspective includes Private Individuals, Business Banking and Private Banking, the development of new and innovative sustainable products, and the progress of lending portfolios towards climate goals are steered through various councils e.g. our Net Zero Housing Committee and the Business Banking ESG Council, which cascade responsibilities to the relevant experts and country teams as needed. Sustainability leads in major countries also have a functional line to the global head of Sustainability to create a stronger connection between global and local activities.

Environment

ING aims to play a leading role in accelerating the transition to a low-carbon economy and contribute to halting and reversing nature loss, because it matters to our company, our customers, society and the environment.

As detailed in the General information section, the double materiality assessment has identified as material sustainability matters within the following topical ESRS related to 'Environmental':

- E1 Climate change
- E4 Biodiversity



Climate change

Our climate is changing due to the release of greenhouse gas (GHG) emissions into the atmosphere. Our climate action activities are focused on the three areas where we believe we can make the greatest impact: helping to drive down emissions to meet the global goal of net zero by 2050; building up the financing of the new technologies and sustainable systems of the future; and finding ways to enable people to play their part in the transition. For ING, climate adaptation is essential to reduce vulnerability against the physical impact of climate change. We work on reducing those risks by financing the required adaptation of our clients and communities.

Identified impacts, risks and opportunities

This section elaborates on the material impacts, risks and opportunities (IROs) associated with climate change, and how these factors interact with and influence ING’s strategy and business model. Climate change mitigation and climate change adaptation are concluded material for our Wholesale Banking (WB) and Business Banking (BB) value chains, and for our Private Individuals (PI) value chain (real estate lending).

The IROs, as further explained in this section, are managed in several ways by ING. We start by explaining our sector transition plan, which focuses on transitioning the most carbon-intensive sectors towards net zero, followed by other policies and guidelines we have in place. Where our sector transition plan mainly addresses our negative impacts and risks, it can also create opportunities. With our other policies and guidelines, we address our negative impacts and risks, as well as our opportunities.

Climate change mitigation

Climate change mitigation refers to the process of reducing GHG emissions and holding the increase in the global average temperature to 1.5 °C above pre-industrial levels, in line with the ambition of the Paris Agreement¹.

Negative impact on climate change is a result of lending to the most carbon-intensive sectors via our lending book. Emissions from these sectors might lead to an increase in average temperatures and potentially to more extreme weather events over the long term, unless companies and properties effectively transition to becoming net zero. For our lending book, we have identified the following negative impacts:

- Wholesale and Business Banking lending: Negative impact arises from financing operations/projects in high emitting sectors.
- Real estate lending: Properties with poor energy performance are considered a high negative impact in the short and medium term, where all non net-zero properties are associated with a material negative impact in the long term. Assessment of negative impact relies on the Energy Performance Building Directive (EPBD).

Risks on climate change mitigation materialise in the form of transition risk, which can lead to financial challenges for ING’s clients and potential losses for ING through customer defaults and reduced collateral values. For our lending book, we have identified the following potential financial risks:

- Wholesale and Business Banking lending: Transition risk for high-emitting companies can arise from efforts to reduce GHG emissions through the adoption of new technologies and retrofits, as well as from the additional costs associated with carbon pricing for indirect emissions.
- Real estate lending: Change in energy prices and EPBD IV implementation can have a negative impact on customer income, payment discipline, and eligibility for property renovation financing.

Additionally, failing to comply with applicable laws and regulations, and the inability to mitigate this risk, may result in reputational damage, legal and regulatory sanctions, and/or financial loss.

Opportunities are identified in alignment with ING’s publicly disclosed voluntary commitments to support the climate transition, such as our aim to increase our Wholesale Banking volumes mobilised, our ambition to fund the transition to a low-carbon economy via our green funding framework and our Terra approach through our renewable financing ambition.

Climate change adaptation

Climate change adaptation refers to the process of adjusting to actual and anticipated climate change and its impacts. It is intrinsically linked to physical risk, as it involves implementing strategies to manage and mitigate the effects of climate-related physical events.

Physical risks can arise from acute, event-driven occurrences, such as storms and floods, as well as from chronic, long-term shifts and trends, like rising sea levels and temperatures. These risks increase the likelihood of defaults and non-performing loans, exposing ING to financial vulnerabilities through various transmission channels, including but not limited to:

¹ As per ESRS definition

- Residential real estate lending:
 - Frequency and intensity of extreme events affecting clients’ real estate may lead to write-offs, asset devaluations, early retirement of existing assets, and a potential reduction in the availability of insurance for assets in high-risk locations.
 - Impairment of borrowers’ abilities to service their loan payments, as well as eligibility for property renovation financing due to financial distress caused by natural disasters.
- Wholesale and Business Banking lending: Infrastructure damage, operational interruptions, increased operating costs, reduced revenue due to fall in customers demand, impact on the availability of raw materials, damage to production facilities, claims from third parties and higher insurance costs may result in unexpected expenses and significant losses. Consequently, this can lead to reductions in income and profits for borrowers, affecting their ability to repay loans. The loss of income and higher insurance premiums may increase the risk of client default.
- Governments: Income effects from physical risk events may primarily arise through tax and spending channels. Lower tax revenues may result from impaired corporates, reduced household income, and an overall reduction in output. Higher government spending is likely to take place to address – and partly compensate for – negative economic impacts, and cover adaptation costs. As a result, sovereigns, including subnational institutions, could be confronted with higher borrowing costs or limited access to debt markets.

Financial effects and resilience of ING’s strategy and business model

For the identified risks we have two approaches to determine our current financial effects, more explicitly for physical risk and transition risk. Currently, it is not yet possible to fully incorporate climate risk separately into IFRS 9 ECL models given the lack of sufficient empirical historical data and data limitations in the risk assessments on client level. However, ING has taken next steps in 2024 to more explicitly cover for climate-risk drivers in loan loss provisioning. See our [‘Risk Management – credit risk’](#) section regarding loan loss provisioning for more information.

- For physical risk, we base our current financial effects on actual events that took place during the reporting year. In 2024, a provision was recognised in Spain due to payment holidays provided for customers with collateral or activities in the areas impacted by the severe floods in the Valencia area.
- For transition risk, we updated our provisions methodology applying a management adjustment, capturing the expected credit losses of our current business client portfolio.

For the anticipated financial effects, ING is making use of the phased-in requirements and only discloses the EBA Pillar III ESG information where applicable and compatible with the ESRs. Template 5 is used to provide insights on the consolidated level of sensitive exposures to physical risk and template 2 provides insights into our real estate portfolio and the energy efficiency of the related collaterals – both templates are included in the [‘Appendix to the Executive Board report’](#) together with the scope of our resilience analysis.

With regards to the exposures to physical risk, ING takes a proactive approach in managing and monitoring the identified risk. Lending criteria on material physical risk requires mandatory credit risk mitigations, either through insurance or alternative credit risk mitigations. These include collecting additional data during the underwriting process proving risk adaptation, controlling financed amount or even rejecting the asset where neither physical risk can be proven or other mitigation can be applied. For commercial and residential real estate assets it is mandatory to have material hazards (by jurisdiction) incorporated in the current market value of the property.

Transition risk refers to an institution’s financial loss that can result, directly or indirectly, from the process of adjustment towards a lower-carbon and more environmentally sustainable economy. This could be triggered by a relatively abrupt adoption of climate and environmental policies, technological progress or changes in market sentiment and preferences. Sectors with high GHG emissions will likely incur significant capital expenditures during the decarbonisation process, along with additional indirect costs from their suppliers’ decarbonisation efforts. Demand for carbon-intensive products and technologies may also contract.

Being part of a high-emitting sector does not necessarily mean inevitable default in a decarbonisation scenario. Adhering to regulatory expectations for structured transition planning and avoiding the stigmatisation of economic sectors, combined with sound risk management practices, suggests that these sectors might not disappear entirely. We believe that some of the best companies within these sectors could successfully transform. The general logic of ESRs suggests that material transition risk is closely tied to assets that could become stranded in a rapid decarbonisation scenario. For banks, this primarily means defaulted loans. We believe that a three-year period is too short to account for defaults caused solely by borrowers’ failure to transition. For longer horizons, classifying all exposure to carbon-intensive sectors as potentially stranded assets is overly conservative. A bottom-up approach to transition risk assessment is underdeveloped due to the challenges in predicting long-term financials and collection of transition plans.

Transition risk also refers to the need to upgrade the energy efficiency of real estate objects we finance. It is important to note that the translation of EPBD IV into national laws of EU member states is expected in May 2026. Until then, regulatory uncertainty remains high, which prevents the establishment of a direct link between an EPC label or primary energy demand of real estate objects and a respective level of transition risk. For more details, see our transition plans for the commercial and residential real estate sectors. We understand that regulatory pressure caused by high environmental impact is already influencing several economic sectors (e.g. aviation and automotive). Additional regulation in the future could follow, but its impact is not yet known. For the mid-term, we consider transition risk to be significantly covered by our Terra approach, which addresses the majority of emissions-intense sectors in ING’s Wholesale Banking loan book.

> Environment

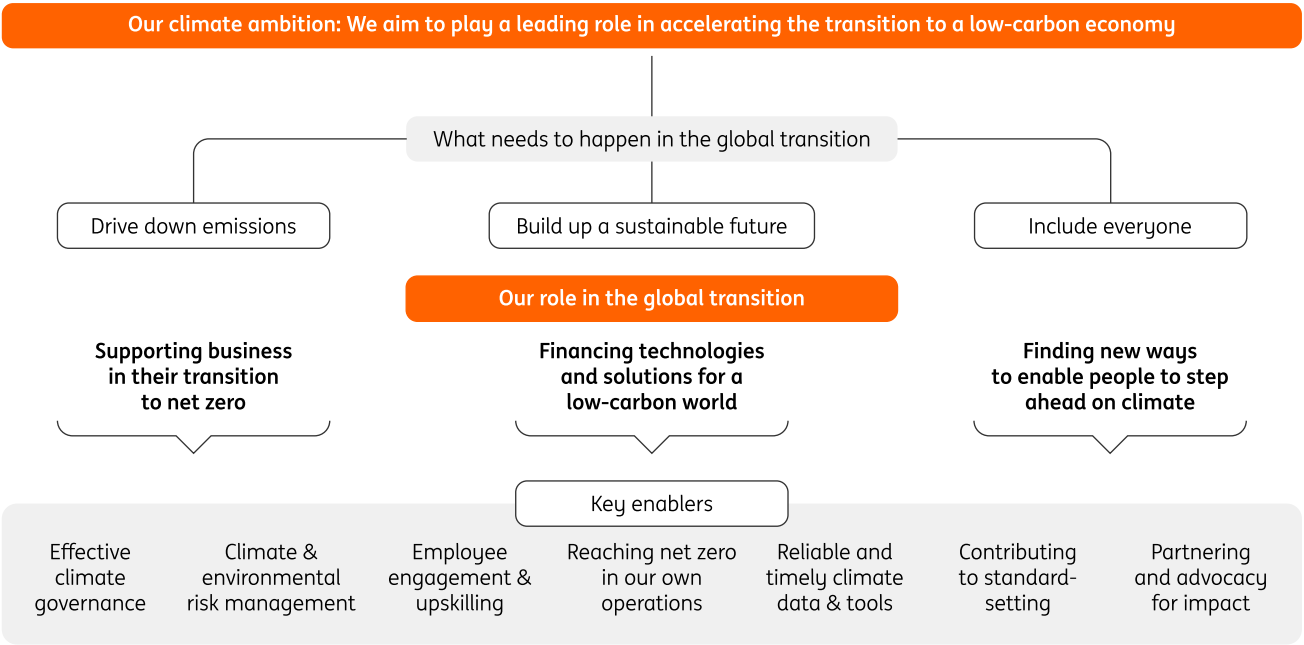
ING continued improving on the dedicated methodology for climate stress testing that focuses on assessing the impact of climate risks on corporate and mortgage exposures from a credit risk perspective. The climate stress-test methodology is built upon the regular stress-test methodology already in use for other purposes (e.g. ICAAP stress test, EBA stress test) and adds specific overlays catering for the impact of transition risk and physical risk. For more information, see [‘Environmental, social and governance risk’](#).

Through our opportunities, we are committed to supporting our clients in their sustainable transition through our product offering and through providing ‘green’ funding. The current financial effects of these opportunities are measured based on ING’s publicly disclosed commitments and the progress towards those commitments, rather than measuring the financial effects of these product offerings. For our commitments and progress on these commitments, see the power sector in our [‘Terra transition plan’](#) for renewable power generation and the [‘policies, actions and performance’](#) section for volumes mobilised and green funding framework.

Our transition plan

At ING, putting sustainability at the heart of what we do is one of the core pillars of our strategy. Climate change is one of the world's biggest challenges, threatening societies as we know them today. We want to play our part in the low-carbon transition that’s necessary to achieve a sustainable future. We aim to steer the most carbon-intensive parts of our portfolio towards meeting global climate goals and working with clients to achieve their own sustainability goals.

Our ambition is to help accelerate the transition – because it matters to us as a bank, to our clients and to society. Our activities are focused on the areas where we believe we can make the greatest impact. For more information on our strategy, see [‘Sustainability at the heart’](#).



Approach to the transition plan

With the Terra approach, ING measures the emission intensities of clients active in the most carbon-intensive sectors, except for upstream oil & gas which we steer on financial exposures. This information helps us to benchmark our clients’ activities against the relevant decarbonisation scenarios per sector. In addition, we started collecting information from Client Transition Plan (CTP) assessments in our Wholesale Banking portfolio. This increase in data availability will support us in gathering additional insights for the sector-based transition plans and enable us to engage more effectively with clients in strategic discussions about their transition strategies and identifying opportunities to support them with tailored advice, financing and investments solutions.

By engaging with our clients using this information, we steer our lending portfolio and support them in their transition, helping them to drive down the emissions caused by their business activities and financing the change that is needed. Additionally, by measuring the absolute financed emissions, where data is available, we perform hotspot analyses to monitor the ultimate impact of our lending book, identifying risks and opportunities, and defining next steps for expanding the scope of our Terra approach.

> Environment

As each sector is unique, so is our approach and the way we steer these sectors. To sharpen our sector-specific strategies and approach to the net-zero targets, we have developed sector transition plans. These plans, first published in our 2023 Climate Report, align with the recommendations from the Glasgow Financial Alliance for Net Zero (GFANZ) Transition Plan Framework and fulfill our Net Zero Banking Alliance (NZBA) commitment to be published within 12 months of setting net-zero targets for a sector.

In the next section on ‘[Our Terra approach](#)’, we outline the targets and performance of the sectors for which we developed transition plans, along with the challenges we observe and the actions we advocate for from other stakeholders, to transition to a low-carbon economy. Currently we have transition plans in place for 10 sectors, where the plan for residential real estate is under refinement, while for aluminium and dairy the transition plans are under development.

Our commitment to net zero and our transition planning were approved and overseen by ING’s management boards, who also have the responsibility for the global ambition-setting and oversight of our Terra approach.

Resources for our transition plan

As a bank, we primarily support our clients’ transition through our lending activities – which is how we implement our own transition plan. We leverage our internal planning process to integrate climate considerations into our business planning by setting boundaries through Risk Appetite Statements, setting specific sustainability targets through KPIs, and rolling these out throughout the organisation. This supports us to stimulate the lending activities aligned with our sustainability strategy and limit lending activities that do not fit our climate risk appetite.

More reliable and timely data and tooling is one of the key enablers for our climate approach. It allows us to make better decisions by more accurately assessing impacts, risks and opportunities. It drives our client engagement, risk management assessments, Terra measurements and our reporting of our progress. The success of our Terra approach therefore depends on data availability and data quality.

Embedding client alignment into our decision-making

In Wholesale Banking, we started embedding client alignment into our decision-making, with the goal of steering the most carbon-intensive parts to net zero and supporting our clients in transitioning to a low-carbon economy. As such, we strive to align our business decisions with our sustainability strategy and incorporate climate considerations into our core processes – embedding climate action into the heart of our business.

To assess potential new transactions from a climate-alignment perspective, we introduced mandatory Terra- and climate-related questions into our Wholesale Banking commercial business-approval process. This process facilitates the consideration of what role ING can play from a sustainability perspective in any new deal assessment. This process was expanded in 2024, as we further incorporate climate and overall ESG-alignment into our decision-making. We’ve created a data-driven ESG risk assessment of our clients and transactions. Among other considerations, this takes into account the climate alignment of the client against science-based pathways as set out in our Terra approach. We also assess the ambition of clients’ transition plans and their financial capability to act on that plan. Where we perceive high transition risk of the client or activity, we escalate our decision-making to the Environmental & Social Risk (ESR) team. We also set a Climate Risk Appetite Statement and establish specific metrics to manage high-risk clients in sectors with the highest GHG emissions. For more information, see our ‘[Policies, actions and performance](#)’ section.

We have also introduced internal quarterly and annual climate alignment benchmark values per sector. This supports our intermediate 2030 targets and allows us to regularly measure how we’re progressing.

Our client engagement starting point continues to be inclusion-first, based on the conviction that we can make the most impact by helping clients – especially the carbon-intensive ones – to transition their businesses. To further support our client engagement, we have developed an online tool called ESG.X to collect clients’ publicly disclosed data on their climate transition plans, including their current emissions, targets, commitments, action plans and how the plans are governed and embedded in their business strategy. We began with Wholesale Banking clients in scope of our Terra approach and our largest clients, collecting plans of around 2,000 clients. Since 2023, we have started assessing these plans, resulting in a Client Transition Plan (CTP) score per client which can be Advanced, Moderate or Low. This provides us with a more forward-looking understanding of our clients’ actions towards reducing their GHG emissions.

In 2024, we started to use the CTP assessments to inform our discussions with these clients to better understand their plans and enrich our data with qualitative information. These data-driven client engagement discussions are supported by a new Sustainability Client Engagement toolkit and training for client-facing teams in Wholesale Banking to establish consistency when tracking progress and providing support for clients in their transitions.

Through these CTP disclosure assessments and the more strategic engagement with our clients, we will have more robust proof of our clients’ progress. For those clients that remain unable or unwilling to progress, we intend to apply stricter credit conditions on the type of business we want to do with them, or cease financing.

We use financed emissions as a hotspot analysis to prioritise high-emitting sectors, after which we select the science-based scenario. We then focus on the parts of the value chain the scenario prescribes to ensure the largest impact in driving down emissions and set targets based on methodologies developed with peers and experts determining which products to take in scope. The visual below presents per sector what part of the value chain we focus on, and how this relates to the world emissions, showing that we focus on the high emitting sectors.



Scenario selection, target setting and metrics measurement

As part of the selection process, and to align our lending portfolio with net zero, we check whether there is an available International Energy Agency (IEA) NZE scenario or other relevant scientific 1.5°C scenarios from recognised institutions. These scenarios determine what net-zero targets should be set for specific sectors in the real economy. We use the most recent scenarios at the time of target setting.

When setting the reporting boundaries, the emissions scope used in the baseline is consistent with the scope used in the reporting year. The specific boundaries of the activities that we cover per sector are defined by the methodologies adopted and the available scientific scenarios. For each of the sectors in scope, the benchmark scenarios are translated into convergence pathways that reflect the alignment of ING’s portfolio with the global climate objectives on sector level. These are the basis for setting intermediary targets for 2030, and ultimately converge towards net zero by 2050.

We calculate the alignment metrics using the latest available emissions data (in general from 2023) obtained from our data providers against the financial data as of year-end 2024. Unlike financial data, which is available internally, emissions data relies on external sources and generally have a time lag. For shipping and aviation sectors, we use both asset emissions data and financial data as of year-end 2023, because the sectoral methodology requires an alignment of reporting period between them.

When measuring our lending portfolio alignment, we do not use any offsets, nor do we plan to use them to achieve our Terra approach targets in the future. Our data providers also do not account for offsets in measuring ING’s clients’ climate performance.

Our commitments, targets, baselines, calculation methodologies and alignment approach may be subject to change due to international agreements, regulations, data availability and quality, pathway availability, methodology updates, changes (or lack thereof) in public policy and government action and/or other developments affecting our clients, the sectors in which they operate or society as a whole.

We steer our portfolio based on emission intensity

When setting up the transition plans in scope of our Terra approach, we apply what we consider to be the best-fit methodology for each sector to measure and steer our loan book. Based on the sector methodologies, we set our emissions intensity or alignment delta targets (except for upstream oil & gas where we steer on our financial exposure). As a financial institution, our primary role is to provide financing to our clients and their activities. While financed emissions offer valuable insights for our hotspot analysis, they do not enable effective portfolio steering unless through divestment. To leverage our role as a bank, we focus on measuring and steering our portfolio based on emissions intensity, allowing us to engage meaningfully with companies and support their transition efforts.

In practice, a calculation of ING’s financed emissions associated with the emission-intensity targets would require multiple assumptions of our counterparties’ projected GHG emissions, the value of the counterparty, ING’s client and asset selection, and ING’s overall size and composition of the balance sheet. In a situation where these assumptions and the profile of ING’s balance sheet remain fully stable, the financed emissions would change in accordance with the change in emission intensity. It should be noted that this is a hypothetical situation. Hence, rather than steering on an absolute volume of GHG emissions, ING steers its transition plan on the basis of the emissions intensity of its counterparties.

Difference between intensity metrics and financed emissions

As a financial institution, we finance economic activities which we present as our outstandings. For the calculation of the intensity metrics (Terra) and the calculation of the financed emissions, we have different financial products in scope, and with Terra we focus on specific sectors and high-emitting clients. For more information see '[Technical notes to the sector transition plan](#)'. Financed emissions includes the on-balance lending products term loans, revolvers and leases, in accordance with the Partnership for Carbon Accounting Financials (PCAF) methodology.

Our sector transition plans

Our Terra toolbox, as shown below, is a summary of our approach per sector. For definitions and other details, see the ‘[Appendix to the Executive Board report](#)’. In the following sections, we provide an overview per sector on the challenges we observe and which actions we deem necessary from society, our performance and our own actions.

Terra toolbox												
2024							Baseline		2024		Target	Reference value
Sector	Outstanding in scope (EUR billion)	Methodology used to measure the portfolio	Scope covered	Financial products covered	Metric	Scenario/pathway for 2030 target	Year	Portfolio value	Portfolio value	Distance to IEA 2030 convergence metric ³	2030 Target vs. Baseline	1.5 °C aligned reference value (2050) ¹
Power generation	11.5	PACTA	Scope 1	On-balance term loans and revolvers	kg CO ₂ e / MWh	IEA NZA (WEO, 2023)	2018	297	63	-4%	-78% -100% (by 2040)	n/a
Oil & Gas	1.0	PACTA Credit Application Paper	Scope 1, 2 and 3	On-balance term loans and revolvers	Outstanding amount (€ million)	IEA NZE (WEO, 2023)	2019	3,986	1,001	-61%	-35% -100% (by 2040)	n/a
		PCAF			Absolute emissions (million t CO ₂ e)	IEA NZE (WEO, 2023)	2019	99	11	-78%	-50%	n/a
Mid- and Downstream	7.4	Convergence approach	Scope 1, 2	On-balance term loans and revolvers	kg CO ₂ e / boe	IEA NZE (Emissions from Oil and Gas Operations in Net Zero Transitions, 2023)	2022	19.2	19.1	31%	-24%	-100%
Cement	0.7	PACTA	Scope 1, 2	On-balance term loans and revolvers	t CO ₂ / t cement	IEA NZE (WEO, 2023)	2020	0.734	0.688	33%	-29%	-97%
Steel	2.0	Sustainable STEEL Principles	Scope 1, 2, parts of Scope 3	On-balance and off-balance lending products	SSP Alignment score	IEA NZE (WEO, 2021) and Mission Possible Partnership's Technology Moratorium	n/a	n/a	0.83	n/a	0	0
					t CO ₂ / t steel	IEA NZE (WEO, 2021)			1.93	32%	n/a	n/a
Automotive	4.0	PACTA	Scope 3 (Cat.11)	On-balance term loans and revolvers	kg CO ₂ / vkm	IEA NZE (Net Zero by 2050, 2021)	2020	0.199	0.146	45%	-49%	-98%
Aviation	4.1	Pegasus Guidelines	Scope 1 and parts of Scope 3	Committed amounts of on-balance term loans and revolvers	g CO ₂ e / RTK	MPP PRU	2023	844	844	33%	-19%	-100%
Shipping	8.6	Poseidon Principles	Scope 1	Loans and guarantees secured by vessels	Alignment delta	DNV 1.5°C Initiative	n/a	n/a	-7.6%	n/a	0%	0%
Commercial real estate	26.2	PCAF, CRREM	Scope 1 and 2 ²	Loans secured by income generated assets	kg CO ₂ e / m ²	CRREM 1.5° C GHG pathways (based on IEA NZE)	2022	39.2	39.5	131%	-56%	-98%
Residential real estate	294.3	PCAF, CRREM	Scope 1 and 2 ²	Mortgages secured by assets	kg CO ₂ e / m ²	CRREM 1.5° C GHG pathways (based on IEA NZE)	2021	39.8	37.5	n/a	n/a	n/a

¹ According to the sector scenario/pathway.

² For the emissions scope, we follow a whole building approach including the electricity consumptions of the occupants.

³ A negative value means that the reported emission intensity is ahead of the 2030 IEA convergence point, where a positive value relates to the percentage decrease we still need to achieve to meet the 2030 IEA convergence pathway.

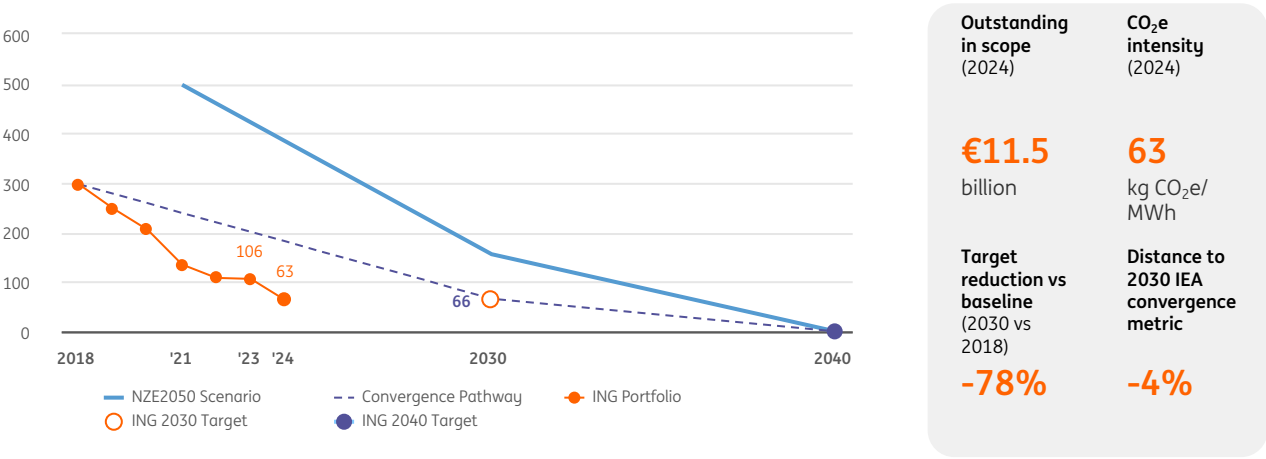
> Environment

Power generation

We expect the power-generation industry to maximise renewable energy and boost power-storage technology. Power-storage technologies such as batteries and hydrogen are critical and, where necessary, would require incentive. In addition, permits and infrastructure for carbon capture and storage on existing waste and biomass incineration plants would create negative emissions. Finally, the market should expand, strengthen and modernise power grids to prepare for increased electricity demand, increased volatility due to rapid renewable capacity build-out and extreme weather conditions.

Terra targets and performance

Power generation (kg CO₂e/MWh)



We calculated the emission intensity based on the 2024 outstanding to clients in scope of Terra and the 2023 emission data, as 2024 emission data is not yet available. The emission intensity has improved by -41%, from 106 kg CO₂e / MWh in 2023 to 63 kg CO₂e / MWh in 2024, which is mainly due to our continuing efforts to support our clients with renewable power generation financing. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions

The product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available.

Financed emissions for this portfolio have increased by +693 kt CO₂e to 11,103 kt CO₂e for scope 1 and 2, and by +1,314 kt CO₂e to 5,728 kt CO₂e for scope 3. These changes are driven by a combination of factors including an increase in portfolio size, as well as the increase in drawdown of products covered by financed emissions for a few higher-emitting clients. See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

In 2015, ING decided to end the financing of new coal-fired power plants and thermal coal mines worldwide. In 2017, we set a goal to bring our financing for coal-fired power plants down to close to zero by the end of 2025. The outstanding to individual coal-fired power plants remains EUR 77 million (2023: EUR 77 million). The current portfolio consists of a limited number of legacy loans and we are continuing our efforts to reduce the outstanding to close to zero by end of 2025 in line with our policies.

In 2023 we tripled our target for financing of renewable power generation to EUR 7.5 billion annually by 2025, up from our earlier EUR 2.5 billion target set in 2022. In 2024, ING committed to EUR 7 billion of new financing in renewable power generation (mainly wind and solar).

Transaction highlight: Sosteneo Infrastructure

In 2024, ING acted as bookrunner/underwriter, agent, lending and hedging bank, together with other financial institutions, in granting Sosteneo Infrastructure Partners more than €900 million for the acquisition of 49 percent of the share capital of Enel Libra Flexsys. This company was set up by Enel Group to build and manage a major portfolio of assets related to energy transition: 23 battery energy storage projects for a capacity of 1.7 GW and three projects for the refurbishment of open combined-cycle gas fired power plants, for a capacity of 0.9 GW. This represents critical new infrastructure, that will provide flexibility and reliability to the Italian grid that is vital for the integration of more renewable generation. Revenues are fully contracted for 15 years through capacity agreements with Enel as well as capacity payments from Enel that are backed by Terna SpA, Italy’s transmission system operator.

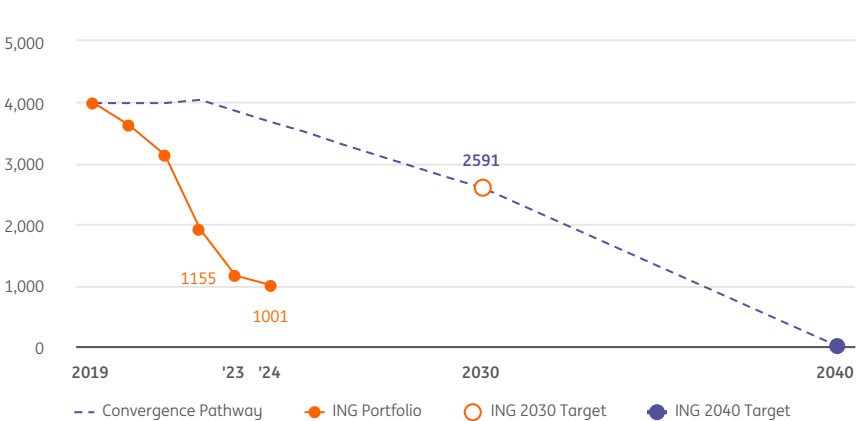
> Environment

Oil & gas

Oil & gas accounts for about 60 percent of all primary energy consumed worldwide¹. According to the International Energy Agency (IEA), the supply of crude oil & natural gas combusted for energy production will phase out in the net-zero emissions by 2050 scenario. Sustainable bio- and e-fuels can replace fossil fuels and the International Energy Agency says they need to make up 13 percent of the total energy supply by 2030 to achieve net-zero emissions by 2050. Alongside the reduction of the crude oil & natural gas supply (upstream), the industry – especially the mid- & downstream value chain – has to decarbonise. Reducing methane (CH₄) leaks to the atmosphere is the single most important and cost-effective way to bring down these emissions. The pace of decarbonisation of fossil fuels can be accelerated by harnessing the potential for carbon capture and storage (CCS). These steps are all important for moving towards a low-carbon future.

Terra targets and performance

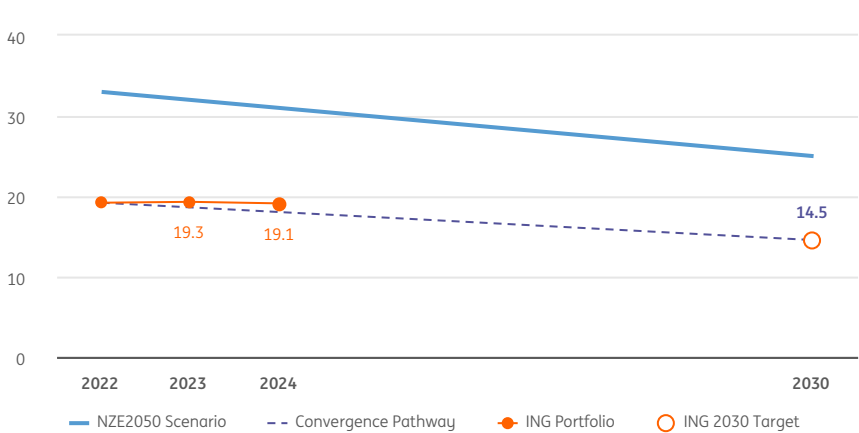
Upstream oil & gas (in EUR million)



Outstanding in scope (2024)	Financed Emissions (2024)
€1.0 billion	11 Million t CO ₂ e
Target reduction vs baseline (2030 vs 2019)	Distance to 2030 IEA convergence metric
-35%	-61%

In 2024, our result shows that the outstandings to clients in scope of Terra has reduced by -13%, from EUR 1,155 million in 2023 to EUR 1,001 million in 2024. This is mainly driven by changes in the Terra portfolio composition during the reporting year, and our active steering of the exposure to meet our 2030 and 2040 outstanding and financed emissions targets. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Mid- and downstream oil & gas (kg CO₂e/boe)



Outstanding in scope (2024)	CO ₂ e intensity (2024)
€7.4 billion	19.1 kg CO ₂ e/boe
Target reduction vs baseline (2030 vs. 2022)	Distance to 2030 IEA convergence metric
-24%	31%

We calculated the emissions intensity based on the 2024 outstanding to clients in scope of Terra and 2022 emission data, as 2023 or 2024 emission data is not yet available. The emissions intensity has improved by -1%, from 19.3 kg CO₂e / boe in 2023 to 19.1 kg CO₂e / boe in 2024, which is driven by changes in the Terra portfolio composition during the reporting year and the measured outstandings to each client in scope – noting that emissions intensity profiles vary over different parts of the mid- and downstream value chain. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions oil & gas

For upstream O&G, we steer our portfolio on both measured outstanding amounts and financed emissions. Financed emissions for this portfolio have changed by -867 kt CO₂e to 702 kt CO₂e for scope 1 and 2, and by -13,343 kt CO₂e to 10,325 kt CO₂e for scope 3. These changes are mainly driven by the reduction in portfolio size, especially for a few higher emitting clients. See the [‘Financed emissions’](#) table for more details.

For mid- and downstream O&G, the product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available. Financed emissions for this portfolio have changed by +537 kt CO₂e to 3,417 kt CO₂e for scope 1 and 2, and by +75 kt CO₂e to 16,928 kt CO₂e for scope 3. These changes are mainly driven by the increase in drawdown of products for a few higher-emitting clients. See the [‘Financed emissions’](#) table for more details.

¹ <https://iea.blob.core.windows.net/assets/ed1e4c42-5726-4269-b801-97b3d32e117c/WorldEnergyOutlook2023.pdf>

The key highlights of our action plan for oil & gas

In March 2022, we announced we would stop dedicated financing to new oil & gas fields (upstream). In December 2023, we announced the next steps in our energy approach, by phasing out the financing of upstream oil & gas activities by 2040.

In March 2023, we expanded our restriction to dedicated finance to connected ‘midstream’ (oil & gas infrastructure) activities that unlock new field developments. In September 2024, we decided to stop providing new financing for new liquefied natural gas (LNG) export terminals after 2025, as guided by the NZE2050 scenario as part of IEA’s World Energy Outlook 2023. We also announced our aim to reduce the combined volume of traded oil and gas in line with IEA pathways, and to include our Trade and Commodity Finance (TCF) business in our Terra approach.

We continue to support our oil & gas clients that are investing in the production of sustainable fuel ‘new energies’, replacing fossil hydrocarbons to decarbonise the activities of other sectors.

ING’s hydrocarbons & new energies team is focused on the value chains of three key areas:

- Sustainable fuels, comprising e-fuels and biofuels like hydrogen, ammonia, biomethane and sustainable aviation fuel (SAF). Many of these sustainable fuels avoid additional CO2 emissions as these are produced from non-fossil based feedstock, like green hydrogen or bio-waste.
- Recycled feedstock solutions for plastic production through chemical recycling (e.g. through pyrolysis). The produced hydrocarbons from this recycling process are now blended in, but can fully replace the fossil-based feedstock.
- Carbon capture and storage solutions. CO2 capture in industrial areas and storing in depleted gas fields or aquifers.

Beyond our energy sector transition plan

Our energy strategy, which applies to our total energy outstanding, focuses on the following committed actions:

1. Phasing out lending to individual coal-fired power plants by 2025;
2. Phasing out lending to clients with activities in upstream oil & gas (O&G) by 2040; and
3. Tripling our annual commitments to renewable power generation lending to EUR 7.5 billion, by 2025.

With our Terra approach we focus on the high-emitting sectors and activities as part of the above-mentioned commitments. Our main impact comes from lending activities within our Wholesale Banking lending book. Non-lending products, such as from Financial Markets and Transaction Services activities, are for instance not directly linked to the client's business activity. Therefore these activities are not included in our Terra approach.

The following table provides an overview of our outstandings and a breakdown of the scope differences between Terra and the total energy outstanding, as managed by our Wholesale Banking sector team. Outstandings are reported in line with ING's credit risk portfolio, as disclosed in our ['Risk management'](#) section. These portfolios are defined by industry classification codes (NAICS) for financial reporting, which are based on the primary activity of our clients.

Reconciliation Terra and total energy outstanding						
in EUR billion		Scope differences			2024	2023 ¹
	Terra scope	Activities	Products	Other ²	Total	Total
Upstream O&G	1.0	0.2	0.6	0.3	2.0	2.4
Mid-and downstream O&G	7.4	2.4	5.0	0.3	15.1	14.7
Total oil & gas	8.4	2.6	5.6	0.6	17.1	17.1
Utilities & power	11.5	8.6	3.6	2.2	25.9	23.5
– of which renewables					12.5	9.7
Total energy	19.9	11.2	9.2	2.8	43.0	40.6

In 2024, we continued the reduction pathway for our upstream oil & gas lending portfolio, while the continuous growth in renewables has driven the growth in our power portfolio. This is a consequence of the strategic direction as explained at the start of this section.

During the year, we introduced the category integrated O&G, which consists of our general lending to companies active in the whole value chain of O&G (both up- and mid- and downstream). In the past we used a revenue allocation approach to allocate these companies to either up- or mid-and downstream O&G. Due to the fluctuating nature of oil & gas prices, resulting in reclassifications year-on-year, we adapted our approach and reclassified EUR 0.1 billion from upstream O&G to mid- and downstream O&G. Comparative figures have been updated to reflect this change.

Integrated O&G is part of mid- and downstream O&G, as the majority of the activities of these clients relate to mid- and downstream activities. As such, integrated O&G is steered via our mid- and downstream Terra targets. Integrated O&G client activities are being monitored via our client engagement approach. Loans dedicated to upstream activities are allocated to upstream and managed accordingly under Terra.

ING considers energy trade flows to be an integral part of the energy value chain. However, the short-term nature of trade & commodity finance (TCF) and fluctuating intra-year and year-on-year price and trade patterns present unique challenges. As of now, a methodology for aligning the financing of oil & gas trade flows with the energy-transition pathways in climate scenarios does not exist. Due to this, TCF products were not yet covered in our sector transition plans.

In 2023, we announced that we would work towards including our TCF business in the Terra approach. We have been collaborating with external experts and a consortium of banks to co-develop an emissions measurement methodology. The methodology is now finalised and undergoing stakeholder review, which we aim to apply in 2025. The table below presents our TCF exposures for both outstandings and limits to our clients.

Energy trading outstandings and limits		
in EUR billion		
	2024	2023
Oil & gas limits	28.2	27.3
Oil & gas outstandings	11.1	12.4

¹ Comparative figures for utilities & power (excl. of battery storage) and oil & gas (integrated O&G) have been restated

² Consists mainly of Retail (Business Banking) outstandings, not steered via Terra

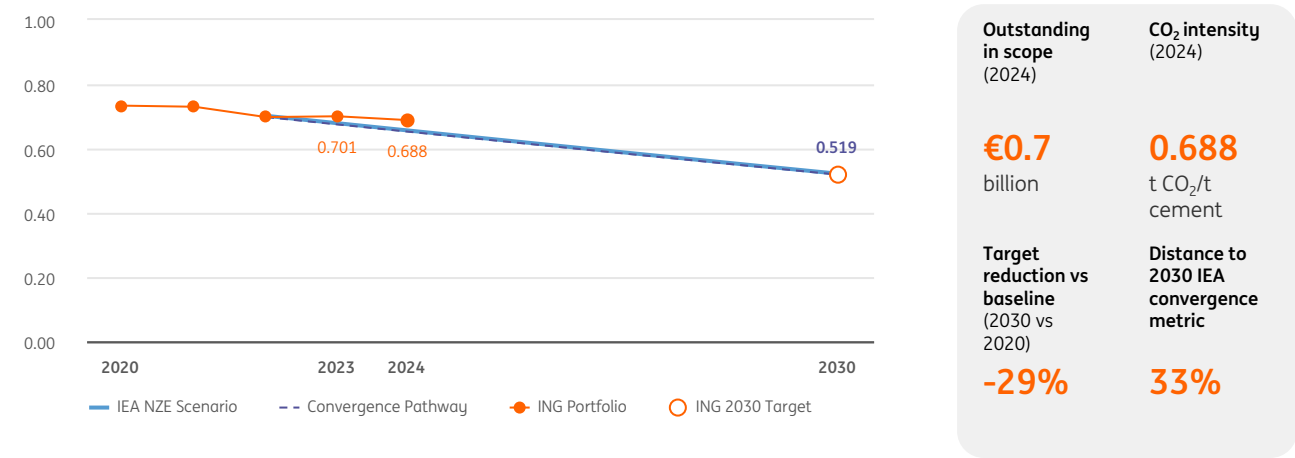
> Environment

Cement

For the cement industry to decarbonise, technology needs to be stimulated – such as low clinker cement, carbon capture and storage, alternative fuels and electric kilns, together with emerging technologies in material efficiency and cement recycling. More cooperation between advanced and developing economies is needed to establish effective climate policies and prevent carbon leakage.

Terra targets and performance

Cement (t CO₂/t cement)



We calculated the emission intensity based on the 2024 outstanding to clients in scope of Terra and the 2023 emission data, as 2024 emission data is not yet available. The emission intensity has improved by -2%, from 0.701 t CO₂ / t cement in 2023 to 0.688 t CO₂/t cement in 2024, which is driven by changes in the Terra portfolio composition during the reporting year and the measured outstandings to each client in scope. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions

The product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector-steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available.

Financed emissions for this portfolio have increased by +195 kt CO₂e to 1,427 kt CO₂e for scope 1 and 2, and by +98 kt CO₂e to 473 kt CO₂e for scope 3. These changes are mainly driven by a combination of factors, including increase in drawdown of products covered by financed emissions for a few higher-emitting clients, as well as the increased coverage in the Terra portfolio. See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

We steer our portfolio actively and focus on supporting and advising clients in their transition through dedicated sustainable finance solutions in line with market standards and recognised science-based targets for the sector. We also engage with our clients in strategic discussions about their transition strategies, in order to stay up to date with the latest technological developments and in seeking opportunities to support them with advice and tailored financing and investment solutions. In particular, we assist the transition of our clients by supporting on carbon capture, utilisation and storage (CCUS), recycling activities and alternative fuels, as these levers are crucial for the cement sector to meet climate goals.

Transaction highlight: Cemex

In 2023, ING acted as joint bookrunner and sole sustainability coordinator for global construction materials company Cemex in the refinancing of its \$3 billion senior corporate facilities (composed of a \$2 billion RCF and \$1 billion term loan). Back in 2021, ING advised Cemex on the establishment of its sustainability-linked financing framework, which was updated in 2023 to reflect additional material KPIs and industry-leading sustainability targets. The Sustainable Finance Framework received a second-party opinion from Sustainalytics, which confirmed full alignment with ICMA, LMA, LSTA, APLMA principles and best-industry benchmarks. Three KPIs focused on climate action, namely: (i) scope 1 and 2 CO₂ emissions per ton of cementitious product (kgCO₂ /t); (ii) clinker factor to cementitious; and (iii) percentage of alternative fuels rate. These 2030 decarbonisation targets are validated by the Science-Based Targets initiative (SBTi) for alignment with the 1.5°C scenario.

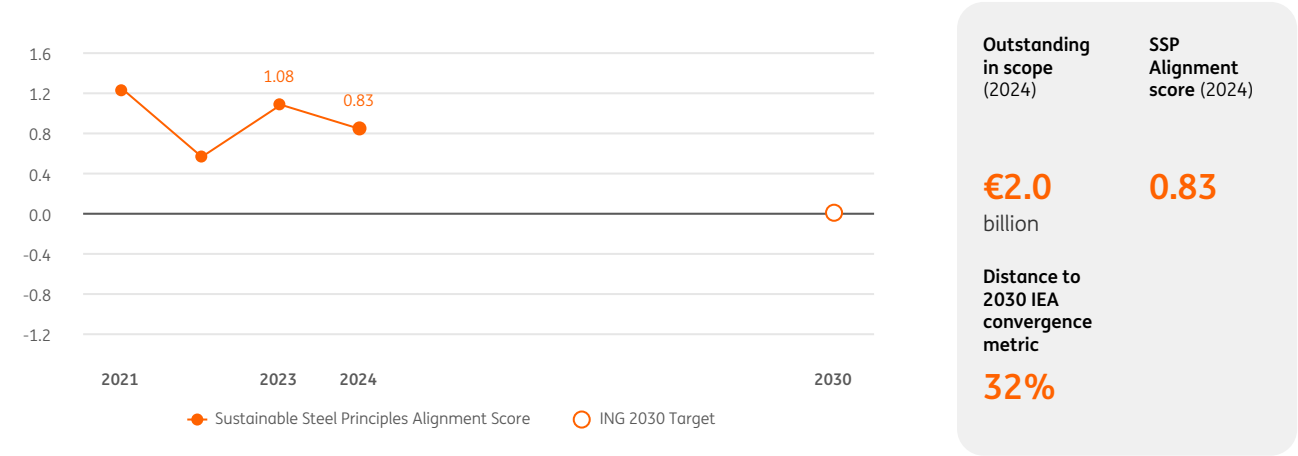
> Environment

Steel

The steel industry is recognised as a hard-to-abate sector operating within a highly competitive wholesale market. The long lifespan of its assets presents a significant challenge for industry players seeking to decarbonise their operations. For the steel sector to reach its net-zero targets, clear regulation that incentivises and supports the substantial investments needed in new technology is essential. In addition, the transition this sector is going through will need vast amounts of affordable green electricity and a robust hydrogen infrastructure. Cooperation between developed countries on carbon pricing and border taxes will be required to avoid carbon leakage in the initial phase, after which the knowledge gained should be used to support other major markets like China and India in their transition.

Terra targets and performance

Steel (SSP Alignment score)



We calculated the emission intensity based on the 2024 outstanding to clients in scope of Terra and the 2023 emission data, as 2024 emission data is not yet available. The SSP Alignment score is reported at 0.83, while the aggregated portfolio emission intensity has improved by -1%, from 1.95 t CO₂ / t steel in 2023 to 1.93 t CO₂ / t steel in 2024. Although we show progress, the alignment score, which is above 0, means that we are not yet fully aligned with the emissions intensity of the IEA NZE. This is driven by changes in the Terra portfolio composition during the reporting year and the measured outstandings to each client in scope. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

During the financial year 2024, our green steel clients’ drawdowns increased, representing around 4 percent of the total in-scope financing of our Terra steel sector at the end of the year. These disruptive clients are working on state-of-the-art technology which once operational, will produce green iron and steel using renewable energy and green hydrogen. Because plants are still under construction, the climate performance associated with these clients has not been included in our calculations. We follow the SSP guidance to measure the climate alignment of our portfolio and will update our approach if and once the Sustainable STEEL Principles are updated to accommodate inclusion of not yet operational greenfield projects.

Financed emissions

The product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector-steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available.

Financed emissions for this portfolio have increased by +780 kt CO₂e to 1,309 kt CO₂e for scope 1 and 2, and by -169 kt CO₂e to 698 kt CO₂e for scope 3. These changes are mainly driven by the increase in drawdown of products covered by financed emissions for a few higher-emitting clients. See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

We restrict dedicated liquid or crude steel project and asset financing for clients to net-zero-ready retrofits of existing steel mills and net-zero-ready new steel mills. We also engage frequently with existing steelmakers, new entrants and projects on their plans, in order to stay up to date with the latest technological developments and finance projects that we deem impactful. We steer our portfolio towards net zero by seeking prospective new clients that are developing net zero-ready steel mills, and when making commercial decisions, we take into account the emissions intensity of steel producers and whether they have a credible transition plan in place.

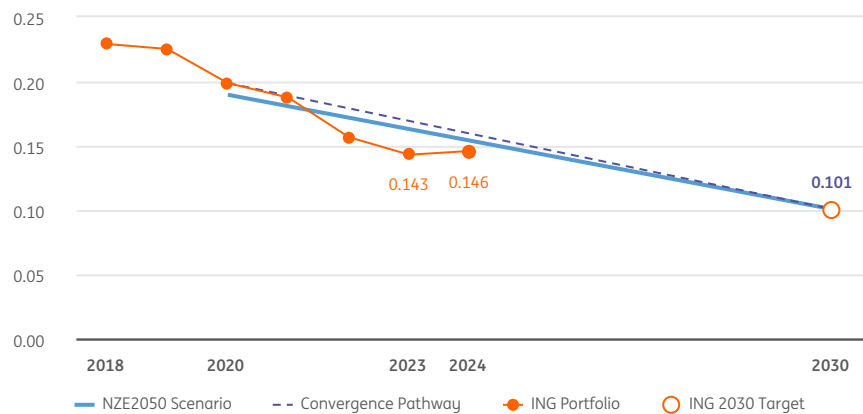
In terms of stakeholder advocacy, we actively engage with the European Commission at senior levels on measures that would facilitate a faster transition of the European steel industry.

Automotive

For the automotive industry to decarbonise, there is a need to continue to stimulate the shift to electric vehicles (EVs) by setting norms and phasing out internal combustion engine vehicles (ICEs), with the aim to gain scale in EV production, stimulate product range development, and reduce the relative total cost of ownership of EVs. Furthermore, more investments are required in the accelerated roll-out of EV-related (charging) infrastructure, shifting subsidies from fossil fuels to renewable power, establishing localised battery value chains and promoting circular practices to secure resources in the long term. From a wider value-chain perspective, it is important to enforce EV battery recycling and hold both manufacturers and mining companies accountable for decarbonising their production processes.

Terra targets and performance

Automotive (kg CO₂/vkm)



We calculated the emission intensity based on the 2024 outstanding to clients in scope of Terra and the 2023 emission data, as 2024 emission data is not yet available. Per client level, the data related to the share of fully electrified vehicles has not changed. The emission intensity shows a slight increase of +2%, from 0.143 kg CO₂ / vkm in 2023 to 0.146 kg CO₂ / vkm in 2024, which is driven by changes in the Terra portfolio composition during the reporting year and the measured outstandings to each client in scope. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions

The product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector-steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available.

Financed emissions for this portfolio have increased by +66 kt CO₂e to 90 kt CO₂e for scope 1 and 2, and by +1,916 kt CO₂e to 4,487 kt CO₂e for scope 3. These changes are mainly driven by increase in portfolio size. See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

We finance the transition of our clients by offering dedicated products and services, like our sustainability-linked loans, bonds, supply-chain financing, green loans, green bonds, and (for Germany only) financial market instruments. We also continue supporting companies in the value chain, and create internal commercial incentives to support the development of critical parts in the value chain, such as traction batteries, EV charging infrastructure, increasing circularity in the sector, etc. In addition, in seeking new business, we focus on prospective new clients that already have a high degree of electrification and/or an ambitious transition plan to grow their electric vehicle production.

In terms of stakeholder advocacy, we continue to monitor the development of green policies, recycling and waste treatment, and advocate for setting more standards and data disclosure requirements.

Transaction highlight: Volkswagen Leasing

ING supported Volkswagen (VW) Leasing GmbH in the completion of its first green bond transaction. Three bonds with a combined total of €2 billion were issued on the basis of VW’s published Green Finance Framework. This highlights the importance of sustainability to VW and its international investors and is a core element of the group’s MOBILITY2030 strategy. It gives appropriate weight to sustainability in the strategic refinancing mix and supports the sales of electric vehicles from the Volkswagen Group. The proceeds from the green bonds will be used exclusively to finance BEVs (Battery Electric Vehicles).

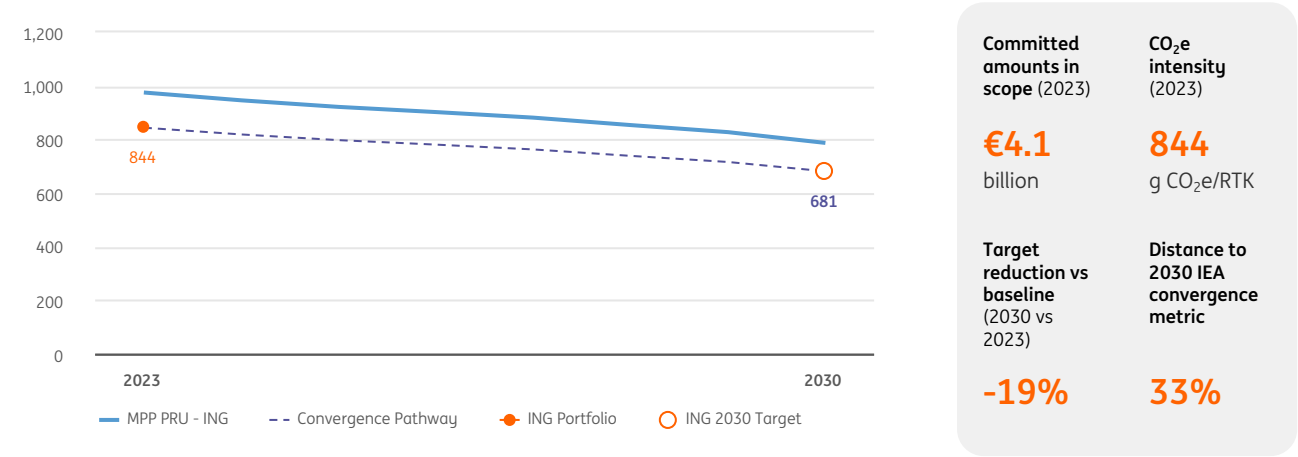
> Environment

Aviation

For the aviation industry to meet the net-zero targets, there is a need for more research into policy, regulatory and market trends to monitor developments in pricing schemes and sustainable aviation fuel (SAF). Actions to engage with government and policymakers are also needed to meet net-zero targets.

Terra targets and performance

Aviation (g CO₂e/RTK)



We calculate the emission intensity based on the 2023 committed amounts to clients in scope of Terra and the 2023 emission data following the requirements set under the Pegasus Guidelines. The emission intensity for 2023 is 844 g CO₂e / RTK. This metric also represents our baseline, as we have updated our pathway under the Mission Possible Partnership Prudential Scenario (MPP PR) – ING’s pathway benchmark. In 2023, 71 percent of the committed exposures, related to aircraft financing, was for next-generation aircrafts. This is a significant increase from the 25 percent next-generation aircraft in the 2019 portfolio and a further improvement on the 62.5 percent achieved in 2022. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions

The product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available.

Financed emissions for this portfolio have decreased by -103 kt CO₂e to 2,507 kt CO₂e for scope 1 and 2, and by -227 kt CO₂e to 1,338 kt CO₂e for scope 3. These changes are mainly driven by the decrease in outstanding for the products covered by financed emissions (i.e. term loan, leases and revolvers). See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

We continue the focus on increasing the proportion of next-generation aircraft in our overall aviation financing portfolio. Given that half of the global fleet is owned by leasing companies, we engage with the leasing companies on the calculation and reporting of emissions and setting emissions-reduction targets. We also engage with the energy sector to explore opportunities to finance SAF production capacity.

In terms of stakeholder advocacy, through our participation in IMPACT, we support the enablers of sustainable aviation (including sustainable aviation fuel – SAF – production) by sharing research and facilitating dialogues between relevant stakeholders.

Shipping

While there has been material progress in reducing shipping emissions in recent years, the scaling up of alternative low-carbon fuels is crucial for the industry to meet its net-zero target. In parallel, the supply chain to ensure availability of such fuels in ports needs to develop over time. Upcoming regulations both from the International Maritime Organization (IMO) and the EU will incentivise the use of alternative fuels to create an environment that is conducive for the production and use of such fuels. There has been an increase in the ordering of vessels that are capable of operating on alternative fuels.

The retrofiting of existing vessels to enable them to switch to alternative fuels and retrofiting of energy efficiency devices is expected to be another key part of the solution to achieve the emissions-reduction targets. This will require increased shipyard capacity and financing to support the sizeable CAPEX investments. The effective implementation of green corridors is seen as a driver to accelerate the transition. ING is the only commercial bank in the Silk Alliance Green Corridor initiative and leads the finance workstream for the Alliance. The Silk Alliance engages with governments and ports as part of their outreach and lobbying efforts for the Green Corridor.

Terra targets and performance

Shipping (Alignment delta)



We calculate the emission intensity based on the 2023 outstanding to clients in scope of Terra and the 2023 emission data, following the DNV 1.5°C Initiative methodology, which is consistent with the Poseidon Principles Technical Guidance. The debt-weighted portfolio alignment delta is reported at -7.6%. The strong alignment delta is mainly driven by our continued engagement with our clients, as well as the impact of environmental regulation for shipping that came into effect in recent years. For this sector, we have updated and applied the DNV 1.5°C Initiative trajectory for target-setting starting from this reporting year. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions

The product scope and applied methodology are different between the emission intensities under our Terra approach and financed emissions. We steer via our Terra approach and do not use financed emissions for sector-steering purposes. We apply the 2023 emission data, as the 2024 data is not yet available.

Financed emissions for this portfolio have increased by +233 kt CO₂e to 2,577 kt CO₂e for scope 1 and 2, and decreased by -444 kt CO₂e to 1,500 kt CO₂e for scope 3. These changes are mainly driven by the changes in the Terra portfolio composition (e.g. new clients). See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

We engage proactively with clients to support and accelerate their transition plans towards net-zero goals, as well as supporting them in new technologies and fuels. This includes financing solutions (e.g. Export Credit Agency options) for energy-efficiency retrofits and alternative fuel-propulsion systems.

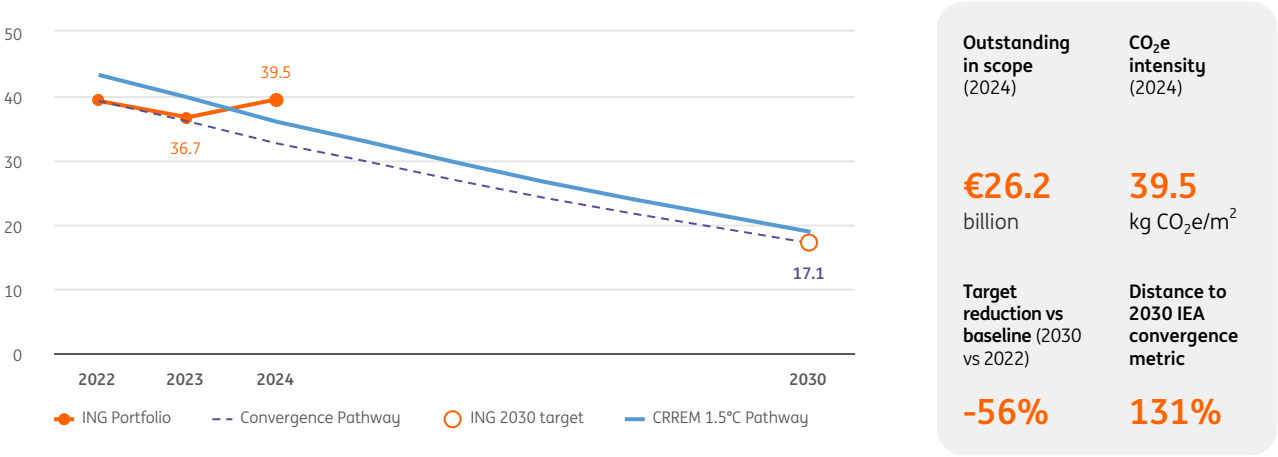
In terms of stakeholder advocacy, we collaborate across sectors and value chains to identify opportunities and connect clients to new developments on alternative fuels or carbon capture, utilisation and storage (CCUS) by sharing research and best practices. For new alternative energy projects which will involve shipping as a part of the supply chain, a cross-sector sustainable value-chain approach can be explored. Meanwhile, we continue to partner with governments, development banks, and specialised institutions to enable green corridors to create a demand signal for alternative fuels. We are also actively involved in steering the sector towards climate goals through our representation on key forums and initiatives, such as Poseidon Principles, 1.5°C Initiative, UK Clean Maritime Council, NZBA, Silk Alliance, and others.

Commercial real estate

For the commercial real estate industry to decarbonise, norms and regulation on data measurement and disclosure are important, as data measurement is a precondition for managing CO₂ emissions. The sector should be required to measure and disclose the CO₂ emissions of buildings and define strategies to fill in 'data gaps'. At the moment, the requirements for the real estate sector from current legislation about sustainability are still limited, and sometimes voluntary, while national regulations on building standards are already adopting elements on energy efficiency or circular economy. We believe it is necessary to urgently implement a blend of subsidies, regulations and norms that incentivise the deployment of decarbonisation measures (like insulation, heat pumps, district heating, smart meters etc.) and limit transition risks. For assets in the EU, the Energy Performance of Buildings Directive IV (EPBD IV) is expected to drive the transformation of the low-performing assets in the coming years significantly and will also help to create more transparency in the industry. On a global basis, it remains a major challenge.

Terra targets and performance

Commercial real estate (kg CO₂e/m²)



The emission intensity has increased by +7.6% from 36.7 kg CO₂e / m² in 2023 to 39.5 kg CO₂e / m², which is mainly driven by the implementation of a newly validated model in Business Banking Real Estate for the Netherlands (RE BB NL), in combination with higher emission factors and changes in data quality related to energy labels (e.g. more granular data for Wholesale Banking Real Estate (WB RE)). The results represent the combined performance of WB RE and RE BB NL. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

Financed emissions

The applied methodology is different between financed emissions and emission intensities under our Terra approach. We steer via our Terra approach and do not use financed emissions for sector-steering purposes.

Financed emissions for this portfolio have increased by +104 kt CO₂e to 464 kt CO₂e for WB RE portfolio (Scope 1 and 2), and by +18 kt CO₂e to 236 kt CO₂e for the RE BB NL portfolio (scope 1 and 2). These changes are mainly driven by changes in data quality of energy labels (e.g. more granular data) for WB RE, and updated emission factors that are higher than previous year for RE BB NL. See the [‘Financed emission’](#) table for more details.

The key highlights of our action plan

For our real estate portfolio managed by RE BB NL, we’ve set and communicate a clear sustainability strategy and targets to our clients and our colleagues. RE BB NL already has a clear sustainability target in place, which is applied to both existing and new financing. All buildings should have a valid energy label ‘A’ by 2030. In 2024, RE BB NL focused on receiving transition plans on how to reach an energy label A in 2030 from all our clients. In 2025, these plans will be interpreted and gradually become part of the credit approval process.

For WB RE, all new Wholesale Banking transactions, where data is available, are benchmarked against the CRREM convergence pathway, and either need to meet minimum standards for sustainable financing, or have a transition plan in place. For the existing lending book, there is a proactive approach towards our clients in the case of non-sustainable assets to enter into a transition plan, which needs to be cost and carbon efficient and allow adjustments based on available technology and regulatory developments.

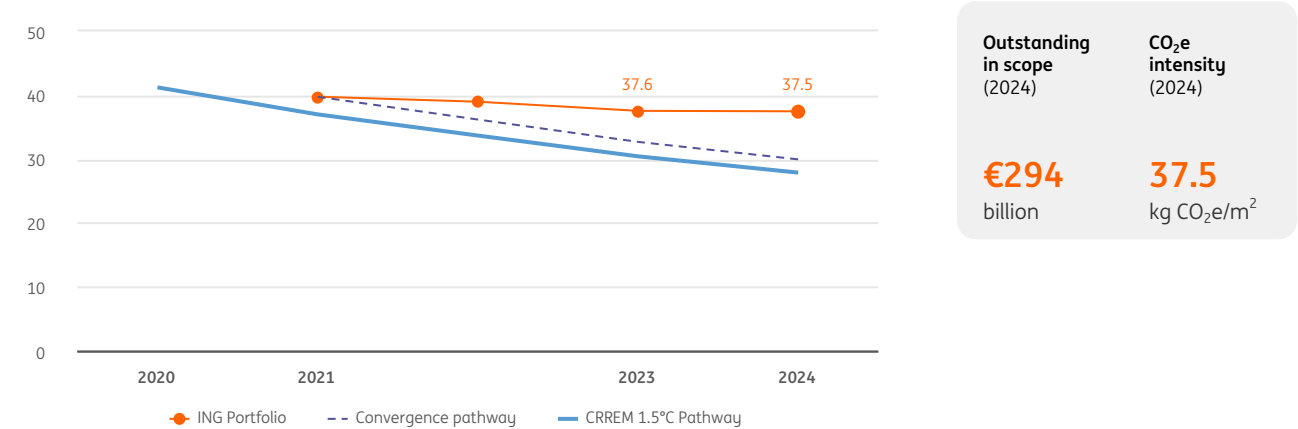
In terms of stakeholder advocacy, we will continue working with external stakeholders on projects like standardisation of ESG data for the real estate sector, valuation standards in light of climate-related transitional risks or alignment in decarbonisation legislation.

Residential real estate

Residential real estate, also referred to as residential mortgages, is a substantial part of ING’s lending portfolio and is a relevant contributor to our financed emissions. As a bank, ING can reduce the CO₂e intensity of our portfolio by incentivising new customers to choose higher efficiency homes, and by enabling existing customers to renovate their homes.

Next to homeowners and banks, many stakeholders play a role in reducing emissions in this sector. For example, reaching net-zero milestones largely depends on the national energy mix of countries where the homes are located. This requires governments and institutions to accelerate the installation of renewable electricity capacity and shift away from fossil fuels. Governments also play a crucial role in mandating, incentivising, and supporting homeowners to prioritise sustainability in home construction and renovation. We hope to see governments take their role further in this regard by setting ambitious national renovation plans under the Energy Performance of Buildings Directive IV (EPBD IV). We aim to continue working with all stakeholders to address this common challenge.

Residential real estate (kg CO₂e/m²)



The emission intensity remains stable at 37.5 kg CO₂e / m2 compared to 2023, despite our efforts and positive results in some countries like the Netherlands. This represents the combined performance of our total in-scope residential real estate portfolio in Belgium, Germany, the Netherlands, Poland and Spain. The performance reflects both the challenge in decarbonising the housing stock as well as the limitations of measurement models that rely on the availability of accurate EPC labels to show progress and are still lacking in many markets. Details on the methodologies used can be found in the [‘Technical notes to the transition plan’](#).

In line with PCAF’s GHG accounting and reporting standard, ING utilises EPC labels to calculate emission intensities within our residential real estate portfolio. Non-residential properties have been excluded from the analysis. Recognising that EPC data availability varies across our markets, we employ proxies where direct data is lacking. To increase the accuracy of our calculations moving forward, we aim to continue to collect EPC data for both new and existing homes. ING implements a consistent methodology across countries to increase our capability to effectively reduce the emissions. To increase the accuracy without compromising consistency, we also incorporate regional nuances into our approach that reflect the data availability in that specific country.

Financed emissions

The scoping and applied methodology are different between financed emissions and emission intensities under our Terra approach. We steer via our Terra approach and do not use financed emissions for sector-steering purposes.

Financed emissions for this portfolio have decreased by -116 kt CO₂e to 5,918 kt CO₂e for scope 1 and 2. This represents the financed emissions we measured for all the 10 countries in the residential real estate (mortgage) portfolio. These changes are mainly driven by updated emission factors that are lower than previous year. See the [‘Financed emissions’](#) table for more details.

The key highlights of our action plan

We continued to finance our customers’ transition. In 2024, we offered sustainable mortgages which provide an incentive to customers choosing energy-efficient homes in Belgium, Germany, the Netherlands, Poland, Spain, as well as in other markets like Romania and Italy. We also offer mortgages features or unsecured loans that support customers to renovate in Belgium, Germany, the Netherlands, Poland, Australia and Romania.

In several markets, including Germany, and the Netherlands, we have continued to offer digital tools that support customers to understand their renovation options. In the Netherlands we launched ING Upgrader, which starts with a digital tool that gives customers easy and non-binding insight into the possibilities for sustainability and a cost-benefit estimate. Customers can pursue those renovations with our Upgrader service, which connects them to providers who can provide advice and installation.

Financed emissions: to identify and analyse emissions hotspots

As a bank, we measure our absolute financed emissions associated (scope 1, 2 and 3) with our direct lending and investment activities, also known as absolute GHG scope 3 category 15 emissions. Compared to 2023, we have expanded the financed emissions table by including the scope 3 emissions and a breakdown of the financed emissions of our clients in scope of our Terra sectors. The different scopes are defined as follows:

- Scope 1 emissions are direct emissions from owned or controlled sources.
- Scope 2 emissions are indirect emissions from the generation of purchased energy.
- Scope 3 emissions are all indirect emissions (not included in scope 2) that occur in the value chain of the reporting company, including both upstream and downstream emissions.

We use financed emissions and intensity metrics in a complementary way, as the financed emissions help us to identify hotspots in our portfolios. We consider the following when calculating our financed emissions:

- As there is no 2024 emissions data available yet for business lending, we have used 2023 emissions data. This means that the changing factors in our portfolio are related to the outstandings and the financial information of our clients (e.g. company value).
- For commercial real estate and residential real estate (residential mortgages) portfolios, we have calculated the scope 1 and 2 financed emissions. For these asset classes there is no scope 3 GHG accounting as per the GHG Protocol, as this is only applicable to corporate clients.
- For business lending we have calculated scope 1, 2 and 3 emissions for our Wholesale Banking and Business Banking book, which covers the product leases, term loans and revolvers, in line with PCAF.
- Scope 3 emissions for small-medium enterprises are generally not available, therefore we have decided to apply PCAF data quality score 5 across the Business Banking.
- Biogenic emissions from combustion or biodegradation¹ that occur in the value chain are not presented in the financed emissions table due to data limitations.
- We have not measured the financed emissions related to sovereign bonds as this value chain was deemed not material following our double materiality assessment.
- We have not measured the facilitated emissions related to our off-balance capital market activities as this value chain was deemed not material following our double materiality assessment. In accordance with our NZBA commitment we do have to report the facilitated emissions per 2025, we are collecting data and working on an approach so that we can measure our facilitated emissions from our capital markets activities in line with PCAF's release of their Global GHG Accounting and Reporting Standard for Capital Markets of December 2023.
- For more technical details, see the '[Technical notes to financed emissions](#)' in the appendix.

At the portfolio level variations in financed emissions depend, among others, on changes in the number of clients we finance, our outstandings to these clients, and their emission profiles. As shown in the tables on the following pages, along with the growth in our lending in scope, our Scope 1 and 2 financed emissions have increased, while the Scope 3 financed emissions have decreased. In addition to lending, the change in financed emissions for corporate bonds can be explained by the improved PCAF data quality as we have applied the reported emissions for part of this portfolio during the reporting year. For changes of financed emissions of clients in scope of our Terra sectors, see '[sector transition plan](#)'.

The overall results of financed emissions can be explained by a combination of factors, making them difficult to compare with the results in previous years. These factors could include:

- Changes in our portfolio size
- Changes in portfolio composition (e.g. shifts in industry mix, new or exit clients)
- Changes in drawdown patterns and our outstanding to each client
- Changes in the financial information (i.e. Enterprise Value (EVIC) and balance sheet financial indicators)
- Fluctuations in FX movement
- Other data quality improvements

¹ Biogenic emissions from combustion and biodegradation refer to the release of gases from the natural breakdown or burning of organic materials.

Financed emissions per asset class

The greenhouse gas (GHG) financed emissions (scope 1, 2 and 3) have been incorporated in the tables below for the financial years 2024 and 2023. For the calculations, we make use of external data providers (CDP, PCAF, S&P and sector-specific emission factors) to estimate our loan book emissions. ING calculates absolute financed emissions using the PCAF's Global GHG Accounting and Reporting Standard. Within Template 1 of the Pillar 3 ESG report we also disclose the financed emissions, which differ in scope and only includes emissions towards non-financial corporations operating in sectors that contribute highly to climate change and in carbon-related sectors.

Financed emissions 2024										
Asset class			Scope 1 and 2				Scope 3			
	Outstanding EUR billion	Measured outstanding in EUR billion	Financed emissions in ktCO ₂ e	PCAF data quality score	Share of financed emissions for clients in scope of Transition Plan under Terra approach ¹	Economic intensity in ktCO ₂ e/ EUR billion ²	Financed emissions in ktCO ₂ e	PCAF data quality score	Share of financed emissions for clients in scope of Transition Plan under Terra approach ¹	Economic intensity in ktCO ₂ e/ EUR billion ²
Residential Real Estate (Mortgages)	349.6	347.3	5,918	3.4		17.0				
Commercial Real Estate WB	20.1	17.0	518	3.1	90 %	30.4				
- Clients in scope of Transition Plan under Terra approach		15.6	464	3.2	90 %	29.8				
- Clients not in scope of Transition Plan under Terra approach		1.5	54	2.2		37.2				
Commercial Real Estate BB	24.1	11.1	277	3.0	85 %	25.0				
- Clients in scope of Transition Plan under Terra approach		10.6	236	3.0	85 %	22.2				
- Clients not in scope of Transition Plan under Terra approach		0.5	41	3.9		87.1				
Business Loans – Retail Banking	80.1	80.0	11,499	5.0		143.8	50,218	5.0		628.0
Business Loans – Wholesale Banking	191.0	186.7	42,221	3.8	55 %	226.1	149,861	3.8	28 %	802.6
- Clients in scope of Transition Plan under Terra approach: Power		11.7	11,103	4.4	26 %	948.3	5,728	4.4	4 %	489.2
- Clients in scope of Transition Plan under Terra approach: Upstream Oil & Gas		1.0	702	3.4	2 %	701.6	10,325	4.8	7 %	10,317.9
- Clients in scope of Transition Plan under Terra approach: Mid- & Downstream Oil & Gas		8.1	3,417	3.5	8 %	421.7	16,928	3.4	11 %	2,088.9
- Clients in scope of Transition plan under Terra approach: Cement		0.7	1,427	3.3	3 %	1,995.3	473	3.3	0 %	661.5
- Clients in scope of Transition Plan under Terra approach: Steel		0.5	1,309	1.9	3 %	2,744.7	698	1.9	0 %	1,464.3
- Clients in scope of Transition Plan under Terra approach: Automotive		4.0	90	2.4	0 %	22.3	4,487	2.3	3 %	1,108.6
- Clients in scope of Transition Plan under Terra approach: Aviation		2.9	2,507	3.8	6 %	864.1	1,338	3.8	1 %	461.1
- Clients in scope of Transition Plan under Terra approach: Shipping		4.5	2,577	3.9	6 %	568.9	1,500	3.8	1 %	331.1
- Clients not in scope of Transition Plan under Terra approach		153.2	19,088	3.8		124.6	108,384	3.8		707.3
Total Lending in scope	664.9	642.2	60,434	3.7		94.1	200,079	4.2		750.2
Total Equity investments		4.5	42	4.9		9.5	674	4.3		151.0
Total Corporate bonds		1.0	32	4.5		31.4	356	4.5		344.7

¹ Share of financed emissions for clients in scope of Transition Plan under Terra approach is calculated as a ratio of financed emissions for clients in scope of Transition Plan under Terra approach to the total financed emission of the asset class.

² Economic intensity is calculated as a ratio of financed emissions to the measured outstanding.

We have updated the 2023 financed emissions table to make the 2024 values comparable. With respect to the financed emissions as disclosed in the 2023 report we made the following changes: 1) we included the scope 3 emissions, 2) we have broken down scope 1 and 2 emissions per sector in scope of Terra.

Financed emissions 2023										
Asset class			Scope 1 and 2				Scope 3			
	Outstanding EUR billion	Measured outstanding in EUR billion	Financed emissions in ktCO ₂ e	PCAF data quality score	Share of financed emissions for clients in scope of Transition Plan under Terra approach ¹	Economic intensity in ktCO ₂ e/ EUR billion ²	Financed emissions in ktCO ₂ e	PCAF data quality score	Share of financed emissions for clients in scope of Transition Plan under Terra approach ¹	Economic intensity in ktCO ₂ e/ EUR billion ²
Residential Real Estate (Mortgages)	332.4	332.0	6,034	3.4		18.2				
Commercial Real Estate WB	22.7	16.6	421	3.2	86 %	25.4				
- Clients in scope of Transition Plan under Terra approach		15.2	360	3.3	86 %	23.7				
- Clients not in scope of Transition Plan under Terra approach		1.4	61	3.0		43.6				
Commercial Real Estate BB	23.7	11.6	272	3.0	80 %	23.4				
- Clients in scope of Transition Plan under Terra approach		11.1	218	3.0	80 %	19.6				
- Clients not in scope of Transition Plan under Terra approach		0.5	54	3.0		108.0				
Business Loans - Retail Banking	76.8	76.8	10,789	5.0		140.5	71,886	4.4		936.0
Business Loans - Wholesale Banking	191.4	191.0	39,772	3.7	54 %	208.2	178,436	3.7	29 %	934.0
- Clients in scope of Transition Plan under Terra approach: Power		10.1	10,410	4.5	26 %	1,026.3	4,413	4.5	2 %	435.1
- Clients in scope of Transition Plan under Terra approach: Upstream Oil & Gas		1.2	1,569	3.9	4 %	1,358.4	23,668	4.9	13 %	20,494.5
- Clients in scope of Transition Plan under Terra approach: Mid- & Downstream Oil & Gas		7.2	2,881	3.5	7 %	400.8	16,853	3.4	9 %	2,344.6
- Clients in scope of Transition plan under Terra approach: Cement		0.6	1,232	2.8	3 %	2,113.2	375	2.8	0 %	643.5
- Clients in scope of Transition Plan under Terra approach: Steel		0.7	528	3.2	1 %	747.1	867	3.1	0 %	1,225.5
- Clients in scope of Transition Plan under Terra approach: Automotive		2.9	24	2.3	0 %	8.3	2,571	2.3	1 %	884.0
- Clients in scope of Transition Plan under Terra approach: Aviation		3.5	2,610	4.0	7 %	755.3	1,566	3.9	1 %	453.0
- Clients in scope of Transition Plan under Terra approach: Shipping		4.9	2,343	4.0	6 %	481.3	1,944	4.0	1 %	399.4
- Clients not in scope of Transition Plan under Terra approach		160.0	18,174	3.7		113.6	126,179	3.7		788.4
Total Lending in scope	647.0	628.1	57,288	3.7		91.2	250,322	3.9		934.6
Total Equity investments		3.5	78	5.0		22.3	544	4.3		155.4
Total Corporate bonds		1.0	263	5.0		263.0	316	2.4		316.0

¹ Share of financed emissions for clients in scope of Transition Plan under Terra Approach is calculated as a ratio of financed emissions for clients in scope of Transition Plan under Terra approach to the total financed emission of the asset class.

² Economic intensity is calculated as a ratio of financed emissions to the measured outstanding.

Other information related to our transition plan

Disclosure related to decarbonisation levers

Decarbonisation levers can be considered as both sector-wide levers, and the levers that are within ING’s control. Quantitative data related to these decarbonisation levers is not yet sufficiently available, as a majority of the counterparties are either not in scope for CSRD or will only be reporting this information starting from 2025. However, for the decarbonisation levers that are within ING’s control, they can be achieved through our financing strategy, as proposed in the NZBA Transition Finance Guide. For that, we see our client-engagement approach following our Client Transition Plan assessment (e.g. growing business for green finance or managed phase out for misaligned clients), committed financing targets (e.g. targets for renewable energy financing), and our exclusion and restriction in financing activities as the key levers of our portfolio transition. While we continue to collect information from our clients and counterparties, we expect more data will be available in the future to refine our transition plan. This will help us to identify and quantify how the decarbonisation levers influence our forward-looking targets.

Disclosure related to locked-in GHG emissions

Locked-in emissions refer to the estimates of future GHG emissions that are likely to be caused by the key assets or products sold within the operating lifetime. As a financial institution, locked-in emissions may not be directly applicable to us, but we acknowledge that the clients that we finance may continue to invest in stranded assets that jeopardise their net-zero transition. According to our Pillar 3 Template 1 disclosure, as of December 2024, the average weighted maturity of our financing towards sectors that highly contributed to climate change is around five years. While this relatively short maturity allows us to constantly review our portfolio mix, our sector and Client Transition Plan support us in managing the locked-in emissions challenge.

When establishing our sector transition plan, we tailor the plan for each sector by taking into account the specific conditions, opportunities, and challenges of that particular industry. This approach helps us translate sector strategies and targets into tangible actions. For example, in the oil & gas sector, recognising that infrastructure such as LNG terminals could become locked in, as guided by the IEA, we have decided to stop providing new financing for new LNG export terminals after 2025. Similarly, in the aviation sector, we focus on increasing the proportion of next-generation aircraft in our portfolio to support investment in future-proof assets. At a client level, our Client Transition Plan assesses whether clients have set targets, strategies and actions to reduce emissions. This guides our engagement approach and the dialogues with our clients, which may also help us to identify if locked-in emissions could impact their goals.

Disclosure related to the EU Paris-aligned benchmarks

Under the Climate Benchmark Standards Regulation, companies are excluded from benchmark indices of companies if their emissions levels are not aligned with the objectives of the Paris Agreement. Under articles 12.1 (d) to (g) of this regulation, companies are excluded from such benchmarks if their revenue originates from the activities including electricity generation, as well as the exploration, mining, extraction, refining, manufacturing or distribution related to hard coal, lignite, oil fuels and gaseous fuel. In addition, as per Article 12 (2) of the aforementioned regulation, companies that significantly harm one or more of the environmental objectives referred to in Article 9 of Regulation (EU) 2020/852 shall also be excluded from the Paris-aligned benchmarks. The screening and assessments of such exclusions are assessed internally and / or independently by the Administrators of EU Paris-aligned Benchmarks based on publicly available information and subject to the rules of estimation. Although ING Groep N.V.’s revenue does not meet the revenue-related threshold for exclusion, ING does not have the additional necessary information to disclose if ING itself is excluded from any benchmark.

Policies, actions and performance

With our sector transition plan we focus on the most carbon-intensive sectors and steering them towards net zero, as described in the previous section. As a bank, we have more measures in place to manage our impacts, risks and opportunities. These actions are not part of our sector transition plan, but do present our strategic direction and are an integral part of how we do and manage our business.

This next section includes the relevant policies and guidelines to address the material impacts, risks and opportunities and the related actions to execute those policies and guidelines. Where the Environmental, Social and Governance Risk Policy addresses our negative impacts and risks, our sustainable finance guidelines and green bond framework address our opportunities.

The Environmental, Social and Governance (ESG) Risk Policy

The ESG Risk Framework, as further described in the ['ESG risk' section](#), outlines ING's approach to managing ESG risk as a risk driver of existing risk types. The framework is supported by the double materiality assessment (DMA¹) and the ESG Risk Policy, ensuring the implementation of obligations, processes and control requirements from the policy.

The ESG Risk Policy outlines ING's approach to effectively identify, assess, mitigate, monitor and report ESG related risks as per ING's ESG risk appetite, by considering applicable and material risks and negative impacts across the value chain as per ING's DMA. The policy is applicable to ING Groep N.V. and all majority-owned and/or controlled ING entities, unless deviation is allowed by pursuant to local laws, regulations and/or supervisory acts. Relevant legislation and supervisory guidance on risk management practices, as well as ESG-related disclosures including the EBA Implementing Technical Standards (ITS) on Pillar 3 disclosures on ESG risk, the Corporate Sustainability Reporting Directive (CSRD), the EU taxonomy for sustainable activities, and Sustainable Finance Disclosure Regulation (SFDR) are taken into account when drafting the policy. The ESG Risk Policy outlines its objectives and purpose, referencing relevant laws, regulations and global documentation. It also details the high-level obligations for entities, including control objectives to manage and mitigate ESG risks. The obligations are provided for applicable value-chain components. The ESG Risk Department, as the policy owner, performs oversight and monitoring of the policy implementation to obtain sufficient comfort of compliance with policy obligations across ING.

ESG risks are an overarching set of risk drivers affecting financial, non-financial, and other overarching risks. Consequently, ESG risk management is embedded within existing risk processes and procedures related to credit granting criteria, risk appetite steering, and credit risk management. ING local entities integrate global requirements into local policy annexes, taking into account specifics of local regulations and market

practices. Mostly such adjustments are done through lending criteria, local systems of loan management, systems of records and sales force procedures.

Actions to implement the ESG Risk Policy

As part of the risk management cycle (see the ['ESG risk section'](#)), ING takes a proactive approach to mitigating identified risks in line with its risk appetite. This is achieved through various risk mitigation strategies, such as reducing, avoiding, accepting, or transferring the risk. These measures are embedded in updates to existing policies and procedures across different risk categories. In the following paragraphs we elaborate on the key initiatives for each of the business lines where climate change has been identified as a material risk.

Retail Banking: Residential mortgages

ING regularly analyses different transmission channels and takes actions to manage associated risks. Transition and physical risks for the mortgage portfolio have been incorporated into ING's business strategy, data controls, risk appetite, lending criteria and collateral valuation processes for local retail entities. Each local entity implements the ESG Risk Policy via the global guidance on material identified topics. Local adaptations are made in line with local regulations and market practices (reference: Organisational bodies, ['ESG risk' section](#)).

- Some local entities have already implemented policies to increase financing amounts and reduce pricing for properties with high-quality EPCs. Additionally, customer-engagement procedures, supported by advisory services and duty of care, aim at shifting customer interest towards low-emitting buildings.
- One of the most crucial actions ING took to achieve more accurate emissions-based target setting and to better understand the effectiveness of its business strategy was implementing a set of mandatory data controls. For new originations, ING local entities implemented controls to ensure the mandatory collection of EPC data. Additionally, for the existing portfolio, controls on the development of energy performance proxy models facilitated high-quality data remediation.
- Risk appetite is aligned with the business strategy and includes specific metrics for managing low-quality EPCs at new origination. Breaches in risk appetite are managed within the Risk Appetite Framework, with timely escalation to the ESG Risk Committee and top management.
- The incorporation of climate-related risks into lending criteria is aligned with our risk appetite and business strategy.
- Transition and physical risks are incorporated into collateral valuation through external valuers or by internally managing collateral haircuts and loan-to-value limitations for high-emitting properties.

¹ In addition to the results of the DMA, ING considers some ESG factors to be important (such as the negative impact of some sectors on affected communities) and the risk assessment and due diligence processes that follow will consider these factors as well. Important ESG factors are determined on a case by case basis and considers international standards such as the OECD Guidelines for Multinational Enterprises on responsible business conduct and the UNGPs on Business and Human Rights

Retail Banking: Business Banking lending

ING regularly reviews its business strategy and sets decarbonisation goals for sectors identified as major drivers of negative impact. Decarbonisation efforts are supported by defining relevant processes and actions, such as data collection and controls (e.g. EPC data for income-producing real estate), specifying dedicated lending criteria for these sectors, and implementing regular monitoring procedures. ING also engages with a selection of clients that have a negative impact to better understand their current situation and plans, and to support them in their transition process.

ING takes actions to manage associated risks. In line with its risk appetite, ING accepts exposure to risks inherent to its business model and its commitment to financing the transition to a net-zero economy. These risks are regularly assessed, monitored and managed through client-specific assessments across different entities, defining risk-appetite limits for exposure to transition risks, key risk indicators related to physical risks, and additional acceptance criteria for specific segments like income-producing real estate.

Risks that do not align with ING's risk appetite should be effectively mitigated or may not be accepted. Mitigation strategies may include insurance for physical risks, if possible, incorporating transition and physical risks into collateral valuation, or setting covenants that require certain investments in line with the client's transition plan. For specific sectors, lending policies are adjusted to ensure that transition and physical risks are properly assessed and mitigated as needed. All these initiatives are supported by data collection procedures and controls tailored to specific sectors, enabling a better assessment of the current portfolio and facilitating active portfolio management.

Wholesale Banking lending

ING conducts regular reviews of its business strategy and sets decarbonisation objectives for Terra sectors identified as having a high negative impact. These initiatives are supported by the establishment of relevant processes and mitigation actions to address the risks associated with operating in these high-emitting sectors.

- **Climate Risk Appetite Statement:** The primary source of negative impact in Terra sectors arises from financing high-emitting corporate clients. However, the contribution varies among clients. We assess the severity of negative impact at the client level, considering their current emissions, financial capacity for transitioning to net-zero, and the quality of their transition plans. Our client-level transition risk assessment enables us to differentiate risks effectively. High-severity impact clients are managed by setting risk appetite limits to control financing, including imposing growth constraints. A specific metric is established to manage high-risk clients in sectors with the highest GHG emissions, aligning with our decarbonisation targets and guiding future lending.
- **Lending policies and steering signals:** All sector lending policies and steering signals reference the ESG Risk Policy and apply its minimum requirements. In the steering signals, sector transition plans, addressing climate change mitigation and adaptation challenges, are crucial in defining these signals. Lending criteria are established per sector, aligned with the steering. The lending policies include ESG

factors and transmission channels relevant to each sector, detailing acceptable mitigants to address potential financial risks from ESG factors.

- **ESG risk assessment tool:** For WB, ING has developed a new ESG risk-assessment approach, which considers the Environmental (including Climate), Social and Governance risk factors, negative impacts and dependencies of our WB customers, and fully integrates the previous ESR framework. Tooling was developed to support the implementation of the assessment approach in the credit granting process. The new approach (including addition of S&G factors) was gradually rolled out over 2024, and enhancements and refinements will continue during 2025. Depending on the ESG risk-assessment outcome, mitigation actions and escalation to the ESR team, for additional due diligence and (binding) advice, might be required. The process steps are as follows:
 - First, a materiality check is performed for all clients and transactions to determine if a company is likely to have a significant negative impact and/or dependency on an ESG factor, based on its business model. This check is data-driven and relies on the company's primary sector and the typical negative impacts and dependencies of that sector.
 - Second, for material ESG factors, an initial assessment for the entity/transaction is provided. Assessing the impact of the ESG factor and reputational risk.
 - Third, the front office conducts a qualitative assessment and identifies potential mitigants to either reduce the impact or the financial risk of a given transaction. Additionally, the transaction is checked against the minimum standards for the sector and the list of restricted activities and companies.
 - Fourth, for (very) high-risk outcomes, the ESR desk performs due diligence and provides advice which may contain additional conditions or a go/no go decision.
 - Fifth, credit risk experts review the ESG factor assessment. Mitigants are reviewed if deemed material for credit risk.
- **Client-engagement strategy:** A business-driven client-engagement strategy is aimed at enhancing clients' performance and management in terms of climate change.
- **Data infrastructure:** The ESG data infrastructure is being improved to integrate external and internal ESG data sources across the entire business line. This integration provides a foundation for ESG data-driven solutions, such as centralised corporate-client location data and EPC label data for commercial real estate, ensuring the highest possible level of granularity.
- **Collateral valuation for commercial real estate:** Material risks affecting property value are integrated into ING's collateral valuation practices, including initial valuation, collateral monitoring and re-valuation.

Guidelines addressing our opportunities

Based on our DMA outcome and publicly disclosed voluntary commitments, we identified several opportunities where we aim to increase our Wholesale Banking volumes mobilised, our ambition to fund the transition to a low carbon economy via our Green funding framework, and via our Terra approach through our renewable financing ambition.

Our renewable financing ambition is part of our Terra approach where we aim to triple the financing of renewable power generation to EUR 7.5 billion annually by 2025. For more information, see the power sector in our [‘transition plan’](#).

Sustainable Finance Guidelines

The Sustainable Finance Guidelines provide a framework that sets out how Sustainable Finance engages with clients and specifies the products we offer. Depending on sectors, lending, debt & capital advisory, and financial markets solutions, we tailor our proposition to each client's individual needs and sustainability ambitions. This translates into different solutions, which supports the acceleration of sustainable businesses in areas including the energy transition, the circular economy and water. The guidelines are continuously updated following new product offerings (solutions) and changes in regulatory requirements.

Actions to support our clients' transition

Via our volume mobilised, we are committed to supporting our Wholesale Banking clients in their sustainable transition through our product offering. In 2024, we saw EUR 130 billion of volumes mobilised and updated our ambition with the new target to mobilise EUR 150 billion of annual financing by 2027, up from our previous target of EUR 125 billion annually by 2025.

The volume mobilised methodology was developed as one metric for all Wholesale Banking departments that would measure the engagement with our clients on environmental, social or governance topics, regardless of sector and jurisdiction. We differentiate between green and social products and sustainability-linked products, and align with market guidance such as the Green or Social Loan/Bond Principles and the Sustainable Linked Loan/Bond Principles when structuring these sustainable finance products. Generally, for green and social products, the proceedings are dedicated to financing a specific economic activity or asset. Sustainability-linked products are a client-engagement tool and designed to change the behaviour of a client to steer their ESG transition. For more information on the detailed methodology, see the [‘Appendix to the Executive Board report’](#) and [ing.com](#).

The Global Green Funding Framework

Our Global Green Funding Framework promotes opportunities for ING and its investors and clients in transitioning to a low-carbon economy on both sides of the balance sheet. On the asset side, we finance sustainable projects that support ING’s sustainability ambition. In particular, we finance two main portfolios. Firstly, we finance a Green Buildings portfolio in the Netherlands and Germany, where we seek to reduce significant financed emissions in real estate and contribute to the transition towards a low-carbon economy. Secondly, we finance a Global Renewables Energy Portfolio, as we strive to lead the banking sector in driving the energy transition with our renewable financing targets. On the liability side, green funding attracts investors and clients that increasingly prioritise sustainability in their investment decisions. By issuing green bonds and other green funding instruments, ING can tap into a growing market of investors, diversify our funding sources, potentially reduce our cost of capital, and provide opportunities for our investors and clients to participate in the transition towards a low-carbon economy through our green-funding product offerings.

Actions to implement Green Funding Framework

The framework was updated in 2024 and incorporates ING’s revised sustainability strategy and governance. It also considers the latest developments in ESG disclosure regulations. Additionally, we are implementing a sustainable asset classification system to clearly define sustainable activities within ING and its business lines, in line with the EU Taxonomy and other market standards. Furthermore, we have extended our range of green liability instruments, offering a more diversified approach to funding green initiatives. As of 31 December 2024, ING Groep N.V. has an outstanding of EUR 9.9 billion issued green bonds.

Biodiversity and ecosystems

Biodiversity is the variety of and interaction between all living things (red. species) which work together in ecosystems to maintain, balance and support life. It supports in nature all we need to survive, but since we put increasing pressure on the earth by using and consuming more natural resources, we are upsetting the balance of ecosystems, leading to the loss of biodiversity.

Identified impacts, risks and opportunities

Our double materiality assessment concluded the below negative impact and risk for 'state of species' within biodiversity and ecosystems as material for our Wholesale Banking portfolio:

- **Negative impact** on the state of species occurs due to lending to clients whose operations cause irreversible damage, such as some species disappearing entirely and others undergoing significant changes in behaviour, genetic variability, distribution, and population dynamics.
- **Risks** can materialise following the severity of a negative impact and varies across sectors. This can result in a demise in natural resources, and can disrupt clients' operations, leading to financial losses. Financial losses can also occur due to reputational damage and litigation risks.

This section only focuses on the 'state of species' as per our DMA outcome. The identified negative impact for state of species is driven by our portfolio composition in the downstream value chain and the irremediable nature of the negative effects. By financing these downstream activities, we contribute to a cumulative impact on species that goes beyond the initial stages of resource extraction, land use changes, overexploitation of natural resources, increased emissions, and waste (i.e. the drivers of biodiversity loss). The cumulative impact refers to the ongoing and interconnected effects that unfold over time, leading to a significant and often irreversible decline in biodiversity and ecosystem health. Some impacts, such as species extinction, are permanent.

Once a species is lost, it cannot be brought back, leading to a permanent reduction in biodiversity. In addition, a significant loss in genetic variability or niche habitat also makes it immensely difficult to bring back a species to a safe state without the risk of extinction. The impact on the state of species by different activities has very different time horizons from short- to long-term. A sudden decline in species can, for example, be caused by a spill of dangerous substances, immediately killing surrounding life. Habitat fragmentation leads to a medium-term decline of the number of species and genetic variability within a species. Climate change can lead

to the extinction of species and disrupt ecosystems over decades. See the ['Technical notes to the double materiality assessment'](#) for more details on the approach.

There is currently still a lack of well-established and scenario-based quantification methods when it comes to the topic of biodiversity and ecosystems, and nature more broadly. However, this field is rapidly developing and is looking at both transition risks, such as nature-related policy and technology changes, as well as physical risks caused by ecosystem losses and climate-nature interactions in order to integrate them into stress testing and modelling. It is estimated that more than 50 percent of global GDP depends on biodiversity, which includes the state of species. As our portfolio reflects the real economy, we expect it to have a similar dependency.¹

Assessment of current financial effects is based on ING's internal risk database. We rely on the existing approach based on the recognition and measurement criteria of provisions in the Financial Statements, for more information see Note 15 'Provisions' and Note 41 'Legal proceedings'. For 2024, there were no significant current financial effects. At this stage, we are not able to provide a more quantitative or qualitative resilience analysis or more specific time horizons. As our business is diverse and distributed across the globe, we do not consider the opinion of location-based stakeholders into our general resilience analysis; these are considered on a transaction level. Before financing specific large-scale projects, we do consider the resilience of our clients' businesses to local biodiversity-related transition and physical risks, including those with impacts on the local population. In environmental and social management assessments, local stakeholders give key inputs into the outcome of the analysis according to the Equator Principles.

For the mid- and long-term horizons, we depend on customer engagement and the ability of our borrowers to understand possible implications of biodiversity loss on their business. ING is currently developing such expertise and so are our borrowers. We are also expecting increasing regulatory pressure from the implementation of the Global Biodiversity Framework, as well as EU-led initiatives to reduce pollution, production and use of plastics and water, and increased concern about species and protected habitats.

Our nature strategy

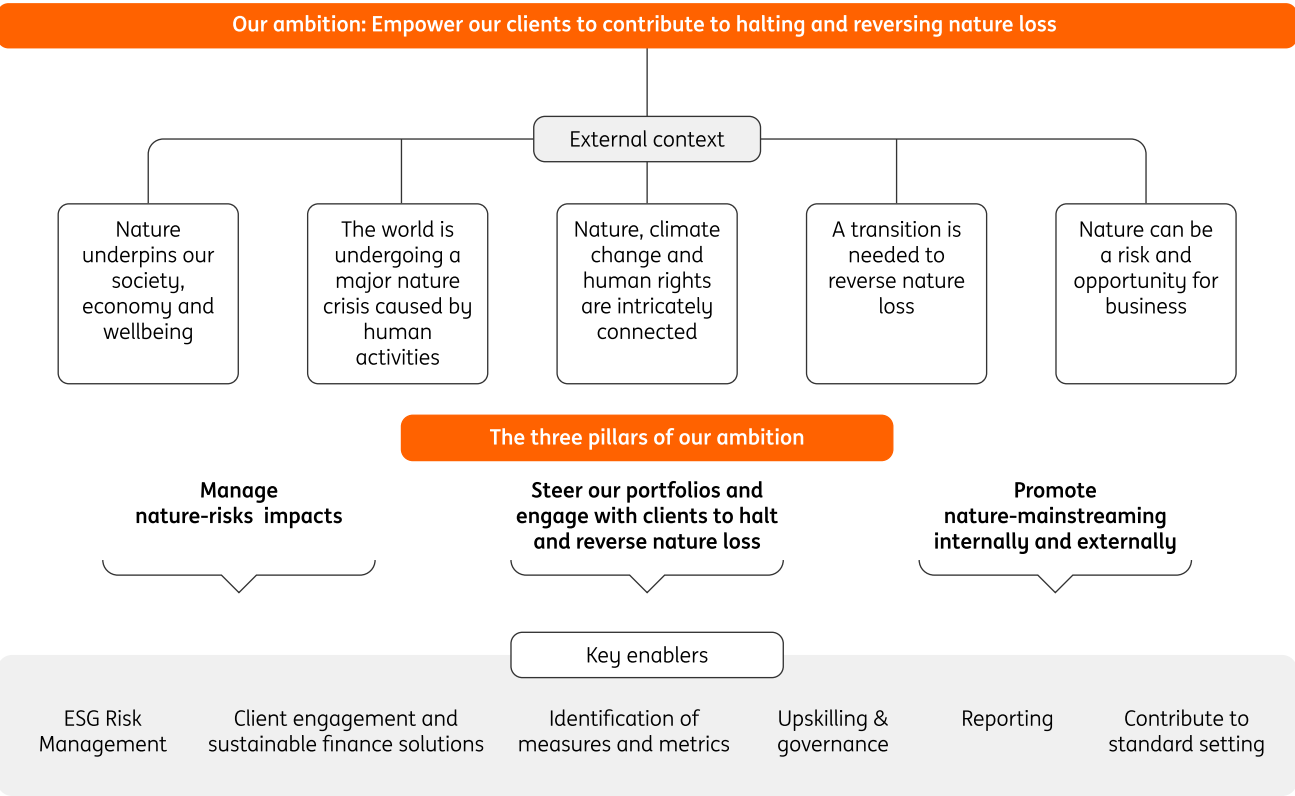
The overarching ambition of our nature strategy² is to empower our clients to contribute to halting and reversing nature loss and support the goals of the Kunming-Montreal Global Biodiversity Framework (GBF). Our nature approach, available on [ing.com](#), addresses all the main drivers of nature loss that are inextricably linked to the state of species³. While these drivers are not material for our portfolio, they are relevant for the assessment of all transactions. We are currently developing a transition plan that should become operational in the coming years, building on the structure and experience of our Terra approach for climate, enabling us to engage our clients on relevant environmental topics. Although this approach is focused on nature as a

¹ World Economic Forum, New Nature Economy Report 2020.

² More information on our nature strategy, also called our nature approach, can be found on [ing.com](#).

³ Habitat loss, over-exploitation of natural resources, pollution, and invasive species (those not native to a specific area).

whole, this is relevant for our material sub-topic, state of species. The below visual illustrates our current strategic approach towards nature.



Policies, actions and performance

As a financial institution, we can make the largest impact through our financing activities. Therefore, we have policies and guidelines in place to manage nature-related risks and impacts.

ESG Risk Policy

ING’s strategic objectives of managing nature-related risks and impacts are being implemented by the ESG Risk Policy. The ESG Risk Policy is a comprehensive environmental and social risk policy that evaluates material environmental risk factors in relation to our financing. This entails the evaluation of the direct drivers of biodiversity loss, climate change, land-use, sea-use or freshwater use change, pollution and the

exploitation of natural resources, as well as the extent to which the company’s operations and products/ services likely impact the state of species and habitats, and the extent and condition of ecosystems, given its sector. It further assesses the extent to which the company is likely dependent on ecosystem services for its operations, products and services, given its sector.

The ESG Risk Policy addresses our negative impact on the state of species, our dependencies on species and ecosystems, and our risk related to that. Our risk is lower if we finance fewer transactions that are harmful to the state of species, or support our clients in reducing their impact by implementing minimum requirements and encouraging them to improve. The ESG Risk Policy contains several biodiversity and ecosystem-specific requirements for our financing activities with the aim of avoiding further habitat destruction and species loss. These include, but are not limited to:

- We will not finance any operations located in, or that significantly impact, based on experts’ assessments, UNESCO World Heritage Sites, wetlands registered by the Ramsar Convention, or critical natural habitats registered by the International Union for the Conservation of Nature (IUCN) Category I and II.
- We will not finance operations or any newly developed asset that involves illegal logging, deforestation or burning down of tropical forests, or removal of primary or High Conservation (HCV) forests.
- We conduct enhanced due diligence before financing projects requiring significant land-use change, and for operations impacting IUCN Category III and IV sites or potentially vulnerable ecosystems including ‘Key Biodiversity Areas’. These are home to critical populations of the world’s threatened species.

Furthermore, we have sector-specific minimum standards that aim at minimising impacts within the industry. They especially target the industry sectors chemicals, bioenergy, forestry & agricultural commodities, manufacturing, metals & mining, and shipping. Examples of restrictions to the most harmful practices within sectors with a high risk of impacting the state of species are:

- ING has no intention of expanding its palm oil client base. For existing clients, ING performs strict assessment criteria that are closely monitored;
- ING will not directly finance artisanal and small-scale mining (ASM) companies or activities;
- Use of endangered species or non-human primates for all testing/experimental purposes; and
- Arctic offshore oil & gas exploration and production.

Specific requirements under the ESG Risk Policy support the traceability of products, components and raw materials. For example, ING requires all relevant clients to adopt the Forest Stewardship Council (FSC) schemes or the programme for the endorsement of forest certification schemes. This includes wood plantations, traders, pulp producers, and secondary processors. ING also requires production, sourcing and consumption from ecosystems to limit the impact on species. For example, we expect that our clients producing biofuels or involved in the value chain to understand and assess the climate-related, environmental and social risks related to their biofuels business, and manage and mitigate these risks

responsibly. This includes a request to the client to have a sustainable sourcing policy, including supplier standards, in place together with regular monitoring.

As a financial institution, we do not have sustainable land, agriculture, oceans or seas policies in places for our own operations. Under our ESG Risk Policy, we do however encourage our clients to have such policies in accordance with sector initiatives such as the Rainforest Alliance Sustainable Agriculture Standard, UTZ Certified Sustainable Agriculture Practice Standard, and Sustainable Agriculture Initiative Platform. For deforestation information, see the next section. While the ESG Risk Policy and its assessment addresses both environmental and social risks, only if risks are identified does a more in-depth assessment take place that may connect biodiversity and ecosystem-related impacts to social consequences.

Our deforestation and ecosystem conversion approach

Deforestation and other forms of ecosystem conversion is contributing significantly to the demise of species, reducing population sizes, potentially up to the point of extinction. ING’s impact is largely connected to the activities of global Wholesale Banking clients in the commodity, food and agriculture sectors, active in cattle, palm oil, soy, cocoa, and coffee. Even though ING is not in scope of EU Deforestation Regulation, we did develop an engagement approach to address deforestation and ecosystem conversion, which was updated in 2024. We map high-risk commodities and clients via an annually published assessment¹, and encourage in-scope clients to put in place:

- 1. Commitments to achieve no-deforestation and no-ecosystem conversion²; and
- 2. Actions and targets to work towards full traceability in their supply chains.

Full traceability helps to verify whether and where adverse impacts occur. We recognise, however, that not all our clients currently have full traceability, and therefore we plan to engage with our clients to discuss where they stand and what their commitment is. Biodiversity offsetting and the incorporation of local and indigenous knowledge or nature-based solutions may occur but are currently not formally part of this approach. For the proportion of clients unable or unwilling to progress on the conditions set by ING, we may as of 2027, on a case-by-case basis, apply stricter credit conditions on the client, or cease financing them altogether.

Our Equator Principles actions

The Equator Principles (EPs) are a risk management framework adopted by financial institutions for determining, assessing, and managing environmental and social risk in large infrastructure and industrial projects³ of our Wholesale Banking project clients (downstream value chain). The application of the EPs reduces negative impacts on biodiversity and ecosystems and therefore (reputational) risks for ING on an ongoing basis whereby time horizons depend on the relevant project.

¹ More information on our deforestation and ecosystem conversion approach can be found on [ing.com](#).
² We check such commitments based on the Accountability Framework: <https://accountability-framework.org/use-the-accountability-framework/definitions/>.
³ The EPs apply globally to all industry sectors and to five financial products: 1) project finance advisory services, 2) project finance, 3) project-related corporate loans, 4) bridge loans, and 5) project-related refinance and project-related acquisition finance.

Projects are categorised depending on the impact on human rights, climate change and biodiversity as well as the country where the project will be implemented, and requirements vary depending on the category. Activities under the EPs include: environmental and social assessments; compliance with local laws; regulations and permits or international best practice standards (often supported by independent consultants); developing an environmental and social management system; biodiversity action plan (or similar); and stakeholder engagement (especially with those having local and indigenous knowledge, monitoring and reporting). Furthermore, grievance mechanisms have to be incorporated as part of the EPs to remedy those harmed. In cases where a client does not follow the conditions, ING has the right to adjust or terminate the contract.

Within the EPs, ING also follows the IFC Performance Standard PS6 – Biodiversity Conservation and Sustainable Management of Living Natural Resources. The standard has the aim of avoiding, minimising, and where residual impacts remain, compensating/offsetting for risks and impacts to biodiversity and ecosystems. Depending on the habitat, the standard sets restrictions and conditions on the permitted activities. The modification of the composition of the state of species is thereby used as a distinctive factor. If biodiversity offsets are proposed as a last resort, the client has the obligation to assess the project’s residual impacts and adequate mitigation.

Our planned actions and targets

ING aims to integrate nature in the '[Client Transition Plan](#)' in 2025, and in our sustainability approach more generally, and started to identify and collect data that will help us to address nature and climate performance in a holistic manner. With this information we aim to strengthen ING's environmental risk assessments and enrich engagements with clients. We also aim to incentivise them to make business decisions that benefit nature and ecosystems, such as sustainability-linked loans, and reward clients for their sustainability performance linked to positive change.

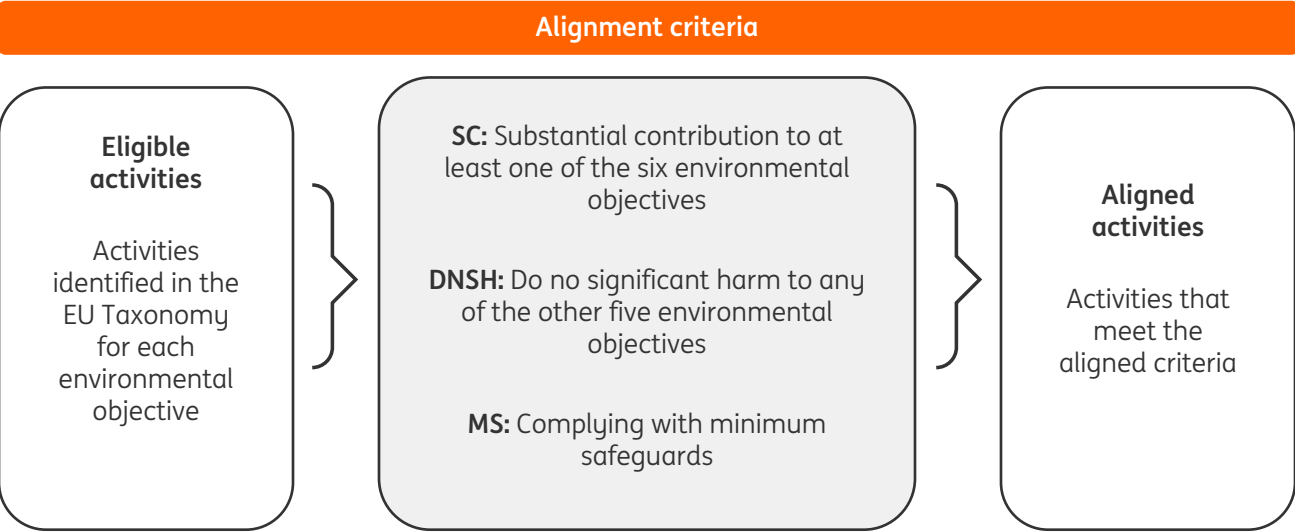
ING does not currently have nature-related metrics or targets in place. This is challenging due to e.g. the lack of sectoral, science-based pathways. Steering our loan book on nature is new terrain. Therefore, we collaborate with external stakeholders to advance knowledge, standards and methodologies (e.g. TNFD Forum) to ‘mainstream nature’. Internally, we are building capabilities in our own organisation e.g. by providing trainings on nature and biodiversity to colleagues, including senior management. We also use recommendations of the UN PRB Nature Target-Setting Guidance to inform on our actions to start aligning our strategy and financing activities with the Kunming-Montreal Global Biodiversity Framework goals.

EU Taxonomy regulation

The EU Taxonomy regulation is a published regulation in the Official Journal (Regulation (EU) 2020/852 of 18 June 2020) of the European Commission (EC). The EU Taxonomy is part of the EC’s overarching Green Deal and serves as a common classification system for economic activities. The regulation, which introduces a reporting obligation for non-financial and financial corporates to disclose environmentally sustainable economic activities, is based on the six environmental objectives set out by the EU:

- Climate change mitigation (CCM);
- Climate change adaptation (CCA);
- Sustainable use and protection of water and marine resources (WTR);
- Transition to a circular economy (CE);
- Pollution prevention and control (PPC); and
- Protection and restoration of biodiversity and ecosystems (BIO).

Next to the overarching regulation, two main reporting concepts are introduced in Article 8, Delegated Act EU 2021/2178 (DA): eligibility and alignment. An activity or asset is deemed eligible when it is described in the Climate Delegated Act or the Environmental Delegated Act, after which an assessment can be performed on whether it is also Taxonomy-aligned. The following visual shows when an activity or asset is deemed aligned, also referred to as ‘environmentally sustainable’:



Besides intrinsically sustainable activities, the EU Taxonomy also defined two specific categories: Transitional and Enabling activities. Enabling activities allow other sustainable activities to occur, like changes to the electricity grid to allow more renewable energy to be used. Transitional activities are economic activities for which there are no technologically and economically feasible low-carbon alternatives available yet, and can only qualify where the activity supports the transition to a climate-neutral economy under strict criteria. Examples are energy-efficient vessels and aircrafts.

Green Asset Ratio (GAR) and other relevant key performance indicators

The most relevant key performance indicator (KPI) for credit institutions is the GAR. This is determined as the proportion of taxonomy-aligned assets (numerator) that we finance in relation to total assets covered by that financing, also referred to as ‘Total GAR assets’ (denominator).

The GAR is supported by the granular templates following Annex VI of DA 2021/2178. These regulatory-required templates are included in the [‘Appendix to the Executive Board report’](#). These templates present a detailed breakdown of ING’s balance sheet items through the lens of the EU Taxonomy, for which the Taxonomy-aligned assets are used to calculate our Green Asset Ratio. For more information on the scope of assets included with Taxonomy information, see the [‘Technical notes to the EU Taxonomy reporting’](#).

Moreover, following Annex XII of DA 2021/2178, ING will report on Taxonomy information for gas & nuclear exposure via additional templates. The aim of these additional templates is to provide details on six specific gas & nuclear activities that are included in the Climate Delegated Act under the CCM or CCA environmental objectives that are on ING’s balance sheet and assets under management.

Summary of the main EU Taxonomy metrics - based on turnover			
EUR billions	Gross carrying amount	EUT eligible	EUT aligned
Loans and advances, debt and equity securities other than held for trading using turnover KPIs			
Financial corporations	28.34	7.82	0.51
Non-financial corporations	22.70	9.24	1.93
Households	348.58	348.58	55.19
Local governments financing	2.37	2.37	0.00
Total assets in numerator and denominator of GAR	402.00	368.01	57.63
Assets excluded from the numerator, covered in the denominator			
Financial and non-financial undertakings, not subject to NFRD	336.08		
Derivatives	28.89		
On demand bank loans	3.19		
Cash	1.65		
Other assets	65.88		
Total assets excluded from the numerator, covered in the denominator	435.69		
Total assets in the denominator (GAR)	837.69		
Green Asset Ratio (GAR)		44 %	7 %
Reconciliation from total assets in the denominator to total assets:			
– Central governments and Supranational issuers	67.39		
– Central banks exposure	78.34		
– Trading book	43.09		
Total assets	1,026.50		

Total assets are defined according to the prudential consolidation of ING Groep N.V., excluding loan loss provisions (EUR 5.9 billion).
¹ The table is based on 31 December 2024 financial figures.

For 2024, the GAR and eligibility ratio are in line with last year at 7% and 44% (2023: 7% and 44%), for both capex and turnover respectively. These results are driven by our mortgage portfolio (households), mainly stemming from the Netherlands and Germany.

The alignment of mortgages is, for the majority, determined by energy labels (EPC-labels) and where not available it is based on the top 15 percent of the most energy-efficient buildings. In the Netherlands, the availability of energy labels is good compared to other countries, which has resulted in a relatively high percentage of mortgages with a valid EPC A label. For the Dutch portfolio, we have also included the mortgages that are in the top 15 percent. In Germany, the majority of the Taxonomy aligned mortgages are in the top 15 percent of the most energy-efficient buildings.

The gross carrying amounts and related eligibility and alignment amounts in scope increased compared to 2023, as the CSRD scope includes the subsidiaries and SPVs from the financial and non-financial counterparties, subject to CSRD. For more details on our approach to EU Taxonomy reporting see the [‘Technical note to the EU Taxonomy reporting’](#).

For known use of proceeds exposures, we set up a sustainable deal assessment during 2024, which enables the business to assess a loan – of which we know the use of proceeds – for substantial contribution and eligibility. Next to this, we have started to investigate how we can include the full assessment for alignment including DNSH and MS. However, this is more challenging than initially expected. Since we, as a bank, finance the economic activities, we do not always have direct access to (reliable) information to perform the assessments needed. We will continue to monitor the availability of reliable information and the possibility of including the alignment assessment, while regulation further matures in the market.

Business strategy and engagement with clients

It is important to recognise that our climate-action objectives are primarily steered by our ‘Sustainability at the heart’ strategy, Terra approach, and Sustainable Finance product offerings. At this stage, ING is not planning to set KPIs on GAR for strategy purposes, but it might be explored in future years with developments around the application of GAR. It is expected that our Taxonomy alignment may improve on the back of achieving our 'Sustainability at the heart strategy', including our climate objectives, transition plan, and sustainability policies. As a credit institution, by nature we do not have Capex plans for the EU Taxonomy.

Social

As an employer, we aim to provide a safe and inclusive workplace, with a workforce that reflects the diversity of our customer base. We believe financially healthy people contribute to a healthy economy and drive social progress, which is why we aim to support customers in meeting their financial commitments now, while building their financial security for tomorrow. We believe every person deserves to be treated with dignity and have their interests considered equally, whether it concerns people in our own workforce or our consumers and end-users.

As detailed in the General information section, the double materially assessment has identified material sustainability matters within the following topical ESRS related to 'Social':

- European Sustainability Reporting Standards – S1 Own Workforce
- European Sustainability Reporting Standards – S4 Consumers and End-users

For the identified sub-sub topics, see the dedicated sections in 'Social'.



Own workforce

Our own workforce¹ is our greatest asset. Unlocking our people’s full potential is a key enabler of our ‘Growing the difference’ strategy as we believe we have an abundance of talent and potential at ING. We believe we will succeed when we equip our workforce with the skills and capabilities they need to make significant contributions to the continued and sustainable growth of our business. We seek to create a diverse and inclusive environment that reflects the world we operate in, and where our employees feel they can belong and thrive. As our own workforce is within the value chain of our own operations, this section will describe the material impacts, risks, and opportunities in relation to this value chain.

Identified impacts, risks and opportunities

Positive impacts on our own workforce relate to how we develop employees’ skills and foster career growth and adaptability. We also strive to promote diversity, which allows for new perspectives and builds trust. The material positive impacts we’ve identified are linked to the following topics:

- Training and skills development: Upskilling provides employees with new competencies and knowledge, opening the door to long-term career advancement, within or beyond their careers at ING. Continuous skills development keeps employees updated on industry trends and best practices, making them resilient and adaptable to change.
- Diversity: Working in a diverse team exposes employees to new perspectives, experiences, and problem-solving approaches. Diversity, inclusion and belonging initiatives encourage learning and growth, helping ING employees to expand their skills and viewpoints, which can enrich both their personal and professional lives. The mutual respect and trust from employees of diverse backgrounds can improve collaboration and communication, creating a supportive work environment where employees feel comfortable contributing ideas.

Negative impacts on our own workforce could materialise through exposure to unrealistic workloads and expectations, and may perpetuate gender inequality, sustain pay gaps, and fail to adequately prevent violence and harassment. These negative impacts can diminish the wellbeing of our workforce, especially among vulnerable groups such as women and minorities. They are not considered to be widespread or systemic, but could rather relate to individual incidents. The negative impacts link to the following topics:

- Gender equality and equal pay for work of equal value: Company culture, policies or processes can contribute to gender inequality, reflected in a low percentage of women in management positions and a pay gap. The term ‘equal treatment’ (equality) refers to the principle of non-discrimination, according to

which there shall be no direct or indirect discrimination based on any ground such as sex, race, colour, ethnic or social origin, genetic features, language, religion, or belief, political or any other opinion, membership of a national minority, property, birth, disability, age, or sexual orientation.

- Work-life balance: As an employer, we could potentially cause or contribute to work-related stress and pressure. This is due to, for instance, unrealistic workloads, deadlines, or expectations that can negatively impact the work-life balance of employees who might be reluctant to take family-related leave, work flexible hours or use daycare services.
- Measures against violence and harassment in the workplace: Violence and harassment can negatively impact the physical well-being and mental health of a person, as it may violate the dignity of a person and create an intimidating, hostile, degrading, abusive, humiliating, or offensive working environment. This can lead to anxiety, persistent fear, stress, and/or depression. Violence and harassment are typically directed at vulnerable groups such as ethnic, racial, sexual, and other types of minorities, and women.

Risks recognised primarily arise from the materialisation of negative impacts which might lead to reputational and turnover risk. Risks may also pertain to the employment and inclusion of persons with disabilities. For instance, failing to provide adequate workplace accessibility could result in reputational damage.

Assessment of current financial effects is based on ING’s internal risk database (including engagement with our workforce and our whistleblower channels). We rely on the existing approach based on the recognition and measurement criteria of provisions in the Financial Statements. For more information, see Note 15 ‘Provisions’ and Note 41 ‘Legal proceedings’. For 2024, there were no significant current financial effects.

Processes for engaging with own workforce and workers’ representatives about impacts

We understand that an important part of our strategy of unlocking our people’s full potential is by engaging with our employees and our social partners, and listening to their ideas and views. For that reason, we commit to maintaining various engagement channels in order to better understand how they feel.

Engagement with our workforce is overseen by, amongst others, Global HR, with Group Compliance addressing specific matters such as harassment. We hold frequent surveys to get employee feedback on topics such as ING’s strategy and working conditions, like our Organisational Health Index (OHI) and Employee Index. We also encourage dialogue through targeted town halls and trainings, while employees have the opportunity to share their opinions more regularly with line managers or in team meetings. Performance management reviews, works councils and meetings with social partners are an additional, formal setting in which this dialogue can take place. For more information, see [‘How we create value’](#).

¹ Own workforce refers to our employees and non-employees (contractors and individuals engaged via employment agencies), also referred to as our ‘employees’.

Own workforce strategy – Unlocking our people’s full potential

ING strives to provide a safe, diverse and inclusive workplace. Unlocking our people’s full potential is the strategic approach we take to meet this commitment for our workforce, complemented by our global policies, targets, actions and data-driven insights. ‘Growing the difference’, ING’s global strategy, is supported by four enablers, including ‘unlocking our people’s full potential’, which encompasses our workforce strategy. We consider both external and internal factors, such as geopolitical forces, evolving technology and changing employee expectations, as these trends shape our business needs and, consequently, our strategy. For more on ‘unlocking our people’s full potential’, see our [‘Strategy’](#) section.

The governance of our diversity, inclusion and belonging (DIB) strategy, of our measures against harassment and violence, and of our initiatives supporting wellbeing, employment, and the inclusion of persons with disabilities, is structured in such a way that ING can address its material risks and impacts in a timely and effective manner. These risks, such as harassment and violence, can result in lower employee morale, reduced productivity and harm to ING’s overall reputation and operational instability, as well as potential legal claims with financial consequences. To strengthen our adaptability and resilience, tools like the Annual Gender Pay Gap Process and the Organizational Health Index provide valuable insights that guide the refinement of our policies, inform strategic direction, and support the implementation of regulatory changes. Through ongoing policy reviews, residual risk assessments, and the alignment of processes with evolving regulations, we continuously enhance our capacity to manage both current and emerging risks effectively.

Our approach to diversity, inclusion and belonging is focused on understanding, mutual respect, and celebration. We recognise that not everyone experiences work and life in the same way, and so we aim to ensure fairness and equity in everything we do. ING has a diversity, inclusion and belonging strategy in place to foster an inclusive culture and environment. The strategy focuses on mitigating potential negative impacts and highlights the actions we take around disability and gender equality, such as our global accessibility obligations, and our reporting on our gender pay gap and equal pay for equal work. These aim to ensure fairness for all and mitigate the risk of discrimination. In addition, our employees are expected to adhere to our Global Code of Conduct, which complements our strategy and is focused on fostering and maintaining a safe working environment. Together with focused initiatives on work-life balance and employee training and skill development, the environment we seek to create can enhance employee engagement, improve wellbeing, and create a strong and diverse performance culture.

ING introduced its global accessibility strategic vision, ‘Leave no-one Behind’, in 2022, setting out to improve the position of our employees and customers with disabilities. This was expanded upon in December 2024 with the launch of a global strategy for disability and neuro-inclusion for our workforce.

Policies, actions and performance

Diversity and inclusion policy

As a globally operating bank, we are continuously navigating the complexities of global and local regulations. In some instances, we set general, globally applicable policies to help address the material risks and material negative impacts our workforce may face, with consideration for local laws and regulations which may necessitate tailored local policies to ensure full compliance. Our global diversity & inclusion (D&I) policy, aligned with and recognised as a policy under the CSRD’s policy definition, outlines our global ambitions and targets. Among other things, the D&I policy focuses on the impacts and risks related to ‘diversity’ and ‘gender equality and equal pay for work of equal value’ and the risks regarding ‘employment and inclusion of persons with disabilities’. We have initiatives and guidance addressing the topics of work-life balance (wellbeing) and training and skill development.

The global D&I policy outlines our approach to creating an inclusive culture and environment where everyone can be themselves and reach their full potential. Our global diversity, inclusion and belonging strategy was endorsed by ING’s senior management, approved by the Management Board and supported by the Supervisory Board in November 2022 to work towards the ambitions set out in our global D&I policy. The Supervisory Board is informed by the ESG committee on related developments on a quarterly basis. Our D&I policy drives us to:

- actively support diversity, equity, and inclusion, and embed a culture where everyone is valued and treated with dignity and respect;
- ensure that people leaders work in partnership with their teams to create and sustain an inclusive working environment where everyone’s unique contribution is valued and where everyone feels a sense of belonging;
- ensure that decisions affecting employment, learning and development, promotion and career development are based on an individual's ability and reflect genuine requirements of the job;
- conduct annual analyses of our global gender pay gap and equal pay for equal work as part of our commitment to denounce discrimination and to promote equal remuneration for work of equal value for all employees;
- provide everyone with the appropriate information, and training, on diversity, equity, and inclusion in the workplace;
- make the necessary adjustments to meet the needs of people with disabilities where reasonable and practicable to do so;
- strive continually to provide people with a working environment that is free from discrimination and/or harassment of any kind; and
- behave in accordance with the values and behaviours of our Orange Code, which applies to all ING business units in all countries worldwide.

At ING, we denounce all forms of discrimination. Our global D&I policy and global DIB strategy, gender diversity targets, and various DIB action plans are aimed at preventing discrimination and driving inclusion. Discrimination includes any distinction, exclusion or preference made on the basis of age, sex, gender identity or expression, gender reassignment, sexual orientation, family responsibility (including pregnancy, maternity, paternity and adoption), partnership status, cultural background, religion, race, ethnicity, physical or mental disability, nationality, political opinion, social origin or any other status, that has the effect of nullifying or impairing equal opportunity or treatment in employment. Any distinction, exclusion or preference not based on the inherent requirements of the job is deemed as discrimination.

ING’s workforce policies are aligned with local labour laws and regulations in all countries where we have operations. In countries where local legislation goes further than the principles set out by the Universal Declaration of Human Rights and ILO Core Conventions, we also apply additional and stricter requirements. In addition, we seek alignment with international standards on human rights (such as the UNGPs) through the implementation of EU directives and the development of internal policies, such as our D&I policy, Whistleblower policy and other mechanisms, such as our human rights statement and workplace statement. Our D&I policy is available on [ing.com](#).

Actions, targets and metrics

We take various actions to further understand the impacts coming from outside ING, and we continuously inform our workforce and leaders on best practices related to developments and learnings in DIB. This is exemplified in our collaboration with external organisations to understand the impact of global events, socio-economic movements, and changes in legislation on DIB. For example, we make the most of our memberships of Workplace Pride and the Business Disability Forum to draw on their expertise and guidance to refine our strategy and actions for, respectively, the LGBTQI+ and disability communities. Where appropriate, we participate in external assessments, to understand our maturity on specific areas and our need for focus and improvement in others. In 2024, ING was named as an ‘Advocate’ in the annual Workplace Pride global benchmark, the highest ranking possible for an organisation. ING continues to investigate how we can further mitigate potential negative impacts and risks on our own workforce within the scope of diversity, inclusion and belonging, gender pay and remuneration.

During the course of 2023 and 2024, we rolled out the ‘Inclusive Leadership’ workshop across the MBB, their leadership teams and country Executive Committees. Across 13 workshops attended by a total of nearly 250 leaders, participants gained an understanding of how the global DIB strategy supports the bank’s strategy and were empowered to take practical action to create a more inclusive ING and more connected teams. We also developed and launched the DIB Learning Explorer curriculum in 2023 and are continuing to promote and embed this across the business. By fostering self-awareness among our workforce and leaders and deepening the understanding of diversity and inclusion, we help to reduce the risk of discriminatory behaviour within the organisation.

Our efforts go beyond formal training and skill development, actively promoting inclusion, self-awareness and allyship through our employee resource groups (ERGs) and continuous listening. There are over 45 ERGs globally relating to culture, disability, gender, generations, LGBTQI+, and race and ethnicity, with members of our Management Board as sponsors. Through structured dialogue with the leaders of our ERGs across ING, the global DIB team can gather feedback on people’s experiences. This is used to help shape ING’s global DIB strategy and associated actions, both at a global and local level. Similarly, ongoing engagement with country HR teams creates additional channels for any inclusion-related challenges to be raised. Efforts are made to resolve issues collaboratively and as far as is possible. In addition, we have incorporated a yearly Inclusion Index in our OHI survey to analyse different experiences of inclusion based on gender, age, and organisational demographic, enabling us to monitor the effectiveness of the policy and allowing us to take targeted action where required.

Actions on training and skill development

Through our engagement with our workforce, we understand that to drive meaningful change, we must attract, develop, and retain fit-for-future talents. Therefore, we have both scalable and curated learning and development offerings tailored to our employees’ roles and growth to meet our current and future skills and capability needs. This includes domain-level academies, mandatory and non-mandatory learnings (online and in-person) and both formal and informal development opportunities for our range of employee scales. To complement our training agenda we also focus on talent development. In 2024 we performed strategic talent reviews across the bank for more than 5,000 senior roles in order to better identify and understand the leadership, skill and capability needs of our domains to grow the difference.

Workforce characteristics

In addition to our strategy, policies, targets and actions, the following table of workforce insights includes the total number of our own employees by head count, with breakdowns by gender and country for significant locations, and details on permanent and temporary employee hours. ING has no employees with non-guaranteed working hours, as employees with on-call agreements have agreed fixed hours and are treated as full-time or part-time employees. We also examine other contextual information and methodologies for data compilation to aid in understanding our workforce characteristics. For example, we measure turnover on a monthly basis as it has the potential to impact operational effectiveness. In 2024 total turnover was 9 percent, no change compared to 2023. Additional disclosures include breakdowns by region for full-time and part-time employees, in order to obtain a comprehensive insight into our employment practices and impacts. The related staff expenses and the number of own employees are disclosed in notes to the consolidated statement of profit or loss (Note 25 ‘Staff expenses’).

Our people in numbers

Total headcount
63,930 Employees

Total number of leavers
5,577

Employees

62,168

Permanent employees

1,762

Temporary employees

59,365

Full-time employees

4,565

Part-time employees

Age distribution

19%

< 30 years

62%

30-50 years

19%

> 50 years

Gender distribution



Senior management gender distribution



Women

Men

Top four countries

	The Netherlands	Poland	Belgium	Germany
Overall headcount	15,326 Women: 36% Men: 64%	11,577 Women: 55% Men: 45%	6,372 Women: 47% Men: 53%	5,978 Women: 46% Men: 54%
Permanent employees	14,655 Women: 36% Men: 64%	11,173 Women: 55% Men: 45%	6,323 Women: 47% Men: 53%	5,820 Women: 46% Men: 54%
Temporary employees	671 Women: 39% Men: 61%	404 Women: 50% Men: 50%	49 Women: 40% Men: 60%	158 Women: 41% Men: 59%
Full-time employees	14,315 Women: 33% Men: 67%	11,387 Women: 55% Men: 45%	5,092 Women: 39% Men: 61%	4,595 Women: 36% Men: 64%
Part-time employees	1,011 Women: 80% Men: 20%	190 Women: 59% Men: 41%	1,280 Women: 80% Men: 20%	1,383 Women: 79% Men: 21%

Regional distribution

Rest of EMEA	APAC	Americas
15,018 Women: 51% Men: 49%	8,950 Women: 53% Men: 47%	709 Women: 39% Men: 61%
14,642 Women: 51% Men: 49%	8,852 Women: 53% Men: 47%	703 Women: 39% Men: 61%
376 Women: 59% Men: 41%	98 Women: 42% Men: 58%	6 Women: 67% Men: 33%
14,434 Women: 50% Men: 50%	8,834 Women: 52% Men: 48%	708 Women: 39% Men: 61%
584 Women: 78% Men: 22%	116 Women: 90% Men: 10%	1 Women: 100% Men: 0%

These numbers are based on year-end figures as of 31 December 2024.

Actions and targets on gender diversity

In order to more systemically address the representation of women in senior leadership, a bank-wide gender equity action plan was launched in 2022. This was aimed at making sustainable improvements to how we hire, progress, and retain female talent. This action plan includes results from our gender pay gap and equal pay for equal work analyses, which are designed to highlight disparity and seek to address the inequities that exist in relation to pay and performance. There is also a set of gender-related targets focused on the representation of women in leadership roles as agreed by the Management Board Banking (MBB). A part of the variable pay of our Executive Board and Management Board Banking is linked to the delivery of these internal targets on gender diversity.

The global head of Diversity, Inclusion & Belonging proposes annual gender diversity targets to the HR Management Team, after which they are discussed with the MBB and Supervisory Board for final approval. The workforce or workers' representatives are not involved in this process, but these commitments are shared externally and are publicly available. We track progress against these gender diversity targets internally, and the results are shared with global domain HR directors and relevant senior business leaders to drive progress. This progress is also shared quarterly with both the MBB and Supervisory Board ESG committee.



Diversity of leadership

Diverse leadership fosters a diversity of views and experiences, and facilitates independent opinions and sound decision-making, which has a positive impact on ING's business

Executive Board

In accordance with the Gender Diversity Act, which came into force in the Netherlands on 1 January 2022, the gender-diversity target for the Executive Board is **set at 30 percent**.

Supervisory Board

In accordance with the Gender Diversity Act, which came into force in the Netherlands on 1 January 2022, the gender-diversity quota for the Supervisory Board is **one third men and one third women**.

Furthermore, two bank-wide gender diversity targets have been set to drive progress on gender diversity. These targets are not an end-goal in themselves but are simply milestones to achieving true gender equity at the top.

We aim to achieve:



at least **35%**
women in senior leadership
by 2028.



at least **30%**
women in the leadership
pipeline by 2025.

One of our efforts to boost broader diverse representation is by striving to increase the number of women in leadership roles. See [‘Unlocking our people’s full potential’](#) to learn about progress on our efforts. In addition to these gender targets, we are enhancing our gender equity awareness and broadening our scope with the launch of new global guidelines and standards for successful parental leave transitions in 2025, designed to enhance the support previously in place for people leaving and returning to the bank when having a family. These global guidelines aim to ensure equal support for all working parents, before, during and after parental leave with a focus on equal access to career development opportunities.

Actions regarding gender pay gap (GPG) and ‘equal pay for equal work’ metrics

At ING we have defined ‘Our people offer’ (OPO) which describes how we want to pay and treat our employees fairly and transparently. We ensure that all our remuneration schemes (fixed and variable) and our benefit schemes are gender neutral, which is also stated in our ING Remuneration Regulation Framework (IRRF). Through OPO and our commitment to fair and transparent pay, we actively analyse reward practices to understand and remove structural barriers in the drive towards gender equity.

The gender pay gap (i.e. the difference between the average remuneration of men and women) is one of the measurements we use towards this commitment and is a practice ING committed itself to in 2021 ahead of industry standards and regulatory requirements. In 2022, we laid the groundwork to understand gender pay more thoroughly, and to provide a baseline to understand any gaps from 2021 onwards. Our analysis, supported by an externally assessed methodology, is divided into two parts: unadjusted gender pay gap and adjusted gender pay gap. This two-fold approach allows for more nuance, which is necessary given the complexity of the topic and change in analysis compared to previous years:

- The 2024 gender pay gap calculation methodology continues to use fixed compensation and variable remuneration (VR)¹, but has been adjusted following new regulatory requirements mandating reporting of the GPG for the respective reporting year. Previously, ING reflected the GPG with a one-year gap.
- To accommodate reporting for the current fiscal year, the 2024 GPG analysis used a target variable remuneration figure instead of the actual paid variable remuneration, the latter of which was used for the 2022 and 2023 analyses. This VR target² represents the expected bonus an employee may receive based on the target performance of the Group, business line or functions and the individual.

Separate to the gender pay gap, we also initiated equal pay for equal work analyses to assess whether there is equal remuneration for men and women for work done of equal value. We use our Global Job Architecture (GJA) to aid this analysis, which organises all job profiles within ING into a standardised structure allowing for easier comparison of capabilities and accountabilities across countries and business lines. Using this architecture, we were able to perform an ‘equal pay for equal work’ assessment and the results were shared with relevant senior leaders. The results acknowledged that there are existing circumstances where it is

¹ All non-regular remunerations paid by ING to the employee, including allowances, complementary bonuses, and commission.
² VR schemes (VR target) are designed in a gender-neutral way, are based on the Global Job Architecture and can vary per location. VR targets are expressed as a percentage of fixed pay.

appropriate to reward employees differently. These cases are reviewed and affirmed, while action is taken for unjustified differences to ensure parity.

Unadjusted gender pay gap

ING follows the guidelines laid out by the European Banking Authority (EBA), which collects benchmarking data on the gender pay gap from banks under its supervision (including ING) per fiscal year as of 2023. ING is ahead of this requirement, having begun collecting data on gender pay globally and publishing its unadjusted and adjusted global gender pay gap in 2022. Using the EBA’s definition, the unadjusted gender pay gap represents the difference in the mean remuneration paid to men and women expressed as a percentage of the mean remuneration paid to men.

For 2024, using annual fixed remuneration and target bonus, the unadjusted gender pay gap of ING globally was 28 percent. Comparatively, at the end of 2023, the unadjusted gender pay gap of ING globally was 31 percent, and at year-end 2022 it was 32 percent.

According to our analysis, this gap is caused by the higher representation of men in more senior, higher-paying roles than women. The difference between the unadjusted gender pay gap of ING globally can be mainly explained by career events, such as i) new joiners and leavers (including internal mobility), ii) compensation changes together with level changes, and iii) compensation changes without other changes. In the course of 2025, we will analyse whether the change in methodology, from actual paid bonus to target bonus, had a (significant) impact on the results. In the Annual Report 2025, we will also publish the 2024 unadjusted gender pay gap using the actual paid bonuses.

The results of ING’s global unadjusted gender pay gap reinforce our aim to increase the representation of women in senior roles. To strengthen our understanding of the unadjusted gender pay gap, we conducted a deeper analysis to assess where and why these differences in pay between men and women occur. This next level of work is known as our ‘adjusted gender pay gap’ reporting.

Adjusted gender pay gap

Our adjusted gender pay gap analysis accounts for several factors to make the comparisons meaningful, including two main drivers: country differences and job classification. ING calculates its adjusted gender pay following the Oaxaca-Blinder method.

The adjusted gender gap analysis shows a 2 percent global pay gap for 2024 (2 percent for 2023):

1.

11 percent is explained by country differences, i.e. there are structural pay differences between countries. To reduce the variance between countries, we ‘centralise’ each employee’s hourly rate by taking the country average hourly rate as the ‘centre’. From this, a new average can be calculated for each gender. Separating the impact of these structural differences allows a fairer comparison;

2.

15 percent is explained predominantly by ING’s job framework, Global Job Architecture (GJA). Working in certain job profiles has a positive effect on salary (compared to the majority role taken as reference). In these job profiles there are more male than female employees. In conclusion, the higher proportionality of men partially drives the gap.

By subtracting the effects of country differences and our GJA, the adjusted gender pay gap was 2 percent in 2024 and 2 percent at year-end 2023 (2022: 3 percent). Therefore, we found that female employees are paid on average 98 percent in 2024 (2023: 98 percent) of what male employees are paid. While we are encouraged by the fact that our adjusted gender pay gap shows there are objective, explainable reasons for our unadjusted pay gap, we realise there is more to be done, especially about the under-representation of women in leadership positions, and we remain fully committed to improving this.

Unadjusted and adjusted gender pay gap per country/entity (based on headcount > 250)

Country/Entity	UGPG24	UGPG23	UGPG22	AGPG24	AGPG23	AGPG22
ING Group	28%	31%	32%	2%	2%	3%
Netherlands	16%	16%	18%	1%	1%	2%
Poland Slaski	31%	32%	34%	3%	3%	3%
Belgium	16%	16%	16%	1%	1%	1%
Philippines Hub	27%	25%	22%	0%	0%	1%
Germany	15%	15%	17%	1%	1%	1%
Poland Hub	16%	17%	17%	3%	3%	2%
Türkiye	25%	28%	28%	2%	2%	1%
Romania Bank	21%	21%	22%	0%	0%	1%
Spain	14%	16%	17%	2%	2%	3%
Australia	21%	23%	24%	1%	2%	2%
Romania Hub	12%	13%	14%	2%	2%	3%
Slovakia Hub	8%	9%	9%	1%	0%	1%
Interhyp AG	13%	15%	16%	2%	2%	2%
Italy	17%	19%	17%	-1%	1%	2%
Luxembourg	15%	16%	15%	1%	1%	1%
United Kingdom	32%	33%	34%	2%	3%	3%
United States	24%	24%	22%	1%	2%	2%
Singapore	31%	29%	31%	-1%	-1%	-2%
Switzerland	20%	21%	20%	0%	2%	0%
Russian Federation	29%	33%	47%	0%	-6%	-2%

Remuneration ratio

In line with the ESRS definition, the total remuneration ratio for 2024 is 1:32, meaning the highest paid employee receives 32 times the median remuneration. We determined the ratio of the total remuneration (i.e. the annualised total fixed and variable remuneration (VR) based on the VR target) of the highest paid employee in ING compared to the median total remuneration of all ING staff, excluding the highest paid employee. Total remuneration includes base salary, role-based allowance, fixed collective allowances, discretionary VR, collective VR, sales incentive, other incidental VR, retention award, and annual variable allowances.

ING is also required to disclose the internal ratio based on the Dutch Corporate Governance Code, which deviates from the remuneration ratio mentioned above, as it concerns "the ratio between (i) the total annual remuneration of the CEO and (ii) the average annual remuneration of the employees of ING". The internal ratio for the CEO in 2024 was 1:24. For more information, see our [‘Remuneration report’](#).

Actions on work-life balance

At ING we consider a healthy work-life balance important for sustainable and engaged employees. We promote a flexible way of working among our employees through different programmes such as hybrid working, international remote working, and various paid-time off programmes in order to support our employees in distinct phases of their lives. Our broad range of family-related or personal event-related leave, such as parental leave, diversity leave and care leave, is country-dependent and in compliance with local legislation and requirements.

In 2024, we launched ING’s ‘Working habits’, which provides tailored insights and proposals for healthy and effective ways of working. This scalable technology is enhanced by global training for our managers which equips them with practical tips to adopt ‘best practice’ working habits with their teams. As part of our ambition to promote wellbeing, including mental wellbeing, physical wellbeing, and a healthy work-life balance, we are working towards a global wellbeing strategy in 2025.

Actions on disability and neurodiversity

We recognise our role in supporting disability inclusion and our responsibility to provide accessibility in banking and employment, in support of our employees and customers with and without disabilities. ING has an existing Global Accessibility & Inclusivity Centre of Excellence (CoE) that is responsible for ensuring our digital and physical environment is accessible for all at ING through universal design. ING is currently implementing mandatory accessibility obligations throughout its internal policies with the aim of informing ING employees of their responsibilities more thoroughly in delivering an accessible bank for persons with disabilities and/or neurodiversity. With these accessibility obligations, we aim to set an internal global standard for accessibility. Accessibility is also a part of the ING ESG risk framework.

In 2024, ING introduced a new global disability and neuro-inclusion strategy, aimed at breaking down the barriers people face and ensuring everyone has the support they need to thrive. During a three-year period

between 2025 and 2027, all countries across ING will be expected to take several strategic actions to help drive change, create more equity and improve people’s experience at ING no matter where they work and what they do. Furthermore, we will continue to share our accessibility efforts through global internal and external communications on disability awareness-related days, including Global Accessibility Awareness Day (GAAD) and International Day for Persons with Disabilities (IDPD). The purpose is to raise awareness of key topics and build understanding within the organisation, contributing to an open, safe, and caring culture and to encourage people to share their lived experiences so we can better support them.

Whistleblower Policy

Regarding the risks and negative impacts related to ‘measures against violence and harassment’, our Whistleblower Policy provides instructions on treating concerns in a careful and proportionate manner, aimed at ensuring that ING takes appropriate, lawful, and timely action in case of concerns related to human rights by or within ING. Read more about our Whistleblower Policy in the [‘Governance’](#) section.

Our actions against violence and harassment in the workplace

We are committed to upholding both the requirements set by human rights, laws, and regulations, as well as the exacting standards of our Orange Code and Global Code of Conduct, through which we can fulfil our purpose of empowering people while countering potential negative impacts and risks related to, for example, violence and harassment. We encourage employees to share concerns in confidentiality and speak up through multiple initiatives and channels, such as the OHI survey and the whistleblower process. These channels are globally known, encompass mature processes and are made available on ING’s intranet, with guidance and trainings additionally available so employees and managers have a full understanding of the infrastructure in place. Read more about our Global Code of Conduct in the [Governance](#) section.

In accordance with our Whistleblower Policy and related control standards, we record and monitor concerns according to specific categories, as represented in the adjacent table. The overview contains concerns reported with respect to our own workforce, through the dedicated whistleblower channel. The concerns are reported quarterly (in numbers and on content) via the chief compliance officer up to the level of the Supervisory Board Risk Committee.

Whistleblower concerns are grouped into categories that link to internationally recognised human rights:

- Discrimination;
- Aggression, violence, and bullying;
- Breach of confidentiality and data privacy related to an employee;
- (Sexual) Harassment;
- Work-pressure/unrealistic targets; and
- Retaliation

In 2024, the total number of concerns raised by our own workforce amounted to 194. We did not identify any fines, penalties, or compensation of damages related to reported incidents and complaints. If they did occur, these fines, penalties, and compensations are reported under ‘Other operating expenses’ in the statement of profit or loss.

Whistleblower category of concerns ¹	2024
Accounting, internal accounting controls or auditing matters	1
Aggression and violence	5
Breach of confidentiality and data privacy related to client/employee	9
Bullying	32
Conflicts of interest	7
Discrimination	10
Financial economic crime	1
Fraud /theft	9
Harassment	19
Other: (i) breach of any external law or regulation or (ii) breach of any ING policy	33
Retaliation	5
Sexual harassment	9
Unfair customer treatment	3
Work pressure/unrealistic targets	5
Workers' conflict	10
Working environment	36
Grand total	194

¹ As of 31 December 2024, due to the anonymous nature of the whistleblower reports, 44 concerns are under review to determine their potential connection to our own workforce. Consequently, these concerns have been excluded from the table.

To understand if any of the whistleblower cases were considered a severe human rights incident, we applied three elements of severity: scale, scope and the remediability of the impact to the whistleblower categories mentioned above. Based on our assessment, no severe human rights incidents connected to our own workforce were identified in the reporting period.

We have escalation channels in place to report on incidents related to diversity, inclusion and belonging. We are also continuously designing and developing interventions in close cooperation with Human Resources and our Compliance team to improve ‘speak up’ and escalation behaviour across the organisation. For more information, see our [‘Governance’](#) section.

Consumers and end-users

Consumers and end-users of ING's services include companies and private individuals who we provide our services to. In accordance with the outcome of the double materiality assessment, we focus this section on private individual customers within our Retail Banking domain, also referred to as our 'customers'. At ING, we strive to make access to our products fair and our communication transparent, and to respect the rights of our customers when providing our services. This includes mitigating impacts and risks related to access to quality information, social inclusion, and privacy.

We assessed the materiality in acknowledgement that the topics are particularly relevant to customers in a vulnerable position. A customer is in a vulnerable position when, due to their personal circumstances, they are especially susceptible to harm or exclusion, particularly when ING is not acting with appropriate levels of care. Customers in a vulnerable position may include elderly customers, customers who experience (temporary) sensory, physical, cognitive, neurodiverse disabilities, or chronic disease and customers with reading difficulties.

Identified impacts, risks and opportunities

Negative impacts relate to practices that compromise fairness, inclusivity, and data security and can harm customer wellbeing, damage our reputation, and expose us to financial and regulatory risks. The negative impacts are not widespread or systemic, but based on individual incidents and link to the following topics:

- Access to quality information: There are potential negative impacts related to 'Unfair Customer Treatment', due to mis-selling, as well as ING (deliberately) misrepresenting a financial product or providing an unclear or unfair presentation of the financial product. These practices might lead to customers making uninformed decisions, potentially leading to financial distress.
- Social inclusion: There are potential negative impacts on our customers due to non-discrimination violations and ING's failure to provide access to products and services. This may result in the exclusion of customers due to accessibility barriers or regional restrictions, unequal treatment among customers, and the mis-selling of products through misleading marketing
- Privacy: There are potential negative impacts related to data privacy in accordance with existing data protection legislation (e.g. GDPR). Failure to protect our clients' data can negatively impact our customers and may result in identity theft, financial loss due to fraudulent activities, loss of privacy, and emotional distress.

Risks arise from the materialisation of the identified negative impacts and are associated with failing to uphold fairness, inclusivity, and data security.

Assessment of current financial effects are based on the engagement with our customers, mainly through our complaints channels and our legal claims processes. We rely on the existing approach based on the recognition and measurement criteria of provisions in the Financial Statements, for more information see Note 15 'Provisions'and Note 41 'Legal proceedings'. For 2024, there are no significant current financial effects.

Processes for engaging with customers

At ING, we regularly engage with our customers in order to understand any concerns they may have and to improve our services and activities. This engagement is the responsibility of our head of Retail. One of the ways we engage with our customers is through the measurement of our yearly net promoter score (NPS). For more information on our NPS, see the '[Superior customer value](#)' section. Furthermore, we continue to encourage inclusive and accessible product and service development throughout ING, with the support of ING's Global Centre of Expertise (CoE) Accessibility. In addition to our general engagement activities, we use our complaints channels to gain a clearer picture of the impacts we have on our customers. See our complaints and remediation process in this section for more information.

Global CoE Accessibility is an active member of the global accessibility community, by, for example, sending speakers to events attended by experts in the field and representatives of disability interest groups/ organisations. The conferences where ING participated in 2024 were the Zero Project Annual Conference in Vienna, the European Platform for Rehabilitation Annual Conference and the Social Services Europe Annual Conference. These conferences offer insights into new innovations and how these are received by users. There's also the opportunity to learn about the challenges people with all kinds of disabilities encounter, and the new developments that might cause concern. With the information acquired, ING can adjust its actions and influence ING entities to do the same. The efforts of our strategic vision and the EAA Compliance Program resulted in, among other things, the publication of our joint report with consultancy firm Sia-Partners in January 2024, on the impact of the EAA on banking services.

Customer strategy - Superior customer value

We strive to make banking easy, instant, personal and relevant so customers can stay up to date with all that ING offers. We aim to clearly price products and services, avoid complicated jargon and always be accessible. And as part of our accessibility strategy of 'Leave no one behind', we strive for inclusion of all our customers, with and without disabilities.

Access to quality information and social inclusion is important in promoting financial health and accessibility. Enhancing financial literacy is also essential to empower customers to make informed

decisions. These topics, along with related issues such as non-discrimination, access to products and services, and responsible marketing, are validated through our customer-centric compliance risk assessment. Additionally, safeguarding customer privacy and data security is a key compliance and reputational priority, reflecting our responsibility to protect personal information. We manage related risks by continuously assessing the regulatory environment for updates and implementing these in line with our governance measures. This ensures we remain compliant while safeguarding our strategy to provide superior customer value. The processes for managing our risks and impacts, as laid out in this section, are integrated into existing risk management and compliance processes.

In our ‘[Strategy, Business Model, and Value Creation](#)’ chapter, we explain how human rights have informed our strategy and business model. For more information on the roles and responsibilities of our MBB regarding, among others, our policies, see ‘[Our sustainability governance](#)’ section in the Sustainability Statement.

Policies, actions and performance

Customer Centricity Policy

ING offers a large variety of financial products and services to customers, and so we face different risks and are subject to a multitude of regulations. Our Customer Centricity Policy (CCP) helps in preventing and mitigating impacts and risks regarding the topics of social inclusion and access to quality information, including mis-selling and unfair customer treatment. For instance, we want all our customers to have equitable access to our products and services, including persons with disabilities, which is why we strive to comply with the procedures of our policies and apply controls.

We rolled out the CCP to all countries in 2024. In alignment with the CCP, we have governance measures in place to integrate new rules and regulations, such as the European Accessibility Act, the Consumer Credit Directive, and the Retail Investor Strategy, into our business processes and control environment. Our governance framework, supported by continuous policy reviews, risk assessments, and regulatory change implementation, enables us to address material risks related to discrimination, inclusivity, and access to information in a timely and effective manner.

The CCP defines high-level obligations aiming to ensure ING handles risks in line with regulations appropriately. We want to offer products and services suitable for our customers throughout the whole relationship lifecycle at a fair price considering the market, costs and risks. We monitor internal controls and processes, such as our Product Review and Approval Process (PARP), in which all elements of customer centricity are considered and challenged. The CCP requires us to communicate information on products and services in a clear and non-misleading manner, and provide services and trusted advice through professionals with the necessary knowledge and expertise. In doing so, we also consider the ESG risks and impact of our products and services on customers.

Having a global CCP enables us to align and assess whether customer centricity is applied to all products and customers across the globe. Norms that we have formalised into minimum standards include the need to only create and sell products that are in the interests of customers and society, to have an aligned standard on complaints processes, to provide clear and accessible information that is at all times fair and not misleading, and to assess the needs of individual customers both when we sell a product and when the customer uses a product. With this, we aim to mitigate potential and actual financial distress for individual customers, resulting from not having access to products, services and/or quality information.

While we do not have a human rights policy commitment in relation to our customers, ING seeks alignment with fundamental rights through the implementation of relevant financial markets EU directives such as IDD and MiFID, which reference human rights in the preamble. In 2025, our CCP will be enhanced further and updated on the accessibility of our products and services, to establish minimum compliance standards on non-discrimination and access to banking (basic needs) across all countries.

Complaints and remediation process

In addition to our general engagement activities, we use our complaints channels to gain a clearer picture of the impacts we have on our customers. The insights we obtain into complaints can help us to implement structural changes in our products and processes. The CCP sets out the minimum requirements for complaints procedures in all ING entities, including the need to be transparent about the complaints process and to keep customers informed of the progress in ING’s handling of a complaint. All complaints must be assessed regularly, and root cause analyses must be carried out to mitigate the risks of customer harm. The CCP also ensures that customers can raise complaints about ING’s financial products through third parties, including distributors, brokers and manufacturers. There are several ways our customers can file a complaint. Within nearly all our Retail markets there is at least one assisted channel available (e.g. call centre, branch, human chat, social media), and at least one self-service channel (e.g. mail, e-mail, online channels app and web) where customers can file a complaint which will then be handled by a human agent.

Customers are made aware of these channels via publicly available information e.g. websites of ING (FAQs and search engine) and via the Terms & Conditions provided to customers during onboarding. Furthermore, a call centre, branch and/or a chat agent can provide further information regarding the complaints processes when a customer contacts ING. We value our customers and evaluate their concerns seriously and, while not embedded in our customer-focused policies, we do not tolerate retaliation by any employee. For our anti-retaliation measures included in our Whistleblower policy, see the ‘[Business conduct](#)’ chapter.

We manage complaints primarily through contact centres and when possible complaints are solved upon initial contact. If unresolved, they escalate to specialised teams. We evaluate the complaints handling process, for instance, through an assessment of the time it takes to resolve complaints and how frequently we do so. A change in products, financial compensation and/or apologies can help to address any negative impacts on customers. We analyse complaints to implement structural changes in products, processes,

policies, procedures, and communication, and involve relevant risk parties and internal stakeholders as needed. We have established channels and procedures to ensure that customers are aware of and have confidence in our complaints procedures. However, we do not assess this confidence separately. Instead, if concerns about our complaints procedures are raised, they are considered within our broader evaluation of customer concerns.

Over the course of 2024, ING developed a minimum set of standardised labels on human rights (like discrimination, accessibility, privacy), customer centricity and ESG. These labels will be applied to complaints and become operational in 2025, enabling us to perform root cause analyses and to rectify service breakdowns, improve the customer journey, address potential human rights abuses and provide appropriate remedy, help senior management better understand customer protection and further strengthen customer trust. We are currently developing an internal approach to enable a granular and systematic identification of severe human rights incidents.

Actions regarding access to quality information and social inclusion

We have introduced various measures to make ING a more accessible bank, such as installing voice-activated ATMs in certain countries for people with a visual impairment to withdraw money, and issuing bank cards with a notch on top so they can insert them correctly. In Australia, customers with speech or hearing difficulties can do their phone banking via the national relay service, and we offer a sign-language service in some of our bank branches in Poland. Also, in the Netherlands, customers with a visual impairment can use screen readers (software applications that read out information displayed on a screen) in compatibility with ING.nl and the banking app, Mijn ING. The Mobile Banking App also contains a screen reader function to transfer money or to get current account insights. Furthermore, we also want to make sure everyone can easily understand our terms and conditions, that the information on our websites is readily accessible, and that customers can use our online banking channels and mobile apps, irrespective of their situation. We started a programme in 2022 (EAA Program) to align our customer-facing services in all our EU Retail Banking countries with the goal to comply with the requirements set out in the EAA and we are planning to finalise this in 2025.

To further mitigate potential material negative impacts and risks related to social inclusion, we are collaborating with the United Nations Environment Programme Finance Initiative under the Principles for Responsible Banking to contribute towards setting a measurement standard for the financial health impact of our industry. As a founding signatory of the Commitment to Financial Health and Inclusion, we've committed to setting targets supported by measures around products and services, data analytics and/or partnerships, with the aim of promoting financial inclusion and resilience. In multiple European locations, we implemented tools designed to encourage customers to build savings and manage their expenses. For more information on financial health, see ing.com.

As mentioned, it is pivotal to continuously improve social inclusion and ensure our customers have uninterrupted access to products and relevant information. We continuously monitor and optimise the performance and uptime of our channels to meet customer expectations and ensure seamless banking experiences. We track the availability of our channels through our Channel Availability metrics for which we refer to the '[strategy and performance](#)' section in this Annual Report.

Compliance policies, such as the CCP, are implemented in the locations we operate in. Outcomes of our monitoring, complaints analyses, event analysis or regulatory interactions, are recorded as an issue in our global database. We monitor and follow up on issues on a local and global level. In addition, the CCP standards and our compliance risks are subject to continuous monitoring and in alignment with our risk-based approach subject to periodic assessment and measurement. In relation to products and services, we perform periodic reviews in the context of the Product Approval and Review Process, which may lead to the remediation of a product if, for example, it is considered unfit for our customers.

Global Personal Data Protection Internal Policy

Just as we strive to enable customers to engage with ING without issue or interruption, we aim to protect the information they provide to us throughout their ING journey. The same applies for our business partners, service providers and our employees. In line with the EU's General Data Protection Regulation (GDPR) and other applicable data protection requirements, ING aims to process personal data for a specific business purpose in a fair and lawful manner, observing the rights and liberties of data subjects in scope of our activities. To fulfil this ambition, ING has implemented a Global Personal Data Protection Internal Policy (GPDP) which reflects the requirements based on laws and regulations, industry standards and ING's internal risk appetite. This GPDP contains specific requirements and controls which ensure the necessity and accuracy of the personal data ING is processing. The GPDP helps in preventing and mitigating impacts and risks regarding the topic (data) privacy.

It is our policy to have operational flows regarding data subject rights (such as the right to access personal data, right to erase personal data which no longer needs to be retained, right to object to data processing etc.) and that these are adequately provided to all individuals whose personal data is subjected to processing. This means that ING has implemented operational flows which allow us to process requests concerning access to personal data, the amendment/correction of personal data, opposition to processing of personal data etc. in a timely manner, in line with regulatory requirements.

In line with our policies, we strive to be transparent about what we do with the personal data of customers, employees, suppliers and business partners, as well as who we share personal data with and why. We want our business entities, support functions, and the third parties that we engage with, to grant a level of protection to the data subject equivalent to that guaranteed by the GDPR, especially if personal data is transferred outside of the European Economic Area. Part of the data protection scope is that personal data is

managed in a safe and secure manner, in line with current information security standards. More information can be found in the Privacy Statement on [ing.com](#).

Actions regarding Privacy

ING manages personal data protection and retention risks and impacts via the Global Data Protection and Data Retention frameworks and control standards. Potential material impacts are identified and addressed by relevant data protection risk assessments such as:

- the Data Protection Impact Assessment – performed at processing activity level and allows for an in-depth scrutiny of personal data processing activities in line with applicable regulations and data protection principles;
- the Legitimate Interest assessment – performed in order to assess whether ING can rely on legitimate interest as a lawful basis in case of certain personal data processing activities; in the case of this assessment the legitimate interests of ING are considered and balanced against the interests and rights of individuals in scope of the processing; and
- the Transfer Impact Assessment – performed in case personal data is transferred to a non-EEA country; in this case the soundness of contractual and technical protective measures and controls is assessed.

All assessments mentioned lead to concrete risk identification and impact mitigation measures which are implemented on a granular level (business process or IT asset-level). This enables ING to continuously identify, manage and limit relevant data protection risks, as data protection risk assessments represent an integral part of defining new business processes or introducing changes to existing ones.

Equally, personal data protection considerations are assessed and documented at product level, within the PARP process. Furthermore, the data protection framework consists of policies and control standards which are subject to continuous monitoring and in alignment with our risk-based approach subject to periodic assessment and measurement.

In the case of security incidents impacting personal data (e.g. data breaches) it is our policy to take the necessary containment and mitigation measures as soon as possible after identifying such an occurrence. As part of this policy we assess related data protection risks and impacts and determine whether external reporting to supervisors is required, ensuring compliance with regulatory requirements. Depending on the impacts and risks related to the incident, we undertake 'lessons learned' sessions to enhance workflows to prevent similar future occurrences in order to improve the protection of customer personal data. These lessons learned take into account, first and foremost, the potential or actual impact of a data breach occurrence on affected customers.

The effectiveness of our data protection and retention controls is monitored and tested periodically as part of the ING Key Control Testing framework. Data protection and retention controls are managed in line with implemented data protection governance. Relevant business process asset and contract owners are supported in identifying and managing data protection and retention risks, including by implementing appropriate mitigation measures, by dedicated first- and second-line teams, the Data Protection Executive Office and Data Protection Compliance. Our Privacy Statement provides information on how individuals can submit a data protection-related complaints.

For 2024, relevant improvements of the personal data protection framework have been delivered, with a focus on the retention and deletion of data. We continuously optimise data protection processes with the aim to ensure the compliant embedding of data protection requirements in relevant business processes.

Metrics and targets

Regarding accessibility and availability of our channels, we monitor and report our Channel Availability for Retail Banking. In 2024, we measured the availability of our channels in the Netherlands, Belgium and Germany. The Channel Availability indicator is disclosed in the [‘Strategy and Performance’](#) section.

We aim to limit the number of complaints and/or breaches related to access to quality information, social inclusion, data privacy, and associated reputational risks. If these occur, we take actions to remediate risks and impacts, as described in the previous paragraph. For our reputational risks, we have a Compliance Risk Framework which contains risk appetite indicators used for internal monitoring.

Governance

Our culture drives the way we do business and impacts all our stakeholders. We are guided by ING's Orange Code, which sets our values and behaviours and ensures we work with integrity, transparency, and high standards of business ethics. Our employees are encouraged to speak up and report concerns, and have a zero-tolerance approach to any form of bribery and corruption.

As detailed in the General information section, the double materiality assessment has identified sustainability matters within the following topical ESRS related to 'Governance':

- G1 – Business conduct



Business conduct

Business conduct refers to the way we do business. Our Global Code of Conduct reflects the standards we must adhere to, and includes our values, principles, and ethical standards. Business conduct includes matters such as business ethics and corporate culture, including anti-corruption and anti-bribery, and the protection of whistleblowers – and these are the specific sustainability matters we have identified.

Identified impacts, risks and opportunities

We have performed our double materiality assessment regarding business conduct on our own operations in the value chain. For more information, see [‘Business Model and Strategy’](#). The assessment concluded that inherent risks to ING related to business conduct are risk of financial loss, regulatory fines, and reputational damage resulting from:

- infringements of our corporate culture;
- instances of bribery and corruption; and
- failure to protect whistleblowers.

These risks have an effect on our own operations and therefore policies and internal guidelines are in place. Corporate culture is addressed by our Orange Code and Global Code of Conduct, and bribery and corruption are addressed by our Anti-bribery and Corruption Policy and zero-tolerance statement. The protection of whistleblowers is addressed by our Whistleblower Policy and internal guidelines. Our Orange Code, Global Code of Conduct (together our corporate culture), Anti-bribery and corruption Policy and Whistleblower Policy are described in the following paragraphs.

Assessment of current financial effects is based on ING’s internal risk database (including engagement with our workforce and our whistleblower channels). We rely on the existing approach based on the recognition and measurement criteria of provisions in the Financial Statements, for more information see Note 15 'Provisions' and Note 41 'Legal proceedings'. For 2024, there were no significant current financial effects.

Our governance around policies and other control measures has been designed in such a way that ING is able to identify and assess risks in due time. Through application of our risk management cycle activities, we can mitigate upcoming and existing risks. However, longer-term horizons face critical uncertainty due to the evolving regulatory landscape and the limited ability to forecast which exact macroeconomic and social developments will unfold.

Policies, actions and performance

Corporate Culture – Integrity above all

Our operations touch many lives: customers, employees, shareholders, and society at large. Everyone within these groups has a reasonable expectation that we act with integrity. At ING, we all have a duty to put integrity above all we do and to live up to the values we hold. We will not ignore, tolerate or excuse behaviour that breaches our values. To do so would break the trust of society and the thousands of great colleagues who do the right thing to take this company forward every day.

Our corporate culture starts with the Orange Code – it is a declaration of who we are, with the overarching principle of ‘integrity above all’. While the Orange Code sets out general values and behaviours, the ING policies and guidelines are much more specific and state the rules in more detail. The ING Global Code of Conduct is the link between the Orange Code and the main ING policies and guidelines.

Our values and behaviours

Main ING policies and procedures

	Business Conduct Framework		
The Orange Code is a manifesto that describes our way of working. It is comprised of our values and behaviours	Orange Code Global Investigations Charter	ING Global Code of Conduct	Whistleblower Policy
Zero tolerance on corruption and bribery	Anti-bribery and Corruption Policy	ABC High-Risk Roles Guidance	Global Event Management Procedure

The above table displays ING's main policies and procedures within our Business Conduct Framework, with key business conduct policies identified in bold. All policies are subject to Internal Control Binding Principles (ICBP), which set the standard for the entire life cycle of the policy and apply to all ING Business Units (i.e. all branches and majority-owned subsidiaries of ING Groep N.V.). In accordance with ICBP, policies are checked annually for compliance with laws and regulations and a periodic (three-year cycle, unless otherwise approved) full review is performed in line with the ING Governance Framework. Policies, procedures and guidances are available and easily accessible for all staff on the ING intranet. The Orange Code and Global Code of Conduct are available for external stakeholders on [ing.com](#).

In addition to these policies, ING has several internal processes and guidelines in place to provide guidance towards the actions and monitoring of the risks and policies. The following processes and guidelines are linked to the global policies:

- The Global Investigations Charter specifies which incidents are to be investigated under the local or global responsibility of Central Special Investigations (CSI), and how the investigation is to be initiated, conducted and resolved. It defines the governing principles for organising, managing and conducting the investigations function within ING.
- The Global Event Management Procedure outlines the processes for the management of operational risk events, as well as the roles and responsibilities for mitigating the impact of such identified events and their related reporting.
- The High-Risk Role Guidance defines job activities considered to be at risk or vulnerable from the bribery and corruption risk perspective, in order to assist ING learning academies, and the business and functions management in evaluating roles to determine if they meet the criteria for High-Risk Role training.

Training and awareness are of great importance for policies to be effective. To this end, we have developed global mandatory training for business conduct-related policies (e.g. Global Code of Conduct, whistleblower, anti-bribery and corruption).

The Orange Code

The Orange Code describes what we can expect from each other when we turn up to work each day. It is a set of standards that we collectively value, strive to live up to and invite others to measure us by. It was developed in 2014, and marks an important step towards one shared culture across ING. The Orange Code is comprised of the ING values and the ING behaviours:

Values	Behaviours
We are honest	You take it on and make it happen.
We are prudent	You help others to be successful.
We are responsible	You are always a step ahead.

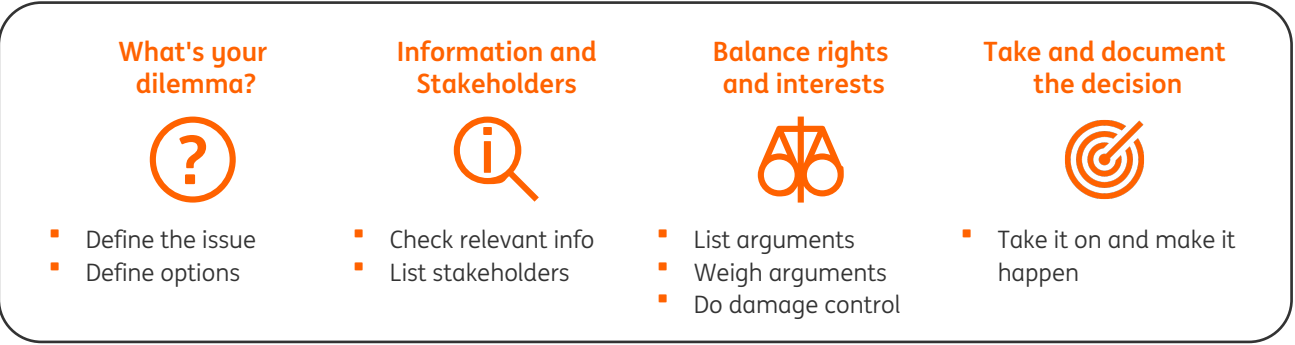
The Orange Behaviours are embedded in commitments we make to each other and the standards by which we measure each other’s performance.

Risk culture

Having a sound risk culture enables us to play our role in society responsibly and to keep the bank safe and secure. Our employees contribute to ING’s risk culture by acting with the right mindset and living up to our Orange Code and Global Code of Conduct. To monitor ING’s risk culture, we developed a risk culture monitoring methodology that displays the risk culture maturity across ING entities. We look at four key behaviours from ING’s risk culture framework: risk awareness, risk judgement, escalation & follow-up and leadership. To understand the behaviours, we identify the formal and informal drivers of risk culture. Risk culture is not easily captured by a single data point, so we combine different sources, such as the annual risk culture survey, professional judgement, and quantitative indicators. We track the progress of our risk culture maturity on an annual basis, and the MBB and SB actively discuss the risk culture on a bi-annual basis.

Orange Code decision-making

Balancing the rights and interests of our stakeholders is one of the key Orange Code principles. To further enhance risk judgement, we continued to apply the Orange Code decision-making model to dilemmas. This four-step model supports well-balanced and informed decision-making.



In 2024, the focus was on supporting decision-making and advisory bodies at ING – dealing with, for example, environmental and social risk, product approval and review processes, data ethics and model validation – in organising dilemma dialogues as part of their decision-making process.

Behavioural risk

Behavioural risk is an increasingly important area for ING and across the financial industry. It arises when behavioural patterns are at the root of financial and non-financial risks in the organisation. The complexity of this type of risk is that it is less tangible compared to other risk areas because it focuses on behavioural patterns and their drivers. There are patterns in how decisions are made, how people communicate, and whether they can and are willing to take ownership. Behaviour is driven by formal and informal mechanisms.

Examples of formal drivers are the processes ING applies and how its governance is structured. Informal drivers are less tangible, such as group dynamics or underlying beliefs that influence behaviour.

Behavioural risk assessments

Behavioural risk assessments identify and analyse undesired behaviours within ING and provide management with specific direction on how to change these behaviours. They focus on the effectiveness of groups rather than individuals, the role of leadership, and on less visible aspects such as team dynamics and unwritten social norms. The goal is to understand and systematically assess what drives undesired habits at ING. The behavioural risk management framework is used as a guide across ING to identify behavioural risks in the organisation that require deeper investigation.

Behavioural risk interventions

Based on the results of the executed behavioural risk assessments, interventions are taken to mitigate the behavioural risks in a focused manner. Effective mitigation requires a deep understanding of what drives undesired behaviours. Behavioural and organisational science theories and evidence-based techniques and tools play an important role in designing and facilitating interventions.

In 2024, ING rolled out a global activation plan across the organisation aimed at promoting productive conversations, and to improve 'speak up' and escalation behaviour. This intervention has been designed for senior leadership teams and is supported by an e-learning and toolkit to further cascade the intervention to all teams.

ING’s Global Code of Conduct

Building on the values and behaviours of our Orange Code, the ING Global Code of Conduct outlines the 10 conduct principles expected from all of us. The principles aim to prevent and protect us from making unethical and/or illegal decisions within ING’s day-to-day business. Prevention of bribery & corruption (AB&C), and whistleblowing (speaking up), are among those 10 core principles and have their own policy.

When ING employees go through the onboarding process, they are required to take an e-learning and commit to adhere to the Global Code of Conduct. Also, every year, all ING employees must acknowledge their adherence to the Global Code of Conduct. We monitor this acknowledgement via the compliance risk dashboard.

The Global Code of Conduct was updated in 2024. A mandatory global required learning will be launched in the first quarter of 2025, accompanied by email communications and a newsletter announcement.

Whistleblower Policy

At ING we systematically look for ways to enhance and harmonise our ‘speak up’ channels. Concerns can be reported to a variety of channels, like managers, HR, confidential advisers and Whistleblower Reporting Officers. We want our people to feel safe to raise concerns and to be confident that we will treat any concern reported adequately.

We also support our people in raising whistleblower concerns by providing them with an anonymous reporting option – regardless of how concerns are reported, these are always treated with utmost confidentiality; disclosing reporters’ rights and responsibilities; and having strict anti-retaliation measures in place. Also, external parties such as customers, shareholders, suppliers and other stakeholders can report any suspicions and complaints on misconduct or behaviour via the page 'Complaints about our conduct' on [ing.com](#).

ING does not tolerate any form of retaliation by any employee, including (senior) management. It is strictly prohibited to retaliate against a reporter or anyone providing information or assisting in an investigation. The global Whistleblower Policy and procedure as well as the Global Investigations Charter outline the minimum mechanisms to ensure fair, timely, careful and proportionate follow-up on concerns raised. All concerns reported are tracked by a Whistleblower Reporting Officer who performs an intake (scoping assessment) and, if in scope, a review (determining if there is sufficient ground to advise on investigation). The department of Corporate Special Investigations (CSI), part of Corporate Audit Services, or the local Special Investigations Function (SIF), is responsible for conducting the investigations. CSI or SIF follow the Global Investigations Charter, which aims to ensure the investigation is conducted in an independent, objective, impartial and confidential manner.

In 2024, ING further reiterated the importance of the protection of reporters and anyone providing information or who otherwise assists in an investigation in an updated Whistleblower Policy and global procedure. This process included a revamp of both global and specialist learnings. Furthermore, ING entities have created local policy annexes where necessary in case of specific local legal requirements based on the transposition of the EU Directive 2019/1937 (on the protection of persons who report breaches of Union law/ Whistleblowing into national law).

A new mandatory global e-learning was rolled out to employees educating them on the whistleblower channel, anonymity and confidentiality, their rights and responsibilities as reporters, the importance of awareness on retaliation, and how the follow-up on concerns is handled. We monitor the timely completion of the e-learning by employees via the compliance risk dashboard. Furthermore, next to the existing global community for support to (local) Whistleblower Reporting Officers, ING launched a new specialist learning journey to provide a one-stop shop for mandatory obligations, investigative interviewing, useful guidance, and templates.

Anti-bribery and Corruption Policy

We are committed to doing business in an honest, prudent and responsible manner and aim to ensure compliance with applicable anti-bribery and corruption (AB&C) laws and regulations. ING’s AB&C Policy outlines the obligations, key risks, and control objectives that are necessary to ensure that inherent and critical bribery and corruption risks are identified, assessed, managed, and monitored accordingly.

ING has a zero-tolerance approach to bribery and corruption in all its relationships and business dealings. ING does not permit accepting or paying bribes or offering improper inducements or anything that could be perceived as such. ING expects the same from its business partners and third parties that perform services or deliver business on its behalf. Investigations into possible breaches of anti-bribery regulations are the responsibility of CSI, as we want to ensure independence, objectivity, and confidentiality. ING entities are required to report instances of bribery and/or corruption, in accordance with the Global Event Management Procedure. This includes reporting to the Management Board and chairman of the Supervisory Board.

ING has a key risk indicator (KRI) in place to, on a monthly basis, monitor the ‘Zero tolerance to instances of bribery and/or corruption by ING employees and/or third parties’. The reporting is based on event data included in ING’s Non-Financial Risk (NFR) Management tool, iRisk. NFR-related events are captured in the system and iRisk provides standard reports to be used for risk reporting. The data and reporting on instances of bribery and/or corruption is not validated by an external body.

For 2024, there were no instances of convictions and fines related to violations of anti-bribery or anti-corruption laws. Therefore, no provisions were taken in accordance with the Global Event Management Procedure and to accounting principles.

ING has published an updated AB&C Policy, effective 1 April 2024 – on our intranet and on ing.com. The policy is intended to align with relevant local and international laws, including the US Foreign Corrupt Practices Act (FCPA) and the UK Bribery Act (UKBA).

Global mandatory training on anti-bribery and corruption has been designed to provide all employees, including contractors, with an understanding of the bribery and corruption risks faced by ING, the risks they may be exposed to, and how ING manages these risks. The goal of the training is to enable the learners to:

- recognise the importance of our role in fighting bribery and corruption;
- understand the consequences of bribery and corruption on society and the organisation;
- recognise how we identify, manage, and mitigate potential bribery and corruption risks; and
- escalate any suspicious behaviour or suspicions of potential bribery/corruption risks through appropriate channels.

The global mandatory training, which is part of the financial crime fundamentals e-learning, was rolled out in the first quarter of 2023 and continued in 2024. New joiners are expected to undertake the training on joining ING.

ING has an approach for identifying the roles with an increased exposure to bribery and corruption risks. These are also known as High-Risk Roles. The High-Risk Role Guidance defines in detail the job activities considered to be at risk or vulnerable from the bribery and corruption risk perspective. For more information on the criteria, see the ‘[Definitions of our environment, social and governance metrics](#)’ in the Appendix to the Executive Board report. In 2024, employees in a High-Risk Role were enrolled in a specific HRR e-learning, which takes about one hour to complete. It covers the following key areas of activity:

- The regulatory requirements relating to anti-bribery and corruption, the risks for the financial industry, and the impact of a regulatory breach;
- The internal anti-bribery and corruption governance, risks & controls framework;
- The ING gifts & entertainment (G&E) approach (roles and responsibilities relating to registering G&E);
- The risks associated with public officials (POs) and why they represent an enhanced risk;
- The bribery and corruption risks in the hiring process; and
- The bribery and corruption risks when engaging with third parties.

Both the global mandatory and the High-Risk Roles training completion by employees is monitored via the compliance dashboard. To date 98% of employees completed the Global mandatory training on anti-bribery and corruption and 89% of eligible employees completed the High-Risk Roles training.

The section ‘[Our leadership and corporate governance](#)’ includes information about the education of board members. In 2024, the management boards and Supervisory Board did not receive a targeted ABC training.